

ONTARIO

SUPERIOR COURT OF JUSTICE

BETWEEN:	)	
	)	
KAYMAR REHABILITATION INC.	)	
	)	K. Scott McLean and Y. Monica Song, for
Plaintiff	)	the Plaintiff
	)	
– and –	)	
	)	
CHAMPLAIN COMMUNITY CARE	)	Joel Richler, David L. Noseworthy, for the
ACCESS CENTRE, COTA	)	Defendant Champlain Community Care
COMPREHENSIVE REHABILITATION	)	Access Centre
AND MENTAL HEALTH SERVICES and	)	
CAREFOR HEALTH & COMMUNITY	)	Robert Hickman, for the Defendant COTA
SERVICES	)	Comprehensive Rehabilitation and Mental
	)	Health Services
Defendants	)	
	)	R. Paul Marshall and Paul R. Lalonde, for
	)	the Defendant Carefor Health & Community
	)	Services
	)	
	)	HEARD: January 19, 20 and 21, May 11,
	)	12, 17, 18 and 19, 2010.

2010 ONSC 2248 (CanLII)

DECISIONS ON MOTIONS

POLOWIN J.

[1] Three separate and different motions were brought by the three defendants in this matter for summary judgment and/or dismissal of the action against them. I turn firstly to a description of the parties and a brief factual background.

[2] The plaintiff Kaymar Rehabilitation Inc. (“Kaymar”) is in the business of providing adult physiotherapy, occupational therapy and social work services in the Province of Ontario.

[3] The defendant Champlain Community Care Access Centre (“Champlain”) was established on January 1, 2007 by the amalgamation of three Community Care Access Centres (“CCACs”), one of which was the Ottawa Community Care Access Centre (“OCCAC”). As Kaymar’s allegations pertain to events that occurred prior to this amalgamation, this defendant will be referred to as OCCAC, except where context requires otherwise. OCCAC is a not-for-profit charitable statutory corporation governed by the *Community Care Access*

Corporation Act, 2001. It is dependent on funding from the Ministry of Health and Long Term Care (the “Ministry”).

[4] The defendant Cota Comprehensive Rehabilitation and Mental Health Services (“COTA”) is a health and social services provider that has been serving clients in Ontario since 1973. It is an accredited, charitable, not-for-profit organization. Until July, 2009 COTA was engaged in the business of providing comprehensive rehabilitation, mental health and support services to people with physical, developmental and/or mental health issues, however, since July, 2009 it no longer provides comprehensive rehabilitation but rather focuses on mental health and support services. As of July 2009, COTA transferred its comprehensive rehabilitation services to VHA Home Healthcare. This transfer included the contract with the co-defendant OCCAC.

[5] Finally, the defendant Carefor Health and Community Services (“Carefor”) was previously known as the Victorian Order of Nurses Ottawa-Carleton Branch. The Victorian Order of Nurses, Ottawa-Carleton Branch (“VON Ottawa-Carleton”) was founded in 1898 and incorporated in 1955. It is a not-for-profit charitable organization that has provided care to clients living in Ottawa and the vicinity for more than 107 years. In October 2006 VON Ottawa-Renfrew County became Carefor-Health and Community Services by registration of a change of name application. It continues to be a not-for-profit charitable health care organization which presently offers a wide variety of services including personal support, nursing, occupational therapy, physiotherapy, dieticians and social workers. In these motions this defendant will be referred to as Carefor, or VON where appropriate.

[6] CCACs were created by the Ministry in 1996 through a combination of home care and placement-coordination services. Through a series of divestments in the late 1990s, all CCACs were required by the Ministry to implement procurement processes for health care services that followed a system of managed competition that was open, fair and transparent. In 1998, OCCAC, as mandated by Ministry policy, implemented a managed competition process for the provision of in-home therapy services. Kaymar was the successful bidder for 100 percent of this contract, which was for a term of five years to expire March 31, 2004.

[7] In July 2003, the Ministry announced new policies and procedures regarding procurement by CCACS. One of the new requirements of the revised Ministry policy was that, wherever possible, CCACs would award contracts to more than one service provider.

[8] On November 24, 2003, the OCCAC issued an extensive Request for Proposal (RFP) for physiotherapy, occupational therapy and social work services to the adult population in Ottawa and its surrounding area, (the “2003 Therapies RFP”). This work is referred to as the Adult Therapies work. The RFP specified that contracts would be awarded to up to three companies. Deadline for submission was January 5, 2004.

[9] There were four respondents to the 2003 Therapies RFP, three of which passed the quality stage of the assessment (Kaymar, COTA and Carefor). The incumbent service provider was Kaymar. Of the three qualified bidders, Kaymar’s price was the highest by a significant margin. Following the evaluation process in the 2003 Therapies RFP, COTA and Carefor were advised that they would be awarded contracts. Each subsequently entered into a contract with the OCCAC for the provision of one-half of the services outlined in the 2003 Therapies RFP.

[10] However, prior to the announcement of the successful parties, OPSEU, the union representing the Kaymar therapists, brought an unfair labour practice complaint (the “Complaint”) before the Ontario Labour Relations Board (the “OLRB”) against OCCAC, and sought interim relief staying the 2003 Therapies RFP process until the Complaint could be heard. It is the position of the defendants in the present matter that while Kaymar was named as a respondent in the Complaint, it collaborated with OPSEU in its preparation. It is also the position of the defendants that numerous allegations were made by Kaymar, many of which are replicated by Kaymar in this action.

[11] The application for interim relief and an expedited hearing of the Complaint was dismissed by the OLRB. The Complaint was not pursued further by OPSEU. In April 2004, OPSEU brought an application before the OLRB seeking common employer and sale of business declarations pursuant to s. 1. (4), and s. 69 of the *Ontario Labour Relations Act* (the “Application”). OPSEU named all of the parties to the current litigation, including Kaymar, as respondents. The allegations in the Application were even more detailed than those in the Complaint. OPSEU also claimed damages from OCCAC, COTA and Carefor for “deception, conspiracy and disruption this scheme (the 2003 Therapies RFP) has caused.” The central theme of the Application before the OLRB was that OCCAC had deliberately manipulated the outcome of the 2003 Therapies RFP to defeat OPSEU’s collective bargaining rights and to ensure that Kaymar was not the successful bidder. It was alleged among other things that OCCAC, Carefor and COTA had participated in a sham transaction.

[12] The OLRB was presented with many volumes of documentary evidence. OCCAC alone produced a 13 volume document brief. Further documentation was put before the OLRB as the proceeding progressed, with some 259 documents being marked as exhibits. There were more than 25 days of testimony and argument before the OLRB over a span of more than two years. The OLRB took a further 20 months to deliberate, finally rendering its decision on the Application on December 27, 2008, (the “Application Decision”). The Application was denied in its entirety.

[13] Kaymar commenced this action by way of Statement of Claim, issued on April 25, 2005, while the OLRB Application was proceeding. Kaymar served a Fresh Amended Statement of Claim in June 2008, more than a year after the conclusion of argument before the OLRB, but before the Application Decision was released. The Claim in the Fresh Amended Statement of Claim is set out as follows:

CLAIM

1. The plaintiff, Kaymar Rehabilitation Inc. (“Kaymar”), claims against the defendants, Champlain Community Care Access Centre (the “CCCAC”), COTA Comprehensive Rehabilitation and Mental Health Services (“COTA”), and CareFor Health & Community Services (“CareFor”) for:

- (a) a declaration that the award by the CCCAC of contracts to the defendant COTA and the defendant CareFor following the closing of the Request for Proposal (“RFP”) for the provision of adult physiotherapy, occupational therapy and social work services in a community setting (the “Services”) to be provided in the Ottawa area on or about November 23, 2003 (the “2003 Services RFP”) is, as a consequence of the illegality of the RFP process, a nullity;

- (b) a declaration that Kaymar was entitled to be the successful respondent to the 2003 Services RFP and that Kaymar is now entitled to be recognised as such in all respects;
 - (c) a mandatory order requiring the CCCAC to recognise Kaymar as the successful respondent to the 2003 Services RFP and to enter into negotiations with Kaymar in a manner and form to be prescribed by the Court for purposes of contracting for all of the Services for the full term of 4.5 years originally contemplated in said RFP; and
 - (d) general damages for lost opportunity from March 31, 2004 to the date when Kaymar is instituted as the successful respondent to the 2003 Services RFP or to such other date as this Court may determine, in an amount to be determined.
- 2. In the alternative, Kaymar claims against the CCCAC for:
 - (a) general damages for lost opportunity from March 31, 2004 to March 31, 2013 in the amount of \$11,800,000; and
 - (b) special damages in an amount to be determined.
- 3. In the further alternative, Kaymar claims against CCCAC and CareFor for:
 - (a) a declaration that Kaymar was entitled to receive an award of contract in the place of and to the exclusion of the defendant CareFor;
 - (b) a mandatory order requiring the CCCAC to recognise Kaymar as the successful respondent to the 2003 Services RFP in the place of and to the exclusion of the defendant CareFor and to enter into negotiations with Kaymar in a manner and form to be prescribed by the Court for purposes of contracting for those Services with Kaymar, for the full term originally contemplated in the RFP; and
 - (c) general damages for lost opportunity from March 31, 2004 to the date of reinstatement or to such other date as this court may determine, in an amount to be determined.
- 4. In the further alternative, Kaymar claims against CCCAC and CareFor for:
 - (a) general damages for lost opportunity from March 31, 2004 to March 31, 2013 in the amount of \$5,850,000; and
 - (b) special damages in an amount to be determined.

5. In the further alternative, Kaymar claims against the CCCAC, COTA, and CareFor for:

- (a) a declaration that the 2003 Services RFP process is a nullity; and
- (b) an order quashing the said RFP process in that it was conducted by the CCCAC in bad faith; it was inequitable and dictated by improper motives; Kaymar was not given an even break or a fair chance; and its outcome was a foregoing conclusion; and against the CCCAC for:
- (c) an order re-instating Kaymar as the provider of the Services in the Ottawa area under the terms of the Sale Agreement dated November 1999 between Kaymar and the CCCAC (the "Sale Agreement"), the term and termination provisions of which shall be extended as necessary until such time as the CCCAC properly tenders the procurement of said Services; and
- (d) general damages for lost opportunity from March 31, 2004 to the date of reinstatement or to such other date as this court may determine, in an amount to be determined.

6. In the further alternative, Kaymar claims against the CCCAC for:

- (a) general damages in the amount of \$8,000,000; and
- (b) special damages in an amount to be determined, namely all costs, expenses and liabilities incurred by Kaymar as a result of the illegal 2003 Services RFP process, including all costs thrown away by Kaymar in responding to the RFP, all costs and expenses incurred by Kaymar not otherwise recoverable under any other process, and all transition and related costs incurred by Kaymar in the winding up of the 2003 Services RFP process and award to Kaymar of the contract for the Services described in the RFP.

7. Kaymar claims against CareFor for:

- (i) general damages for intentional interference with contractual relations in the amount of \$5,850,000; and
- (ii) punitive damages in the amount of \$250,000.

8. Kaymar claims against CCCAC for:

- (a) damages for defamation and interference with trade and contractual relations in the amount of \$100,000; and

(b) punitive damages in the amount of \$500,000.

9. Kaymar claims against all of the defendants:

- (a) pre-judgment and post-judgment interest in accordance with the *Courts of Justice Act* (Ontario);
- (b) its costs on the substantial indemnity scale, including GST where applicable; and
- (c) such further and other relief as this Court may permit.

[14] In the motions before the court all three defendants seek a stay or dismissal of the action on issue estoppel or abuse of process grounds. OCCAC brought its motion for an order dismissing Kaymar's action against it, or in the alternative, permanently staying the action, on the grounds that the claim is *res judicata* by way of issue estoppel, and that Kaymar's continued prosecution of the action is an abuse of process of this court. Both COTA and Carefor rely on the Motion Record and Factum of OCCAC and the submissions it made during the hearing of its motion on the issue of issue estoppel and abuse of process.

[15] Further, it is the position of COTA, in its motion, that there is no genuine issue for trial and no reasonable cause of action disclosed against it in the Fresh Amended Statement of Claim. COTA states that the claim against it is frivolous, vexatious and an abuse of the process of the court. Carefor submits that the evidence discloses no genuine issue of material fact requiring a trial in respect of Kaymar's claim against it and that Kaymar's claim is not supported by the evidence.

THE COTA MOTION

[16] I turn first to the motion brought by COTA and its factual background. Kaymar commenced its action on April 25, 2005, and amended its Statement of Claim in June 2008. Paragraphs 1-9 of the Amended Statement of Claim are noted above. In paragraphs 1 and 5 Kaymar set out a number of claims against OCCAC, Carefor and COTA including a specific claim for damages for lost opportunity. Kaymar also claimed prejudgment interest and its costs on a substantial indemnity scale against all the Defendants. The claims in the Amended Statement of Claim are a repeat of the claims set out in the 2005 Statement of Claim. However, the Amended Statement of Claim also included some additional allegations with respect to COTA. Paragraph 86(c) of the Amended Statement of Claim stated that there were discrepancies between the "...written responses and their responses to the interview questions..." from COTA. In paragraph 98(a) it is stated that COTA made statements in its "...response to the 2003 RFP about (its) preparedness to perform the Services as of April 1, 2004, when there was no demonstrable way that (it) could do so." It is also stated that COTA was a willing participant in OCCAC's scheme to oust Kaymar (which scheme is said to be illegal). Finally, in paragraph 98(e) it is stated that COTA failed to perform the Services contracts in accordance with the RFP and their responses to the RFP. COTA's defence to the Amended Statement of Claim has not yet been filed.

[17] Nora Paradis, the former Vice President of Corporate Services of COTA, was examined as the representative of COTA on April 18, 2006. The resulting transcript was 149 pages with some 586 questions. At the end of the day counsel for Kaymar indicated that she

was not finished although no further examination has occurred. According to Ms. Paradis, as stated in her Affidavit of July 22, 2009, the questions seemed to be for the purpose of getting information to pursue the other two co-defendants. She stated that there was no information given by her that indicated that COTA was involved in any improper activities. She also noted that Kaymar had requested and been provided with a huge amount of documentation, none of which is relevant to or even related to any claim against COTA.

[18] Counsel for COTA examined Donald Whitney as the representative of Kaymar on March 23, 2006. The following questions and answers were provided:

1767 Q... and COTA, being a respondent to the RFP, are you, Mr. Whitney, aware of any conduct of COTA at any time prior to the execution of the agreement by the OCCAC that would have justified the OCCAC disqualifying or canceling COTA from this process.

A. I'm not aware of anything.

1777 Q. So I take it then there is no allegation then by Kaymar that COTA was not qualified to make the bid that it did to OCCAC, is that correct?

A. We have not made that allegation.

1832 Q. And there is no allegation in the claim that Kaymar incurred expenses and liabilities as a direct consequence of COTA's conduct?

A. Right, and what I'm saying is COTA's conduct was part of-I'm repeating myself; I don't know how else to explain or to help you – the process that was flawed, that was injurious to the interests of Kaymar.

We have not claimed specific damages from COTA to that end. Nevertheless they were part of the process. So how the liabilities are apportioned, would be hopefully apportioned, I don't think I am obviously qualified to say.

1833 Q. So maybe counsel can answer this question. Will Kaymar be at trial claiming specific damages as against COTA as a result of COTA being part of the process?

MS. SONG: I can't tell you what is going to happen at trial, counsel.

[19] However, in his Affidavit dated June 17, 2009, Donald Whitney stated that "No damages are sought against the defendant COTA," (paragraph 19). It appears that the current position of Kaymar is that "COTA was named and remains properly named in the action because COTA's rights may be affected by the outcome of the action." (Affidavit of Donald Whitney sworn August 31, 2009, paragraph 5).

[20] It is without controversy in this motion that the RFP process had to proceed. Kaymar's contract had come to an end in March 2004 and the OCCAC could not have simply extended Kaymar's contract. It is also without controversy that the Ministry required that CCACs declare more than one successful bidder and award the contract to more than one

provider whenever possible. In his Affidavit dated August 31, 2009 Donald Whitney stated that “Kaymar has never asserted before either the Ontario Labour Relations Board or in this action that COTA was not competent or qualified to bid on the Adult Therapies Work.”

[21] In cross-examination on September 23, 2009, Donald Whitney admitted that COTA was a qualified bidder, did not behave in any way improperly in the RFP process, participated in good faith, submitted a response to the RFP that met with its requirements and had no improper communication with the OCCAC. He said he was not aware of anything that COTA did that should have disqualified them from being a winner in the RFP. However when asked, accepting Kaymar’s allegations about the RFP, COTA would still have won half the Adult Therapies work in a properly conducted RFP process, Mr. Whitney stated that the question was hypothetical and that he was requesting that the whole RFP process should be declared a nullity.

[22] Finally, it is to be noted that while the term of the agreement between COTA and the OCCAC was from April 19, 2004 until October 1, 2008, COTA continued to perform the Services thereunder after October 1, 2008. In July 2009, COTA transferred its comprehensive rehabilitation services to VHA Home Healthcare, including the Services provided to the OCCAC. However, COTA remains liable for this civil litigation matter to VHA Home Healthcare, due to an indemnification clause in the agreement between them.

[23] I turn now to the position of the parties on this motion. Essentially COTA submits that Kaymar did not add COTA as a “necessary party” but rather added it as a party from which it was seeking damages and information. COTA submits that there is no indication in either of the Affidavits of Donald Whitney as to why COTA’s presence is necessary to enable the court to adjudicate effectively and completely on the issues in the proceeding. COTA submits that Kaymar was not compelled to add COTA as a defendant and that it would not ordinarily be of concern to the court if Kaymar had chosen not to add COTA.

[24] COTA submits that it can be a necessary party only if Kaymar can convince the court that the entire process is a nullity, that it should be granted specific performance, and that it should have been given 100% of the Adult Therapies work. COTA states that even if everything that Kaymar alleges in its Amended Statement of Claim is true, COTA remains entitled to the Adult Therapies work that it secured from OCCAC and Kaymar would be entitled to the work given to Carefor. This is recognized in Kaymar’s alternative claim in paragraph 3 of its Amended Statement of Claim. Further, it submits that specific performance is not available to Kaymar in that its damages can and have been quantified in its claim, are adequate to compensate Kaymar for its loss, the subject matter of this bargain is not unique or irreplaceable and the passage of time is too long for an award of specific performance.

[25] COTA disputes Kaymar’s assertion that its claim is for rescission of the contracts and not for specific performance. It submits that Kaymar’s claim for rescission has no chance of success. It submits that Kaymar would have to prove that the improper actions and breaches of the OCCAC and Carefor somehow nullified both contracts that arose, that the nullity created a rescission and that the rescission means turning back the clock to February 2004. COTA submits further that rescission is a remedy utilized when leaving a contract in place would unjustly enrich a defendant who has breached the contract. COTA received 50% of work under an RFP process for which it was entitled and qualified to bid and during which admittedly it did not behave improperly. Counsel queries, where is the unjust enrichment of COTA and how could a court roll back the clock against it?

[26] Finally, COTA submits that Kaymar's contract with the OCCAC expired in March 2004 and Kaymar had no right to the Adult Therapies work thereafter. Kaymar in this action essentially seeks to turn back the clock to that time and to have the Adult Therapies work awarded to them. This is specific performance.

[27] Kaymar takes the position that COTA cannot bring a motion to strike out Kaymar's pleading as it has already pleaded its Statement of Defence and consented to Kaymar's motion seeking leave to file the Fresh Amended Statement of Claim. Further, this motion was not brought promptly in accordance with Rule 21.02. Kaymar queries why this motion is being brought now as COTA was always aware there was no cause of action against it.

[28] Kaymar also submits that it is seeking rescission and not specific performance. It is seeking a declaration that the contracts awarded to COTA and Carefor are a nullity, based on the fact that the RFP process was illegal. Kaymar referred to the law with respect to the tender process, more specifically the distinction between Contract A and Contract B as conceptualized by the Supreme Court of Canada in *The Queen v. Ron Engineering and Construction (Eastern) Ltd.*, [1981] 1 S.C.R. 111. In seeking a declaration as to the illegality of the RFP process, Kaymar is seeking to have Contract A voided, which would in turn annul the contracts awarded to COTA and Carefor. According to Kaymar, without a valid Contract A there can be no Contract B (the procurement contract itself). It is submitted that once Contract A is established certain obligations exist on choosing to form Contract B. These include: a general duty to treat all bidders fairly; an obligation not to rely on undisclosed terms or conditions in evaluating the bids; and an obligation not to pass over properly filed bids for informal or invalid bids. If one of these obligations is violated, it constitutes a breach of Contract A and no Contract B may be formed.

[29] In this case Kaymar is seeking a rescission of the contract that was formed when bids were tendered under the illegal RFP process and to be put in the position it held before the RFP process occurred. Kaymar submits that if Contract A is annulled, it would not matter that COTA was a qualified bidder and did not behave in any way improperly in the RFP process, participated in good faith, submitted a response to the RFP that met with the requirements of the OCCAC and had no improper communications with the OCCAC. COTA would not be able to maintain the second contract created with the OCCAC because no valid Contract B could have been awarded in the first place. Thus, COTA's rights would be affected as the contract under which they were working would be deemed not to have existed. According to Kaymar, this impact on their rights makes COTA a necessary party to the proceedings.

[30] Kaymar submits that it is relying on Rule 5.03(1) and not Rule 5.03(2) of the *Rules of Civil Procedure*. It submits that this does not require that the party have claims brought against it, merely that they be necessary to the court process. Kaymar states that determining whether a party is a necessary party to a proceeding is significantly dependant on whether they are likely to be affected or prejudiced by a court order that will dispose of the rights of the parties to the proceeding. If the court decides in Kaymar's favour, the contract that COTA was granted by the OCCAC would be deemed never to have existed, which would affect COTA. According to Kaymar, COTA has admitted to this effect on them in paragraph 30 of their Factum and in acknowledging their agreement to indemnify VHA Home Healthcare in regards to this matter. Finally, Kaymar submits, even where no relief is sought against a defendant, it may be appropriate to have them be a party to the action for the sole purpose of having the outcome of the action binding against them.

Determination

[31] In determining this matter, Rule 21.01, 21.02, 25.11 and 5.03(1) must be considered. These rules provide as follows:

- 21.01** (1) A party may move before a judge,
 (a) for the determination, before trial, of a question of law raised by a pleading in an action where the determination of the question may dispose of all or part of the action, substantially shorten the trial or result in a substantial saving of costs; or
 (b) to strike out a pleading on the ground that it discloses no reasonable cause of action or defence,
 and the judge may make an order or grant judgment accordingly.
 (2) No evidence is admissible on a motion,
 (a) under clause (1) (a), except with leave of a judge or on consent of the parties;
 (b) under clause (1) (b).

MOTION TO BE MADE PROMPTLY

21.02 A motion under rule 21.01 shall be made promptly and a failure to do so may be taken into account by the court in awarding costs.

STRIKING OUT A PLEADING OR OTHER DOCUMENT

25.11 The court may strike out or expunge all or part of a pleading or other document, with or without leave to amend, on the ground that the pleading or other document,
 (a) may prejudice or delay the fair trial of the action;
 (b) is scandalous, frivolous or vexatious; or
 (c) is an abuse of the process of the court.

JOINDER OF NECESSARY PARTIES

General Rule

5.03 (1) Every person whose presence is necessary to enable the court to adjudicate effectively and completely on the issues in a proceeding shall be joined as a party to the proceeding.

[32] Kaymar submits that COTA's motion was not brought promptly and is out of time. In support of this submission Kaymar states that COTA always knew that there was no cause of action against it. However, the facts belie such assertion.

[33] It is to be noted that this litigation commenced while, and in the context, of litigation before the OLRB. According to the Decision rendered by the Board dated October 27, 2008, OPSEU, with the support of Kaymar, made extensive and serious allegations that the decision by the OCCAC to run a managed competition for therapy services in late 2003 and the manner in which the competition was run, amounted to a sham. OPSEU, along with Kaymar asserted that the competition was undertaken to defeat OPSEU's bargaining rights with Kaymar and ensure that Kaymar would be the unsuccessful bidder. COTA was joined as a

respondent to the OLRB litigation and had to answer allegations that they were not qualified to compete or to deliver therapy services.

[34] It is clear that in the Statement of Claim dated April 29, 2005 and the Amended Statement of Claim dated May 1, 2008, Kaymar was making claims against the OCCAC, Carefor and COTA requesting declaratory relief, a mandatory order requiring the OCCAC to recognize Kaymar as the successful respondent to the 2003 Therapies RFP and general damages. Kaymar also claimed pre and post judgment interest and costs on a substantial indemnity basis against all three defendants. Further, Kaymar made additional allegations with respect to COTA (paragraphs 86(c), 98(a) and 98(e) in the Amended Statement of Claim). Significantly at paragraphs 98(a) it is alleged that COTA was a willing participant in the OCCAC's scheme, a scheme which Kaymar has alleged is illegal. There is no assertion anywhere, in either the Statement of Claim or the Amended Statement of Claim, that COTA is joined as a party simply to enable the court to adjudicate effectively and completely on the issues in the proceeding or because its rights may be affected by the outcome of the action.

[35] When specifically asked to clarify whether Kaymar would be claiming specific damages as against COTA as a result of COTA being part of the process, in examinations of Donald Whitney in March 2006, counsel for Kaymar responded "I can't tell you what is going to happen at trial." It is only in the Affidavit of Donald Whitney dated June 17, 2009 that Kaymar finally indicated that "No damages are sought against the defendant COTA." Further, it is only in the Affidavit of Donald Whitney dated August 31, 2009 that the present position of Kaymar is first stated, that is, that "COTA was named and remains properly named in the action because COTA's rights may be affected by the outcome of the action." COTA then brought the present motion in a timely fashion.

[36] I do not find in these circumstances that COTA failed to bring forward its motion promptly. It was brought at a time when Kaymar finally clarified its position against it, despite clarification having been requested since March 2006. Kaymar continued in its claims against COTA in its Amended Statement of Claim even after examinations for discovery had occurred. It is only in July 2009 that Kaymar finally said that no damages against COTA will be sought.

[37] This case can be completely distinguished from those cited by Kaymar in support of its position. (*Eichmanis v. Wawanese Mutual Insurance Co.* (2005), 146 A.C.W.S. (3d) 48 and *Asse International Inc. V. Svenska Statens Sprakresor, AB* (1996), 70 C.P.R. (3d) 222). In the case at hand, Kaymar has finally conceded (only after COTA had pleaded) that it is making no claim against COTA. *Cetinalp v. Casino*, 2009 CarswellOnt 7288 (S.C.J.) (WLeC) involved the bringing of a motion where delay was found to be inordinate and in breach of the timetable imposed by the Master.

[38] Further, Rule 21.02 indicates that a motion under Rule 21.01 shall be made promptly and a failure to do so may be taken into account by the court in awarding costs. As stated above, in the circumstances of this case, COTA moved promptly. Moreover, it is difficult to discern any prejudice or additional costs to Kaymar with respect to COTA's actions in this matter. Kaymar had the benefit of full discovery from COTA as a party, over time, both through examinations and documentary discovery.

[39] Kaymar now takes the position that COTA is a necessary party to enable the court to adjudicate effectively and completely on the issues in this proceeding. However there is

nothing in the Factum or affidavits filed on behalf of Kaymar to indicate why COTA is needed to litigate an allegation that the OCCAC and Carefor engaged in some improper and/or illegal process. It appears to be simply contended that COTA must remain as a party to this litigation because its rights could be affected by the outcome of the litigation. It is in this context that COTA submits that Kaymar has no, or a negligible chance of success, with respect to its position on rescission of the respective contracts between the OCCAC and COTA and Carefor. And it is in this context that this court is drawn into a consideration of the legal viability of Kaymar's claim for rescission (or specific performance as COTA submits).

[40] In the circumstances of this case and the reasons which follow, I need not determine whether Kaymar's claim is a claim for specific performance or rescission. Firstly, Kaymar emphatically stated to this court that specific performance is not being sought. Moreover, I am in complete accord with the submissions of COTA that based on the principles outlined in the jurisprudence, specific performance is not an appropriate or available remedy in the circumstances of this case.

[41] I turn then to the remedy of rescission. In this regard I have reviewed the commentary with respect to rescission in Fridmans, *The Law of Contract in Canada*, 5th ed. Thomson Carswell at pages 810-825. It appears that it is sometimes possible for a party to seek the equitable remedy of rescission, by applying to a court for relief from a transaction in respect of which it would be inequitable to hold the applicant bound. Moreover, it is a remedy and not a cause of action. It involves a restoration of the parties to their original rights and property. The following is stated at pages 813, 814 and 821:

P. 813 –

These are exceptional and unusual cases. More frequently the jurisdiction of the court to rescind a contract on equitable grounds is invoked in three main instances. The first is where the contract resulted from some fraud, which induced a mistake on the part of the defrauded party. The second is where the mistake in question was the result of an innocent, non-fraudulent misrepresentation. The third, which comprehends a somewhat mixed variety of instances, though sharing a general underlying character, is where the contract was procured, without fraud in the common-law sense, but as a consequence of what in equity is regarded as fraud, that is, by the use of undue influence, or some unconscionable conduct which renders the bargain questionable on equitable grounds, even though it may be perfectly valid at common law.

...

P. 814

Rescission is only possible where to grant such remedy would not operate to the prejudice of a third and innocent party, who was not implicated in the original contract and so ought not to be affected adversely by the subsequent, later avoidance of that transaction. If granting rescission would have such an effect, a court of equity will refuse that remedy, leaving the plaintiff to his common-law remedy, that is, damages, if it is available in the circumstances. Nor will rescission be granted if the plaintiff's contract is inequitable or he has been guilty of delay, or *laches*. A party seeking equity must do equity.

...

P. 821

Since the remedy of rescission is equitable, it is discretionary in nature. Hence, if there are equitable grounds for refusing a plaintiff this remedy, it will be denied, even though a *prima facie* case for rescission has been established. They were summarized by McLachlin J.A., in *Kingu v. Walmar Ventures Ltd.*, as (i) lack of prompt action by the plaintiff; (ii) the acquisition of rights by innocent third parties; and (iii) the impossibility of restoring the parties to their pre-contractual position.

[42] In the case at hand, COTA is a blameless party. There is no question, and it has been admitted by Kaymar, that COTA was a qualified bidder, did not behave in any way improperly in the RFP process, participated in good faith, submitted a response to the RFP that met with the requirements of the OCCAC and had no improper communication with the OCCAC. In his cross-examination on September 23, 2009 Mr. Whitney stated that he was not aware of anything COTA did that should have disqualified them from being a winner in the RFP. This court seriously questions how the remedy of rescission as it is understood in law could be applied as against a completely blameless party, to rescind the contract entered into by that party in good faith. Moreover, I note the delay on the part of Kaymar in instituting this action (over one year from the award of the contract to COTA), the acquisition of rights by innocent third parties (COTA) and the impossibility of restoring the parties to their pre-contractual position some six years later (in fact significantly longer by the time this gets to trial). Further, damages are available in this case to meet any breach.

[43] In its submissions, Kaymar relies on the concepts of Contract A/Contract B as developed in the law with respect to tendering. This court had the opportunity, in *Transit Glass & Aluminum Ltd. v. Sakto Corp.*, [2008] O.J. No. 980, to review the case law with respect to tendering at both the Supreme Court of Canada and Courts of Appeal levels. The Supreme Court of Canada introduced the Contract A/Contract B analysis for the tendering process in *The Queen v. Ron Engineering*, *supra*. Justice Estey held that an owner's invitation to tender constitutes an offer to all potential bidders. A contract (Contract A) comes into existence when a contractor submits a tender in response to that offer. The Contract A is a unilateral contract. The rights of the parties, set out in the terms and conditions of the tender documents, crystallize at the time a tender that is capable of acceptance is submitted. There is no question in the case at hand that COTA submitted a fully compliant proposal.

[44] A core theme recognized in *Ron Engineering*, and repeatedly recognized in later jurisprudence, is the need to maintain the integrity of the tendering process. It has been recognized that the tendering process replaces negotiation with competition and competition entails certain risks for those who seek to respond to an RFP or call for tenders. Those responding must expend significant effort and incur expense in preparing a tender (or response to an RFP) in accordance with its specifications and may nonetheless not be awarded the Contract B. It is in this context that the duty to treat all bidders fairly, equally and in good faith has been imposed by the courts and further, the prohibition against the consideration of undisclosed criterion.

[45] As stated above, COTA participated in the RFP in good faith. It submitted a fully compliant bid. The case law has determined that a Contract A is created, at the instance of the entity that responds to an RFP with a fully compliant response. Again, this court is left to question how, in these circumstances, a Contract A can be said not to have come into existence and a Contract B be rescinded, as against the blameless party. How can the clock be turned back to 2004 against the party that acted in good faith?

[46] There is a significant body of case law with respect to tendering. I am not aware of any case, nor was the court provided with any case that would support Kaymar's proposition that COTA's contract with OCCAC can be rescinded at law. I recognize that the issue of rescission as an appropriate remedy will likely be dealt with by the trial judge in this matter in a more fulsome manner. I am also mindful of the submission of Ms. Song that "It can't be said that Kaymar is bound to fail against OCCAC and that nullity remains a possibility." I do however have great doubt that the contract with COTA would be annulled in the circumstances of this case and the clock be turned back, with respect to COTA, to March 2004. This is especially so in light of the fact that the Ministry required that CCACs declare more than one successful bidder whenever possible and that the OCCAC was obligated to award the contract to more than one provider as set out in the managed competition template, which was available to all bidders.

[47] In oral submissions, I specifically raised with counsel for COTA the "possibility" that Kaymar would be successful at trial with respect to its position on nullity and rescission. Mr. Hickman advised that "COTA will take the consequences." He indicated that COTA is a small, charitable organization. Even participating in a limited fashion in the litigation, that is, not attending all the discoveries and motions, has cost the organization much money. He stated that COTA wishes to spend its money on health care issues. After being joined into the protracted litigation before the OLRB and now this case, from having simply participated in good faith in an RFP process, these sentiments are easily understood.

[48] I am mindful of the dicta in the case law provided by Kaymar that a court could find the required necessity to add a party, where a person has an interest in the litigation or the outcome of the litigation, notwithstanding that no claim is being advanced against it by the plaintiff. As was noted by Hackland J. in *School of Dance (Ottawa) Pre-Professional Programme Inc. V. Crichton Cultural Community Centre*, [2006] 154 A.C.W.S.(3d) 57 at paragraph 9:

The question of whether the City is a necessary party to this proceeding is significantly dependent on whether they are likely to be affected or prejudiced by a Court order that will dispose of the rights of the parties to this proceeding. This consideration must be weighed against the jurisprudence relied on by the defendants which establishes that the application of the necessary parties/compulsory joinder principle is very narrow in recognition of the fact that the plaintiff is normally accorded the right to decide who it will sue. A very helpful statement of the rationale for the "necessary parties rule" is found at page 5-25 of *Holmstead and Watson*, Ontario Court Procedure, 2003:

(b) Rationale for the necessary parties rule

But, while "plaintiff's choice" is the general rule, the plaintiff's choice as to the minimum number of parties to the lawsuit will not always be conclusive. Occasionally, there are persons whose presence before the court is "necessary" in the sense that on the application of the defendant the court will order them to be joined as a precondition to the court deciding the case. To this extent the question of who are to be the parties to the litigation is not always in the sole discretion of the original plaintiff. See Reed, "Compulsory Joinder of Parties in Court Actions" (1957), 55 Mich. L. Rev. 327. Professors Louisell and Hazard, *Cases and Materials on Pleading and Procedure* (4th ed. 1979), p.571

summarize the reasons for the compulsory joinder of necessary parties succinctly as follows:

[T]he objectives of the rule were, and still are, simple enough: from the viewpoint of the court, to do a complete job on the controversy in one sitting; from the view-point of those already parties, to protect them against the consequences of subsequent litigation reaching inconsistent results; from the viewpoint of those not made parties but by the rule required to be brought in, to assure that their practical out-of-court situation would not be adversely affected by changes in the *status quo* wrought in consequence of the judgment.

As already indicated, the compulsory joinder principle is a narrow exception to the general rule that a plaintiff is free to decide whom to sue.

[49] The case law provided by Kaymar relates to situations where a potential party is seeking to be added as a defendant to litigation. The situation at hand is clearly distinguishable. Here, a defendant seeks to be removed from the litigation and understands the consequences of this action. Having taken this position, having been joined in the litigation and sought removal, COTA would be stopped at a later time from challenging the decision, its binding nature or its effects on its rights. There is no risk here of multiplicity of proceedings or inconsistent results.

[50] Thus, for the reasons given, I am satisfied that COTA is not a necessary party to enable the court to adjudicate effectively and completely on the issues in this proceeding. The action against COTA is dismissed.

THE CAREFOR MOTION

[51] Kaymar's claim against Carefor is for intentional interference with contractual relations. The claim is based on allegations that Carefor knowingly misrepresented its qualifications in the RFP, and did so as part of a scheme with OCCAC to ensure that Kaymar was not the successful bidder in the RFP.

[52] It is the position of Carefor that Kaymar has failed to offer evidence to support either an intention to harm Kaymar's interests or the use of illegal means to do so on the part of Carefor. In the absence of these elements, Carefor cannot be liable for the losses allegedly suffered by Kaymar. Thus, Carefor moves for summary judgment to dismiss Kaymar's claim against it on the grounds that the claim is wholly unsupported by the facts and that there is no genuine issue requiring a trial.

[53] Affidavits for this motion were provided by Bob Cerniuk on behalf of Carefor. He is the Executive Director (now Chief Executive Officer) of Carefor (previously VON) and was so at the time that OCCAC issued the 2003 Therapies RFP for social work, occupational therapy and physiotherapy. He stated that VON has been providing community home health care services, particularly in nursing specialties, for approximately 100 years. However, in recent years VON, and later Carefor, have diversified the types of health care services provided by adding other disciplines and services such as personal support/homemaking, occupational therapy, physiotherapy, dieticians and social work. He noted that except for personal support services, Carefor's employees are represented by a union. Prior to the

issuance of the 2003 Therapies RFP, VON had not been a provider of Adult Therapies in the Ottawa area.

[54] Mr. Cerniuk stated that VON and now Carefor, although not-for-profit, is ever attempting to expand the types of health-related services it can offer. He stated that it has not been an exclusive nursing organization for quite some time and it has been his mandate, from the Board of Directors, to expand these services so as to ensure the viability of the organization for years to come.

[55] Mr. Cerniuk explained how VON became involved in the 2003 Therapies RFP. It had become clear to him and VON that changes were being imposed by the Government of Ontario with respect to the delivery of community health care. It was also known that Kaymar's agreement with OCCAC was to expire in 2004. Based on the directive of the Government, VON understood that OCCAC was required to proceed with a managed competition for the Adult Therapies. Through the summer and fall of 2003, there were meetings and in-service education sessions delivered by the Ministry of Health and Long Term Care or their representatives, regarding the newly revised process of managed competition. The general RFP template was presented and explained. According to Mr. Cerniuk the issue of experience equivalents was of concern to VON in terms of its ability to bid on contracts outside of its current contracted business areas at that time.

[56] Mr. Cerniuk stated that VON was initially not certain it would have an opportunity to bid on the 2003 Adult Therapies RFP, until it saw the OCCAC's template and the experience equivalents included within the RFP. It appeared that the experience equivalents were expanded to allow qualified service providers that did not previously provide therapy services to submit responses to the RFP. Mr. Cerniuk stated that VON was satisfied by OCCAC in the pre-bidding question period that it was qualified to bid on the services.

[57] More specifically, Mr. Cerniuk referred to the Response to Questions Document For Request for Proposals for Adult Physiotherapy, Occupational Therapy and Social Work Services (the "Q & A document" relating to the 2003 Therapies RFP). Questions 38, 42 and 43 stated as follows:

38. Experience Equivalents – Could you please define professional services?

Answer:

Under the general experience requirement in the RFP Data Sheet, professional experience refers to experience providing health care services, in a community setting, through any of the recognized regulated health care professionals in Ontario, other than physiotherapists, occupational therapists and social workers. For example, professional experience includes the provision of nursing or speech language pathology services in a community setting.

42. Section C, 1.3(4) – Please define Professional Service. Would a respondent with no previous experience providing physiotherapy, occupational therapy and/or social work be considered to have the experience required to provide these services?

Answer:

See response to Question #38

43. Section 1.3 General Experience – Is the delivery of professional nursing services in a community setting for the past three of five years sufficient equivalent experience to qualify to bid on the Adult Therapy RFP?

Answer:

See response to Question 38.

[58] According to Mr. Cerniuk, VON relied on the experience equivalent clause in order to invest its resources toward the preparation of its response. He referred to portions of Schedule C and Schedule A to the RFP. Schedule C to the RFP “Financial and Experience Information Forms and Requirements” states at section 1.3:

General Experience

- (1) On the applicable form set out in this Schedule, the Respondent shall provide evidence that the Respondent itself has been actively engaged in the services as described in the RFP Data Sheet a community setting or, if set out in the Data Sheet the required equivalent experience, for not less than the amount of time and during the period set out in the RFP Data Sheet.
- (2) For the purpose of assessing experience for this RFP Process only, “services in a community setting: means services provided in such locations as homes, schools, the workplace and CCAC clinics but excludes services provided in an institutional setting such as hospitals and long-term care facilities.

[59] In addition, Schedule A, “The RFP Data Sheet” also states at pages 4 and 5 as follows:

General Experience:

1. Minimum length of time that Applicant must have experience in providing services in a community setting.

Three years providing Physiotherapy, Occupational Therapy and Social Work Services.

2. Period of time when the Applicant’s services used to meet the experience requirements must have been provided.

Within the five years immediately prior to the Deadline for Submission of Proposals.

3. Any other specific experience requirements.

Not applicable.

4. Experience Equivalents

Three years delivering professional services in a community setting within the five years immediately prior to the Deadline for Submission of Proposals.

[60] Mr. Cerniuk stated he had no pre-existing knowledge of the 2003 Therapies RFP requirements. Even after its issuance, it remained unclear to him whether VON could meet the criteria set out in the RFP. It was only after obtaining the answers from OCCAC during the question and answer period for all respondents, that it appeared there was value in making the effort to prepare a bid for submission. VON acted immediately in establishing a team to prepare its response.

[61] Mr. Cerniuk stated that in good faith, VON proceeded to submit its proposal with its pricing in a timely fashion. He stated that VON met all the criteria set out in the RFP documents issued by OCCAC and that it was a qualified bidder. It is noted that in the Examination for Discovery of Donald Whitney by VON's counsel on March 27, 2006, Mr. Whitney acknowledged that VON was a provider of nursing services and had infrastructure in place and met the OCCAC's experience equivalent.

[62] Mr. Cerniuk noted that Mr. Whitney spent much time in his affidavit highlighting the issue of "basket of services" to demonstrate OCCAC's alleged bias against Kaymar. Mr. Cerniuk stated that he has been involved as an administrator in health care in Ontario for many years and he knows that this concept has been in existence for some time and well before the 2003 Therapies RFP. He stated that this model is not a creation of the OCCAC. Carefor (VON) used it to include any services that they were offering in a grouping. The terminology is frequently used in the health care industry to refer to a grouping of services offered. He noted that the 2003 Therapies RFP is itself a stand-alone "basket of services" (occupational therapy, physiotherapy and social work). The 2003 Therapies RFP was unchanged with respect to the scope of services which were previously delivered by Kaymar. Mr. Cerniuk stated that "basket of services" was not an undisclosed criterion within the RFP.

[63] Mr. Cerniuk also noted that all service providers to the OCCAC, including Kaymar, were invited to discuss models of service as part of the OCCAC community and service provider consultation process (a consultation process that appears to have taken place in the fall of 2002). He stated that there was absolutely nothing secret about these consultations. He denied that there were secret meetings between VON (Carefor) and OCCAC in the months leading up to the issuance of the 2003 Therapies RFP. With respect to the plaintiff's assertions that the RFP was "rigged", he stated that no discussions took place regarding the purposes being claimed by Kaymar. Carefor does not dispute that it had a number of meetings with the OCCAC. These meetings were due to the fact that Carefor was an ongoing service provider.

[64] Kaymar produced a lengthy Affidavit from Don Whitney sworn June 17, 2009. A myriad of documentation was referred to in support of its position that:

- (a) The OCCAC's preferred approach to procurement of health services was to procure all of the nursing, personal support, nutrition and Therapies in a single RFP from large, so-called Preferred or Partner Providers already providing nursing and personal support services;
- (b) Partner Providers were specifically identified and VON was one of these Partner Providers;
- (c) Meetings between OCCAC and VON commenced in the fall of 2002;

- (d) Carefor was aware in the fall of 2002 of the OCCAC's "Basket of Services" approach;
- (e) After consultations with VON, the OCCAC continued working on a draft RFP for the procurement of a "Basket of Services" comprised of nursing personal support, nutrition; and
- (f) The timing, structure and criterion of achieving the OCCAC's Comprehensive Basket of Services was discussed by OCCAC and Carefor in private meetings.

[65] Kaymar also noted that on January 26, 2004, the OCCAC issued an RFP for nursing, personal support and nutrition consulting services in an in-home setting (the "Nursing/PSS/Nutrition RFP"). Carefor was awarded contracts for these services. Kaymar stated that as a result of the combined effect of the Adult Therapies RFP and the Nursing/PSS/Nutrition RFP, Carefor is one of the OCCAC's largest, if not the largest, supplier of a comprehensive basket of in-home services comprised of nursing, personal support, nutritional services and Therapies. Kaymar noted the documentary evidence internal to Carefor dating back to September 2002, in which Carefor refers to meetings with the OCCAC to discuss as yet publicly unannounced RFPs, a "Basket of Services" to "include nursing, homemaking, supplies etc. to be organized by geography, palliative care and pediatric clients, etc."

[66] Kaymar further pointed to Carefor's response to the Adult Therapies RFP which it states reveals that Carefor, throughout its RFP process, referred to its capacity to help the OCCAC achieve the Basket of Services. It noted in this regard Carefor's planned responses to potential Interview Questions. Kaymar stated that Carefor trumpeted its achievement of the "Basket of Services" as one of its principal achievements in its quarterly report, April-September 2004 and its 2003-04 Annual Report.

[67] Kaymar stated that prior to release of the Adult Therapies RFP, by October 2, 2003, Carefor was aware that there was an opportunity for it to bid on the RFP. The strategic planning started as early as October 2, 2003. Kaymar noted in particular the notes for a Strategic Planning Session, reported in an e-mail on October 2, 2003, were formalized in the October 18, 2003 "As Was Said Notes." The RFP was unannounced and unissued at this time. According to Kaymar, the timing of Carefor's knowledge is corroborated by internal OCCAC Board Minutes dated October 29, 2003, that refer to meetings in the prior week with contract companies. There was also an e-mail from Bob Cerniuk to Carol Burrows, dated October 27, 2003 and from Bob Cerniuk to Norma Strachan dated November 12, 2003, which indicated that Carefor was contemplating hiring Norma Strachan for consultant services on RFP preparation. The November 12 e-mail also indicated there would be "No prequalification phase."

[68] The Court was provided with lengthy factums, case law and lengthy oral submissions. The parties' positions while reviewed and considered, will only be briefly summarized in these reasons.

[69] Essentially Carefor submits that Kaymar has failed to offer any evidence in support of its claim of intentional interference in contractual relations against Carefor. Despite years of examinations for discovery, cross-examination, and proceedings before the OLRB, as well as thousands of pages of production, it is submitted that Kaymar has failed to make out a genuine issue of material fact requiring a trial in respect of this claim. Carefor further submits that there is no real conflict in the evidence in respect of a material fact. It is submitted that

Kaymar has offered only bare assertions, unsupported by the evidence. Carefor therefore submits that it is entitled to summary judgment dismissing the claims against it pursuant to Rule 20 as it existed prior to January 1, 2010 or in its present form.

[70] Kaymar submits that while Rule 20 has been amended, the test which this court must apply on a summary judgment motion remains the same. It is submitted that the motion before the court is not to determine if Kaymar would likely succeed at trial, rather it is to determine if Kaymar's right to a trial should be displaced. The test for whether a trial should be displaced remains, is there a genuine issue(s) requiring a trial. It is submitted that the novelty of Kaymar's claim should not be a bar to it.

[71] Kaymar submits that there is a genuine issue for trial with respect to whether there was an agreement between Carefor and OCCAC that Carefor was to become the OCCAC preferred provider of all services and that Carefor and OCCAC worked together to achieve that objective. With respect to Carefor's assertions that Kaymar has not established that Carefor intended to injure Kaymar, that Carefor made misrepresentations in its response to the 2003 Therapies RFP and that Carefor engaged in secret meetings with the OCCAC, Kaymar submits that these matters are subject to confusion, lack of clarity and credibility issues. It is submitted that there is conflicting evidence with respect to each of these matters. Kaymar asserts that a trial is required to reconcile the documentary evidence and the conflicting testimony of Mr. Cerniuk, Ms. Connolly and Mr. Sands. To resolve the issues it will be necessary for the trier of fact to evaluate credibility, weigh evidence and draw factual inferences in order to resolve the underlying material facts in dispute. Kaymar submits the case merits a trial, a full forensic exercise based on *viva voce* evidence to deal with all of the complex issues.

[72] Kaymar also notes that production of relevant documents by the defendants has been arduous. E discovery from the OCCAC is not yet complete. Kaymar submits that no examinations for discovery on the bulk of the relevant productions has yet taken place. Kaymar further submits that complex and interrelated legal and factual issues are preclusive of summary judgment in this matter. Kaymar notes that there is no motion for summary judgment before the court concerning Kaymar's claims against the OCCAC. It is submitted that Kaymar's claim against Carefor is so intertwined with its claim against the OCCAC, that it is logically impossible to confine the facts and legal issues to the one claim. Kaymar submits that there is a real risk of conflicting decisions between the summary judgment motion and the trial of Kaymar's claim against the OCCAC.

The Law

[73] In *Dawson v. Rexcraft Storage & Warehouse, Inc.* (1998), 111 O.A.C. 201, the Ontario Court of Appeal set out a number of principles with respect to summary judgment. Justice Borins wrote for the Court. He stated that a motion for summary judgment permits a motions judge to consult the pleadings, the affidavits, cross-examination of the deponents, examinations for discovery, admissions and other evidence to determine whether there is a genuine factual dispute between the parties. He stated at paragraph 13:

The essential purpose of summary judgment is to isolate, and then terminate, claims and defences that are factually unsupported.

[74] Justice Borins went on to note that to avoid summary judgment dismissing a claim, a plaintiff must produce evidence to demonstrate that his claim is adequately supported by the evidence. Justice Borins stated that at the summary judgment stage, the court wants to see what evidence the parties have to put before the trial judge, if a trial is to be held. Further, although the onus is on the moving party to establish the absence of a genuine issue for trial, there is an evidentiary burden on the responding party who may not rest on the allegations or denials in the parties' pleadings, but must present by way of affidavit, or other evidence, specific facts showing that there is a genuine issue for trial. Justice Borins noted that the motions judge is entitled to assume that the record contains all of the evidence which the parties will present if there is a trial.

[75] The court must determine whether the record demonstrates that there is no genuine issue in respect of a material fact which requires resolution by a trial. Justice Borins emphasized that the dispute must centre on a material fact and that it must be genuine. He cautioned however that a summary judgment motion should not be regarded as an adequate substitute for a trial. The following was said at paragraphs 19, 20 and 29:

19 In *Aguonie*, this court discussed the role of a motions judge in determining whether a genuine issue exists with respect to a material fact. It is helpful to repeat what the court said at pp. 235-36:

In ruling on a motion for summary judgment, the court will never assess credibility, weigh the evidence, or find the facts. Instead, the court's role is narrowly limited to assessing the threshold issue of whether a genuine issue exists as to material facts requiring a trial. Evaluating credibility, weighing evidence, and drawing factual inferences are all functions reserved for the trier of fact.

...

In reviewing the evolution of Rule 20, Doherty J. [in *Masciangelo v. Spensieri* (1990), 1 C.P.C. (3d) 124 (Ont. H.C.J.)] made this significant observation at p. 129: "The case law which has developed under Rule 20 promotes an expansive use of the rule as a means of avoiding expensive litigation where it is possible to safely predict the result without a trial." Morden A.C.J.O. made a similar observation in the passage which I have quoted from his reasons in *Ungerman, supra*: "It must be clear that a trial is unnecessary." As I read these observations, it must be clear to the motions judge, where the motion is brought by the defendant, as in this appeal, that it is proper to deprive the plaintiffs of their right to a trial. Summary judgment, valuable as it is for striking through sham claims and defences which stand in the way to a direct approach to the truth of a case, was not intended to, nor can it, deprive a litigant of his or her right to a trial unless there is a clear demonstration that no genuine issue exists, material to the claim or defence, which is within the traditional province of a trial judge to resolve.

20 To what the court said in *Aguonie*, I would add this. Underlying Rule 20 is the premise that little purpose is achieved by having an unnecessary trial. Rule 20 is the mechanism adopted by the *Rules of Civil Procedure* for deciding cases where it has been demonstrated clearly that a trial is unnecessary and

would serve no purpose. I recognize, however, that deciding when a trial is unnecessary and would serve no purpose is no mean task. However, in my respectful view, in determining this issue it is necessary that motions judges not lose sight of their narrow role, not assume the role of a trial judge, and, before granting summary judgment, be satisfied that it is clear that a trial is unnecessary. This is not to say that the court is not to consider the evidence which constitutes the record. Indeed, to do so is central to determining the existence of a genuine issue in respect to material facts.

29 As I have stated, the purpose of Rule 20 is not to deny the parties due process. It is not intended to deprive plaintiffs and defendants of their day in court absent demonstrated compliance with its requirements. Under the *Rules of Civil Procedure*, the plenary trial remains the mode for the resolution of disputes. Rule 20 does not represent court reform, or the reform of the adversary system, in disguise. Together with rule 21.01(1)(b), its purpose is to weed out cases at the pre-trial stage when it can be demonstrated clearly that a trial is unnecessary.

[76] Rule 20.04(1) was amended effective January 1, 2010. It provides (in part):

20.04 (1) Revoked: O. Reg. 438/08, s. 13 (1).

(2) The court shall grant summary judgment if,

(a) the court is satisfied that there is no genuine issue requiring a trial with respect to a claim or defence; or

(b) the parties agree to have all or part of the claim determined by a summary judgment and the court is satisfied that it is appropriate to grant summary judgment.

Powers

(2.1) In determining under clause (2) (a) whether there is a genuine issue requiring a trial, the court shall consider the evidence submitted by the parties and, if the determination is being made by a judge, the judge may exercise any of the following powers for the purpose, unless it is in the interest of justice for such powers to be exercised only at a trial:

1. Weighing the evidence.

2. Evaluating the credibility of a deponent.

3. Drawing any reasonable inference from the evidence. O. Reg. 438/08, s. 13 (3).

Oral Evidence (Mini-Trial)

(2.2) A judge may, for the purposes of exercising any of the powers set out in subrule (2.1), order that oral evidence be presented by one or more parties, with or without time limits on its presentation.

[77] Until 2010 when the amendments were introduced, the former Rule 20.04(2) provided that the court shall grant summary judgment where it is satisfied that “There is no genuine issue for trial.” Further, the amended rule provides new powers to a judge hearing a summary judgment motion. The judge may weigh evidence, evaluate the credibility of a deponent and draw any reasonable inference from the evidence, unless it is in the interest of justice for such powers to be exercised only at trial. Rule 20.04(2.1) is a statutory reversal of the case law that held that a judge cannot assess credibility, weigh evidence or find facts on a summary judgment motion.

[78] The effect of the amendment to Rule 20.04 was recently considered by Justice Perell in *Healey v. Lakeridge Health Corp.*, [2010] O.J. No. 417 (Ont. S.C.J.). He noted that the amendment was prompted by the recommendations of the Civil Justice Reform Project, which was chaired by the Honourable Coulter A. Osborne. (Coulter A. Osborne, *Civil Justice Reform Project: A Summary of Findings and Recommendations* (Toronto: Ontario Attorney General, 2007). Justice Perell stated the following at paragraphs 20, 23, 28, 29, 30 and 31:

20 Semantically, there is not much difference between "no genuine issue for trial" and "no genuine issue requiring a trial," which leads one to ask what purpose was being achieved by the change. As a matter of statutory interpretation, this is a way of asking what was the problem that the Civil Rules Committee was trying to remedy by amending the rule? The answer is that the problem was that: (1) the former test was regarded as too strict with the result that the rule was not achieving its purposes; and (2) the utility of the rule was being impaired by case law that had held that a motions judge could not assess credibility, weigh evidence, or find facts on a motion for summary judgment: *Aguonie v. Galion Solid Waste Material Inc.* (1998), 38 O.R. (3d) 161 (C.A.); *Dawson v. Rexcraft Storage & Warehouse Inc.* (1998), 164 D.L.R. (4th) 257 (Ont. C.A.).

23 Placed in the context of the other amendments to Rule 20, the purposes of the change from "no genuine issue for trial" to "no genuine issue requiring a trial" in the test for a summary judgment are: (1) to make summary judgment more readily available; and (2) to recognize that with the court's expanded forensic powers, although there may be issues appropriate for trial, these issues may not require a trial because the court has the power to weigh evidence on a motion for summary judgment.

28 Since the introduction of the summary judgment rule, the courts have struggled with finding a balance between a day in court by a summary judgment motion or by a trial hearing. To go back to the insights of Justice Morden in *Irving Ungerman Ltd. v. Galanis*, *supra*, sometimes a trial is necessary to provide procedural and substantive justice, but sometimes, a trial is unnecessary and requiring one would be a denial of procedural justice. This insight suggests that a factor in interpreting and applying the new rules about summary judgment is the determinant of whether a trial is genuinely necessary, not because it is to be given some preferred status in the administration of justice, but because the issues to be resolved cannot be truthfully, fairly, and justly resolved without the forensic machinery of a trial.

29 It is informative to note that rule 20.04 (2.1) envisions that the motions judge may use the powers of a trial judge unless it is in the interest of justice for such

powers to be exercised only at a trial. The reference to the interests of justice suggests that the motions judge will have to assess whether the search for truth and justice requires the forensic machinery of a trial. To go back again to the language of Justice Morden in *Irving Ungerman Ltd. v. Galanis*, the motions judge will have to determine whether the particular proceeding in which a summary judgment is sought is one where requiring the parties to go to trial would be a failure of procedural justice because the holding of a trial is unnecessary.

30 Put into practical terms, these insights mean that having regard to the new powers to weigh the evidence, evaluate the credibility of a deponent, and draw any reasonable inference from the evidence, the moving party must provide a level of proof that demonstrates that a trial is unnecessary to truly, fairly, and justly resolve the issues.

31 In this regard, it is important to precisely identify the issues to be resolved because the nature of the particular issues to be resolved both qualitatively and quantitatively will be relevant to determining whether a trial is necessary. For example, to resolve some issues, it may be necessary for a judge to have the opportunity to directly observe, hear, and question a witness. Or, for example, an action may turn on credibility and a transcript of evidence along with the documentary evidence may not - in the particular circumstances of the case - be adequate for the court to evaluate credibility. In such a case, there would be a genuine issue requiring a trial or there would be the need to resort to the court's new powers to order evidence to be called as a part of the summary judgment procedure. But, in another case, the issues may be such that the motions judge could decide the credibility issue on the motion for summary judgment.

[79] There is little doubt that the new rule has materially changed the landscape with respect to summary judgment. However, the court is still required to focus on whether there is a genuine issue(s) in respect of a material fact(s) which requires a trial. A judge may weigh evidence, evaluate credibility and draw any reasonable inference from the evidence, provided the issues can be truthfully, fairly and justly resolved without the forensic machinery of a trial. Essentially, it is the position of Kaymar that they cannot.

[80] However, notwithstanding the existence of the new rule, the position of a responding party remains the same. The responding party may not simply restate mere allegations contained in its pleadings. The responding party must set out in affidavit material evidence of specific facts showing that there is a genuine issue requiring a trial. It is not sufficient to say that more and better evidence will or might be available at trial. While there is an onus on the moving party to establish that there is no genuine issue requiring a trial, the case law clearly establishes that the respondent must “lead trump or risk losing.” A responding party to a motion for summary judgment is obligated to put his or her best foot forward and must do more than simply assert uncorroborated facts.

[81] For completeness, I note that Carefor’s motion was brought prior to January 1, 2010 but was not heard until January 19-21 and May 11-12, 2010. However, counsel did not dispute the applicability of the amended rule to the motion at hand. Moreover, a number of cases have recently concluded that where a summary judgment motion was commenced prior to January 1, 2010, but actually heard thereafter, the new rule is to be applied: (see *Onex corp. v. American Home Assurance*, [2009] O.J. No. 5526 (S.C.) (Belobaba J.); *Healey v. Lakeridge*

Health Corp., supra; *Brown's Cleaners and Tailors Ltd. v. Omers Realty Corp.* 2010 ONSC 1073 (Valin J.); *Aylmer Meat Packers Inc. v. Ontario*, [2010] O.J. No. 437 (Conway J.); *Cockshutt v. Computer Facility Services Inc.*, [2010] O.J. No. 1205 (Molloy J.) and *Liu v. Silver*, 2010 ONSC 2218 (Allen J.)

[82] Kaymar has made a claim against Carefor for intentional interference with economic relations. In *Daishowa v. Friends of the Lubicon* (1996), 27 O.R. (3d) 215 (Div. Ct.) leave to appeal refused, 1996 CarswellOnt 1553 (C.A.), it was held that the tort of intentional interference with contractual relations and economic interests requires a plaintiff to prove:

- (1) an intention to injure the plaintiff;
- (2) interference with another's method of gaining his or her living or business by illegal means;
- (3) economic loss caused thereby.

[83] The Divisional Court noted in *Daishowa* that intention has both subjective and objective elements. The intent to cause injury may be inferred in circumstances where the defendant knew that injury to the plaintiff would ensue.

[84] The tort of intentional interference with economic relations and economic interest was considered by the Ontario Court of Appeal in *Lineal Group Inc. v. Atlantis Canadian Distributors Inc.*, 42 O.R. (3d) 157 (C.A.). In this case the bank's letter to a purchaser of goods from a retailer had the result that the manufacturer of the goods was unpaid by the retailer. The manufacturer sued the bank for intentional interference with economic relations. The manufacturer's tort claim was dismissed. The Court of Appeal noted that while the bank's purpose was to advance the retailer's interests (and by doing so its own), and the manufacturer was injured, it did not have a cause of action against the bank. The Court stated as follows:

Although the Bank's purpose was to advance Brock's interests (and by so doing its own interests) and Lineal was injured, Lineal does not have a cause of action against the Bank for intentional interference with economic interests or intentional interference with contractual relations. These torts are intentional torts. Negligent interference with such interests does not amount to intentional interference: *Clerk and Lindsell on Torts*, 17th ed., at p. 218.

[85] Further, to succeed with respect to a claim for intentional interference with economic relations, a plaintiff must show interference with its interests through unlawful, illegal or wrongful means. Even intentional interference will not constitute a tort so long as it is carried out through lawful means: (See *Daishowa, supra* and *Ont. Store Fixtures Inc. v. Mmmuffins Inc.* (1989), 70 O.R. (2d) 42).

[86] This case arose in the context of a tendering process. In this regard I note the case of *Leeds Transit Sales Ltd. v. Ottawa (City)*, [2003] O.J. No. 1650 (S.C.J.) (QL). It is settled law that no contract is created among the various parties who may submit responses to an RFP. There can be no liability for breach of contract among those parties. In addition, I note the case of *Design Services Ltd. v. Canada*, [2008] 1 S.C.R. 737. While protecting the integrity of the tendering process is a central purpose of the Contract A/Contract B analysis (*The Queen v. Ron Engineering, supra*), the courts have refused to impose a duty of care in tort between the various parties to the tendering process.

Determination

[87] In its Fresh Amended Statement of Claim, Kaymar claims against Carefor, among other things, general damages for intentional interference with contractual relations in the amount of \$5,850,000. Kaymar has pled that Carefor intentionally interfered with Kaymar's economic and business prospects by misrepresenting its qualifications. The following is pled at paragraphs 91-95:

91. In warranting to the OCCAC that it was an established provider of the defined Services, VON Ottawa-Carleton knowingly misrepresented its qualifications. VON Ottawa-Carleton knew that the effect of this warranty would be to exclude Kaymar, an established provider, because it knew the antipathy which the OCCAC held against Kaymar, and it knew from the OCCAC that this misrepresentation was required and would be overlooked. By way of further particulars:

- (a) the defendant VON Ottawa-Carleton knew at all material times that it could not warrant that it was an Established Provider of the Services since it did not have experience providing the Services being procured in the 2003 Services RFP;
- (b) in responding to the 2003 Services RFP, it did not joint venture with any other person or entity and therefore, it could not rely on the experience of persons other than itself;
- (c) VON Canada and the other VON branches, upon whose limited experience in providing adult therapy service VON Ottawa-Carleton relied extensively in its response to the 2003 Services RFP, are legal entities distinct from each other and from VON Ottawa-Carleton;
- (d) at the time that VON Ottawa-Carleton prepared its response to the 2003 Services RFP, VON Ottawa-Carleton was contemplating potential disassociation from VON Canada. Therefore, VON Ottawa-Carleton's proposal in response to the 2003 Services RFP disingenuously relied almost exclusively on the experience and resources of VON Canada and its separate branches; and
- (e) despite having discussed taking over the Services work with the OCCAC in the fall of 2002 and thereafter, VON Ottawa-Carleton did nothing to staff itself for the provision of the Services. VON Ottawa-Carleton counted on hiring almost exclusively from Kaymar's former employees.

92. Furthermore, Kaymar states that VON Ottawa-Carleton intentionally interfered with Kaymar's economic and business prospects by knowingly participating in an RFP process that it knew was biased and illegal.

93. VON Ottawa-Carleton met with the OCCAC, commencing in the fall of 2002, to discuss the OCCAC's adoption of the basket of services service delivery methodology, the OCCAC's decision to favour nursing/PSS

providers, its anti-union animus, the guiding principles that would govern the upcoming procurement of the Services, dietetics and nursing/PSS and VON Ottawa-Carleton's identification as a Preferred or Partner Provider. VON Ottawa-Carleton indicated to the OCCAC its willingness to assist the OCCAC in achieving the OCCAC's undisclosed criteria.

94. Consistent with the private understanding reached between the OCCAC and VON Ottawa-Carleton in late 2002, VON Ottawa-Carleton resolved to bid and did bid on all of the Nursing/PSS & Dietetics and Services RFPs without joint venturing, even though it had no experience providing dietetics or the Services. It, therefore, knowingly participated in an RFP process that it knew was biased and pre-determined against Kaymar and therefore illegal. VON Ottawa-Carleton submitted a non-compliant bid and accepted a contract which it knew the OCCAC had no legal authority to award.

95. VON Ottawa-Carleton misrepresented its qualifications and participated in the OCCAC's scheme to deprive Kaymar of the Services work when it knew or ought to have known that the consequences of the OCCAC's scheme would be to deprive Kaymar of the Services work on the basis of undisclosed criteria.

[88] Kaymar submits that there is evidence relating to each element of its claim for intentional interference with economic relations. It states that in participating in the OCCAC's undisclosed plans, Carefor intended to injure Kaymar. According to Kaymar, at a minimum, Carefor knew that injury would ensue to Kaymar if Carefor participated in the OCCAC's recruitment process, as the foreseeable result of Carefor being awarded the Therapies work would be to deprive Kaymar of the Therapies work. Thus, the intentional element has been met.

[89] While conspiracy was not specifically pleaded by Kaymar, it has been raised in the context of this motion, more specifically concerning the second element required with respect to the tort of intentional interference with economic relations. That is, the use of unlawful, illegal or wrongful means. At paragraph 89 of its factum, Kaymar stated as follows:

89. In the case at issue, there is evidence that Carefor participated in an RFP process that it knew was biased and illegal in what amounted to a conspiracy with the OCCAC to deprive Kaymar of the Therapies work. Further, Carefor knew that the consequences would be to deprive Kaymar of the Therapies work on the basis of undisclosed criteria.

[90] According to Kaymar, the conduct of Carefor and the OCCAC was unlawful as they met secretly and contrary to the terms of the 2003 Therapies RFP and conspired against Kaymar to misrepresent Carefor's experience in its response to the 2003 Therapies RFP. Kaymar submits that there is evidence of secret meetings between Carefor and the OCCAC. Further, it is submitted that in response to the 2003 Therapies RFP, Carefor misrepresented that it was an established provider of Adult Therapies. In addition, according to Kaymar it misrepresented its experience providing Therapies, developing best practices documents, determining staffing, and developing a methodology for the development of a care plan by relying on the experience of VON Canada and other VON Entities. Kaymar submits that each of these misrepresentations were in direct breach of the terms of the 2003 Therapies RFP and were false.

[91] For reasons which follow I am satisfied that there is no genuine issue requiring a trial in this matter. In my view Kaymar has failed to offer evidence to support an intention to harm Kaymar's economic interests, or the use of illegal means to do so, on the part of Carefor.

[92] I turn firstly to the list of documents contained at paragraph 33 of Kaymar's Factum, documents emanating from OCCAC from May 2002 and from Carefor from September 25, 2002, until the draft RFP dated November 22, 2002. Much is drawn from this documentation by Kaymar, both with respect to the references contained therein to "basket of services" and to the fact that there appears to have been two meetings between OCCAC and Carefor, one of which was at the Board to Board level.

[93] Kaymar speculates and draws inferences with respect to this documentation in support of its position. Comments are made by Kaymar such as "meetings between Carefor and OCCAC commenced in the Fall of 2002"; "Carefor was aware in the fall of 2002 of the OCCAC's 'Basket of Services' approach"; "after consultations with VON Ottawa-Carleton, the OCCAC continued working on a draft RFP for the procurement of a 'Basket of Services'"; "the timing structure and criterion of achieving the OCCAC's Comprehensive Basket of Services was discussed by OCCAC and Carefor in private meetings".

[94] However this documentation must be carefully scrutinized and put in context. There is little doubt that commencing spring/summer 2002, OCCAC began to contemplate moving to a basket of services approach for its organization. In an Executive Committee Report to the OCCAC Board of Directors reference is made to "Explore the best approach for service delivery" and to extend existing contracts to September 30, 2003 "to allow time to explore with our partners, different models of service delivery..." An agenda for the Executive Committee meeting dated August 7, 2002 refers to contract extensions. An e-mail from Norma Strachan to Jo Nelson, dated August 26, 2002 documents preparation for the consultation process on service delivery models that the OCCAC was organizing. (Jo Nelson was the consultant engaged by the OCCAC to facilitate the consultation).

[95] That consultation did in fact take place September 6-9, 2002. The content of that consultation is contained in a document entitled Ottawa Community Care Access Centre, Consultation on Service Delivery Models, September 6-9, 2002. It is noted that the focus groups for the consultation involved more than 100 stakeholders. This was a very public process. Kaymar was present. From a review of the document, the "basket of services" approach was very much the focus, with different models being considered. While the consultation resulted in a consensus on a final model, essentially two baskets (Nursing and Personal Support Services) and (Therapy Services, Social Work and Nutrition), other basket of services models were explored. From the report of the Executive Committee to the OCCAC Board of Directors dated September 19, 2002, it appears that the Executive Committee was recommending one RFP that would incorporate all contracted client services (what I will refer to in these reasons as the "comprehensive basket of services" RFP). Explanation is given in this report for this recommendation. Thereafter the documentation indicates that the OCCAC moved to implement the comprehensive basket of services RFP. In fact, a draft RFP implementing this approach dated November 22, 2002 was prepared (covering Nursing, Personal Support/Homemaking, Physiotherapy, Occupational Therapy, Speech Therapy, Social Work and Dietary/Nutritional Counselling). However, for reasons set out in the Executive Committee Report to the OCCAC Board of Directors dated November 26, 2002, the one RFP approach was shelved.

[96] It is to be noted here that the OCCAC has throughout the proceedings before the OLRB, and in these proceedings, acknowledged that a basket of services model (what I will refer to as a comprehensive basket of services) model was its long term goal. However it has been the OCCAC's consistent position that while it was a long term goal, the model was not pursued in the 2003 Therapies RFP.

[97] I turn now to the Carefor documentation from the time period. In the Minutes of the VON Board of Directors meeting held on September 25, 2002 (some two weeks after the consultation with the OCCAC was held) it is stated:

Mr. Cerniuk shared the content of discussions which took place at a meeting he recently attended with CCAC regarding the organization of new RFPs. There were many suggested changes eg. a 'basket of services' to include such services as nursing, homemaking, supplies etc. to be organized by geography, palliative care and pediatric clients, etc.

[98] While Kaymar points to the words "a meeting he recently attended with OCCAC", these issues were covered in the public consultation meetings.

[99] The September 25, 2002 Minutes also refer to a letter from the Chair of the OCCAC's Board of Directors, inviting a Board to Board meeting. Kaymar points to this meeting in further support of its position. Mr. Cerniuk responded to this letter agreeing to the Board to Board meeting. In his letter he set out issues to be discussed. The letter speaks for itself. It referred, among other things, to VON's initiatives to meet client needs (that is, the public who utilizes the agency's services) and how VON could work with OCCAC to enhance and maintain quality service. A Board to Board meeting did take place on October 28, 2002. It is referred to in the letter from Mr. Cerniuk to Graham Bird (Chair of the OCCAC Board) dated October 31, 2002. That letter also speaks for itself. It states:

The knowledge we have gained through our meeting will assist us in working directly with CCAC's new directions. We look forward to new working relationships and active involvement in the information technology and client related task groups.

[100] Attached to the letter is information relating to nursing team assignments. Ongoing service issues were obviously being discussed between the parties at this meeting. The Board to Board meeting was referenced in the Minutes of the CCAC Board of Directors dated October 30, 2002 and the VON Board of Directors meeting dated November 20, 2002. *Quaere* how this Board to Board meeting, reference to which is set out in the Minutes (and not part of any in camera session) could be characterized as "secret"?

[101] Reference is also made by Kaymar to the Report of the Executive Director (Mr. Cerniuk) to the VON Board of Directors and the VON Board of Directors meeting Minutes, both dated October 23, 2002. In both documents there is information that the RFP process will be ready for release January 2003 and it will be based on the comprehensive basket of services model (Nursing, Personal Support and Professional Therapy Services). In his report, Mr. Cerniuk referred to the summary provided by the OCCAC of the consultation process. (All participants to the consultation process were sent a copy of same, including Kaymar).

[102] What is to be drawn from all of the above? It appears clear that from May 2002 OCCAC was contemplating a change in the way it did business. There is no doubt it was considering new directions (my words). It consulted publically on various models of service delivery. A report was provided to all who participated. A draft comprehensive Basket of Services RFP was prepaid but shelved in late November 2002. Carefor had information on October 23, 2002 that one comprehensive RFP was being considered. It appears as well that the OCCAC was approaching other providers (see letter to Wecare, dated October 29, 2002).

[103] Kaymar seeks to have this court draw some negative inferences from the above with respect to its position on the summary judgment motion as against Carefor. The evidence does not support same. No negative influence can be drawn against Carefor from the fact that there was a Board to Board meeting in 2002. The OCCAC was obviously a very important client. It is not unusual that a Board to Board meeting would occur. Nor would it be unusual or untoward for an agency like Carefor to want to be responsive to an important client's new directions. An agency that failed to do so would not remain in business for long.

[104] It is true that Carefor had some information about the proposed comprehensive basket of services RFP, but it causes this court no concern. There was a draft RFP created. There is no evidence before the court that Carefor participated in any way in the decision made by the OCCAC, recommended on September 19, 2002 to proceed with one comprehensive RFP. I do not draw any negative inference against Carefor from the fact that this was shared with Carefor later in October. Moreover, even accepting that OCCAC should not have done this (and I make no such finding, that being the purview of the trial judge), the draft comprehensive RFP was shelved. This all occurred more than one year before the 2003 Therapies RFP with which this proceeding is concerned.

[105] In its submissions, much is made by Kaymar that "basket of services" and "new directions" terminology is utilized by Carefor in its documentation. One should be very careful in this regard. "Basket of Services" and "new directions" are not some secret code words for some secret OCCAC objective. Their use does not evidence conspiracy. There is no evidence to contradict Mr. Cerniuk's assertion that the concept of "Basket of Services" has been in existence in health care for some time and well before this RFP. "Basket of Services" is simply a grouping of services in search of efficiency. This model is not a creation of the OCCAC. It was referred to throughout the 2002 public consultation process. Moreover, the 2003 Therapies RFP is itself a basket of services. The use of words "basket of services" and "new directions" does not, in the circumstances of this case, make a conspiracy.

[106] There is no probative evidence of any private or secret meetings between OCCAC and Carefor to discuss the 2003 Therapies RFP. There is evidence that OCCAC contacted Comcare and Paramed to canvass their interest. There is evidence that OCCAC wrote to Kaymar to invite them to bid. (As an interesting aside I also note here that Kaymar representatives were invited guests at the OCCAC Board of Directors Meeting held on October 29, 2003. During the public portion of the meeting Ms. Connelly reported on the timetables for the upcoming RFP). There is evidence (from diary entries) that there was a meeting between representatives of OCCAC and Carefor, with the reference to a "Performance Input Meeting" in October 2003. (Obviously in relation to the nursing contract).

[107] I am mindful that Carefor had some knowledge of the upcoming 2003 Therapies RFP. In its October 18, 2003 Strategic Planning Session "As Was Said Notes", reference was made to "CCAC moving ahead with RFP – standard provincial template Basket of Services"

approach. A question was raised concerning whether VON should pursue development and diversification within CCAC contracts. Among the responses it was noted “Fits VON mission” and “Meets customer needs (CCAC)”. There was a reference that VON “May need a consultant” and a note that CCAC had approached VON. It appears that after a consideration of the various issues raised, a decision was made to “go for it”.

[108] Further, there was an e-mail from Mr. Cerniuk to a Board member concerning an approach to Ms. Strachan to act as a consultant for Carefor on the upcoming 2003 Therapies RFP. Ms. Strachan was approached on October 31, 2003. There was also the e-mail of November 12, 2003, from Mr. Cerniuk to Ms. Strachan. Kaymar drew the court’s attention to the statement contained therein “Anticipated for release in November 2003 – No prequalification phase – New Service for VON Branch.”

[109] While it does appear that Carefor had some information about the upcoming Therapies RFP, it was no secret that Kaymar’s contract was coming to an end and that an RFP was coming. The OCCAC had been approaching companies (Comcare, Paramed and Kaymar). While Mr. Cerniuk could not recall how he had the information that there would not be a prequalification stage – a far more telling comment with respect to Carefor’s knowledge is found later in the November 12, 2003 e-mail. It is stated:

I am concerned about our ability to bid on the allied health disciplines RFP. Recently, several CCACs have specified up to three years experience and up to 20,000 hours of annual service delivery in order to be considered a viable service provider. If Ottawa CCAC issues a similar prerequisite, we may be into a false start and will not be able to bid on this service...

I am not concerned about our ability to bid on Renfrew County CCAC contracts as it is anticipated that we will have a full partnership with the Renfrew County VON. In this regard, the new template allows for Joint Ventures and partnership submissions.

I believe our next step would be to have a consultative meeting on our ability to bid on the Allied Health Disciplines RFP and identify those items we need to consider to get ready prior to the call for tender. (Emphasis mine)

[110] While Carefor appears to have made a decision to “go for it” and hired a consultant in furtherance of that decision, it is clear that they did not know if they would actually be able to submit a bid on the adult therapies work. This is a crucial piece of evidence and one that completely contradicts any inference or assertion by Kaymar that Carefor participated in an RFP process that it knew was a sham, biased and illegal, in what amounted to a conspiracy with the OCCAC to deprive Kaymar of the Therapies work. If the “fix” was in, if Carefor and the OCCAC had conspired in this biased and illegal process, if Carefor knew that OCCAC was going to be relying on undisclosed criteria to deprive Kaymar of the work, Carefor would have had absolute knowledge that it would be able to submit a proposal for the adult therapies work. It would have had no concerns.

[111] I accept the evidence of Mr. Cerniuk that the issue of experience equivalents was of concern to Carefor in terms of its ability to bid on contracts outside of its current contracted business areas of that time. I find that Carefor was not certain that it would have the opportunity to bid on the adult therapies work until it saw the OCCAC’s template and the experience equivalents included therein. Even then, Carefor raised a question relating to its ability to participate in the RFP (as noted in the Q and A document set out above. The court

was advised that question 38 was submitted by Carefor). If the “fix” was in, Carefor would not have had any question at that time.

[112] I turn then to Kaymar’s assertion that Carefor misrepresented that it was an established provider of Adult Therapies and that it misrepresented its experience providing Therapies, developing best practice documents, determining staffing, and developing a methodology for the development of a care plan by relying on the experience of VON Canada and other VON Entities. Kaymar has claimed that each of these were in direct breach of the terms of the Adult Therapies and were false. Kaymar has also submitted that Carefor could not warrant that it was an established provider of Therapies and that there was as well a genuine issue as to how Carefor could have complied with the requirements of the General Conditions and Schedule D, given the fact that they had never provided any of the three Therapies work. Kaymar pointed to Subsection 1.1 of Schedule C – “Financial and Experience Information Forms and Requirement” of the 2003 Therapies RFP where the following is stated:

Respondents should note that the CCAC will take into account only the experience and information of the Respondent itself (if the Respondent is an individual legal entity the experience and information of that entity only or if the Respondent is a joint venture the experience and information of the group of entities in accordance with RFP Section 3.1.

[113] Kaymar also referred to information given to service providers on November 17, 2003, at the RFP Information Session for Service Providers concerning the Ministry approved November 3 Final RFP Template. The presenter (Ms. Judy Wilson) stated that only the experience of the applicant itself will count for purposes of the RFP (both Mr. Whitney and Mr. Cerniuk attended this session).

[114] While I am mindful of the above, it must be noted that subsection 1.1 of Schedule C did not stand alone. The 2003 Therapies RFP provided for service equivalents. I have set out above the General Experience Section at subsection 1.3 of Schedule C and Schedule A, “The RFP Data Sheet”, which I will repeat for ease of reference:

General Experience

- (3) On the applicable form set out in this Schedule, the Respondent shall provide evidence that the Respondent itself has been actively engaged in the services as described in the RFP Data Sheet a community setting or, if set out in the Data Sheet the required equivalent experience, for not less than the amount of time and during the period set out in the RFP Data Sheet.
- (4) For the purpose of assessing experience for this RFP Process only, “services in a community setting: means services provided in such locations as homes, schools, the workplace and CCAC clinics but excludes services provided in an institutional setting such as hospitals and long-term care facilities.

General Experience:

5. Minimum length of time that Applicant must have experience in providing services in a community setting.

Three years providing Physiotherapy, Occupational Therapy and Social Work Services.

6. Period of time when the Applicant's services used to meet the experience requirements must have been provided.

Within the five years immediately prior to the Deadline for Submission of Proposals.

7. Any other specific experience requirements.

Not applicable.

8. Experience Equivalents

Three years delivering professional services in a community setting within the five years immediately prior to the Deadline for Submission of Proposals.

[115] From these sections it appears that despite subsection 1.1, experience equivalents were included in the 2003 Therapies RFP. Moreover, this was clearly confirmed by the answers provided to questions 38, 42 and 43 set out in the Q and A Document quoted above.

[116] I fail to understand how it can possibly be said that Carefor misrepresented itself in these circumstances. To the best of Carefor's knowledge it was compliant in the way that it responded to the RFP. It responded to the RFP as it was drafted. If there was some ambiguity in the RFP, Carefor was duly diligent in raising a question in the Q and A process. Further, if there was a problem with the drafting of the RFP, surely that problem is not Carefor's and cannot support a claim for misrepresentation.

[117] Moreover, Carefor was not attempting to pull the wool over anyone's eyes. All involved in the RFP process would have known that it had never previously provided Adult Therapies. It clearly identified when it was responding to questions with the experience of other VON agencies. During the Examinations for Discovery, Mr. Whitney acknowledged that Carefor was a provider of nursing services and had infrastructure in place and met OCCAC's experience equivalent (questions 2011, 2014-2017, 2087-2092). In addition, during the Cross-Examinations of Mr. Whitney on this motion, he admitted that he had no evidence to prove that the statements made by Carefor in the RFP with respect to the experience of other Ontario branches were untrue.

[118] In support of its theories that Carefor had the intention to injure Kaymar, that it participated in an RFP process that was biased and illegal in what amounted to a conspiracy with the OCCAC to deprive Kaymar of the Therapies work, and that the consequence would be to deprive Kaymar of the Therapies work on the basis of undisclosed criteria, Kaymar relied on the method by which VON responded to the RFP. Kaymar pointed to the e-mail from Greg Penney to Bob Cerniuk, dated January 21, 2004. This was a preparation document for the interview stage of the RFP process containing VON's selling points. ("Why should CCAC select VON? What has VON going for it? What makes VON different/better than the

competition? What positions/qualifies VON to best deliver the Adult Therapy Service?") While many selling points are listed, two are noted by Kaymar:

- Ability to have a "team approach" integrating Nursing, PSS with Therapies for enhanced service delivery to clients.
- Ability to be a holistic service provider offering a basket of service which meets with CCAC strategic directions.

[119] These were two of fourteen points. Carefor was obviously trying to sell itself to OCCAC. It would not expend the time, resources and money required to win a very substantial contract and not try to sell itself. Moreover, as I cautioned earlier in these reasons, one must be cautious not to see the words "basket of services" as some secret code. The Therapies RFP is itself a basket of services. This "team approach" was something other service providers who might apply might not have (for example COTA). As an aside, it is interesting to note here that COTA scored first in the RFP process and it could not provide a comprehensive basket of services.

[120] Kaymar also pointed to the fact that in its response to the RFP, Carefor made reference to "basket of services." For example:

(d) Innovation

VON currently provides Nursing and Personal Support Services to the OCCAC. If VON also provided Therapies and Social Work, then clients could obtain a basket of services at VON. The request for service would be sent to one agency (VON) where the service could all be coordinated. This would increase organizational effectiveness, and adds the Therapist's and Social Worker's perspective to service delivery within one agency.

Also by providing a basket of services VON could work with CCAC to manage the waitlist. Clients who are currently on service with VON for Nursing or Personal Support Services would be given priority for admission to the Therapy and Social Work program.

Integration of the multidisciplinary team (therapy, social work, nursing, personal support) to meet short and long term outcomes identified in the Client Care Plan.

VON currently provides nursing and personal support services to CCAC. By adding therapies and social work, VON could provide clients with a broad basket of services. Requests or referrals for additional services for the Client could be sent to VON where services and Care Plans would be coordinated.

Example:

VON receives a referral for a client diagnosed with Alzheimer's disease to provide Personal Support Services (PSS) for assistance with personal care and respite for the caregiver. The Personal Support Field Supervisor, who is a

Registered Nurse, makes the first visit to the client to review the services required for PSS and does a mobility assessment. The Supervisor identifies a need for bath aids and contacts the CCAC Case Manager for a request for Occupational Therapy (OT). The referral for OT is sent to VON and the therapist visits the client reviewing the documentation in the client's home record, including the Care Plan set up by the PSS Supervisor. The OT orders the equipment and then arrangements are made through the Client Services Coordinators at VON to coordinate the visit between the OT, the PSS Supervisor and the Personal Support Worker to teach the transfer using the bath aids. While present in the home the Personal Support Worker, PSS Supervisor and Occupational Therapist determine that the client would benefit from attending a day program. This would also provide respite for the wife who is the caregiver. The OT contacts the CCAC Case Manager to suggest the client attend the VON Alzheimer Day Away Program.

[121] Again, this is an indication of Carefor trying to sell itself in order to win the Therapies RFP. *Quaere* that if "basket of services" was a secret undisclosed criterion that Carefor and OCCAC were conspiring about why would Carefor trumpet it? Also, if by way of the "conspiracy" it was in the bag for Carefor, why would this not for profit have to spend the money to hire a consultant and expend such effort to sell itself?

[122] Lastly, Kaymar refers to Carefor documentation dated after the RFP process, in support of its position. More specifically, it notes the VON Allied Health Quarterly Report OCCAC Contract – 0404-AD-PTOTSW-0908 April-September 2004. This report described the many challenges and successes resulting from its obtaining the Therapies work. It states:

Adding therapists and social work to VON has allowed us to offer clients a full range of services. There is increased interaction and relationships between the therapists and social workers and nurses, PSWs, PSS Field Supervisors which we believe has benefited our clients and families.

[123] Kaymar also refers to VON's 2003-2004 Annual Report. In this report VON made such comments as:

- The VON team has continued to grow and expand as leaders, partners and innovators in providing a "basket of homecare services."
- We have been able to invest in several new projects, programs and best practice initiatives to further diversify and to achieve our strategic vision and goals.
- Expanding our basket of services to include physiotherapy, occupational therapy and social work through a successful bid for an OCCAC contract.
- VON now offers a 'basket of services' offering Physiotherapy, Occupational Therapy and Social Work Services.

And finally,

ALLIED HEALTH (Therapies)

- As part of OCCAC's efforts to case manage through a "Basket of Services" approach, the VON has bid on Allied Health (Therapy) Services as addressed through the RFP process. As a successful bidder, VON has engaged in program development and recruitment of therapists and social workers to initiate service delivery April 1st, 2004. The team includes Physiotherapy, Occupational Therapy and Social Work. These services compliment Nursing and Personal Support and Homemaking Services that we currently provide. Bringing this program on-board will further help us to achieve 'continuity of care' in the home and community care sector.

[124] In my view the annual report simply reflects the obvious. VON added a group of services to its repertoire. The report lauds the fact that by doing so, it will be able to achieve continuity of care in the community and better serve the public. (The report also highlights that VON is a not for profit organization and thanks its donors.) The report also states that VON has continued to grow and expand, to further diversify and to achieve its strategic vision. This stands in confirmation of Mr. Cerniuk's evidence that while VON started out in nursing specialties, and even though it is a not for profit, it is ever attempting to expand the type of health care services it can offer. Mr. Cerniuk stated that it had been his mandate from the Board of Directors to expand these services to ensure the viability of the organization for years to come and that the organization continues to search for other opportunities to expand its core business.

[125] Kaymar has raised that there are credibility issues at play in this case which require a trial. In its Factum and oral submission it has attempted to flesh out contradictions between the evidence of Mr. Cerniuk and Ms. Sands (from the OCCAC) and between their evidence and the documentation reviewed. I do not intend to detail these submissions in these reasons. I have closely reviewed the transcripts from discovery of Ms. Sands, the transcripts of Mr. Cerniuk and the documentation and can find no such conflict and no credibility issues on any points material to the matter before me. There is no conflict in the evidence but in the inferences which Kaymar draws from the evidence. In my view those inferences are not reasonable on the evidence before the court. I do not find, as is submitted by Kaymar, that a trial is required to reconcile the documentary evidence that has now become available in the action and the alleged conflicting testimony of Mr. Cerniuk, Ms. Connolly and Ms. Sands regarding the discussions and meetings that took place between Carefor and the OCCAC concerning the "Basket of Services RFP", the partnership model of procurement, "Partner Provider" status for Carefor, and Therapies services in the Ottawa region prior to the issuance of the RFP.

[126] In addition, I do not find that Mr. Cerniuk changed his story throughout the litigation. From reading his affidavits, and the transcripts of the discovery and cross-examination, his evidence appears logical, coherent, non-evasive and consistent. The issues raised by Kaymar with respect to credibility evaporate when one closely scrutinizes the evidence provided. For example, much was made of the answers given by Mr. Cerniuk with respect to the "committees" at Carefor involved in the 2003 Therapies RFP. On closer scrutiny it appears that there may have been some confusion on the part of the questioner as to what constitutes a committee. Counsel for Carefor objected to Ms. Song's characterization of that attribution to departmental heads and managers. In summary, there is no need for a trial to assess credibility in this matter.

[127] However, the parties should understand that I am not to be taken as making credibility finds with respect to the OCCAC. More generally, the issue before me on this motion is with respect to the claim for intentional interference with economic relations. To put it very succinctly, was there an agreement between the OCCAC and Carefor to subvert the tendering process and did Carefor agree to participate in this sham process in order to secure for itself the Therapies contract, knowing it was a sham process, knowing that it would consider undisclosed criterion and knowing that the consequence of its actions would be to deprive Kaymar of the Therapies work. I find no cogent evidence to support Kaymar's theory of its case as against Carefor. I find no such agreement or conspiracy.

[128] The case with respect to the OCCAC goes beyond the issue of whether there was an agreement or conspiracy with Carefor and whether Carefor was involved in the alleged wrongdoing of the OCCAC. In its case against the OCCAC Kaymar claims, among other things, that the OCCAC breached its obligations of openness, fairness and transparency by considering undisclosed criterion. The undisclosed criterion included:

- (i) The undisclosed criterion of eliminating the OCCAC's severance liability;
- (ii) The undisclosed preference for a Service provider capable of providing a "basket of services";
- (iii) The undisclosed criterion of a provider that would not take the Union.

[129] Kaymar also pleads that the OCCAC breached its obligations of openness, fairness and transparency by:

- (i) Failing to defer the procurement of Therapies work, when it could have done so in order to avoid breaching the provincial procurement policy;
- (ii) Engage in a prequalification and procurement process, targeting partnership providers, in order to defeat the Union and achieve its basket of services objective;
- (iii) Customized the Experience Equivalents of the 2003 Therapies RFP in order to enable Carefor to bid;
- (iv) Rigged the process for the evaluation of responses to the 2003 Therapies RFP to ensure that Kaymar would be wholly unsuccessful;
- (v) Breached the provincial procurement policy by failing to retain documents related to the OCCAC's meetings and planning for and evaluation of responses to the 2003 Services RFP.

[130] I am mindful of Kaymar's submission that complex and interrelated legal and factual issues are preclusive of summary judgment and that a summary judgment motion is not the place to attempt to resolve a claim that is so intertwined with another that it is logically impossible to confine the facts and legal issues to the one claim. However, the case against Carefor is not particularly complex and it can stand alone. It concerns, at its essence, the existence of an agreement or a conspiracy. I have found that there is no cogent or probative evidence that such existed. The case against OCCAC is logically distinct and can also stand alone. The RFP was issued and processed by the OCCAC. Regardless of whether the OCCAC properly administered the RFP, Carefor could have no liability in law for same. Having found that there is no cogent evidence of agreement or conspiracy, I see no real risk of conflicting decisions on legal and factual issues.

[131] Kaymar has raised the issue that discovery in this action has not yet completed. While it is fact that the OCCAC has not provided “e” discovery, Carefor has. Carefor has fulfilled its requirements for documentary disclosure. Further it is to be noted that thousands of pages of documents have been disclosed in this matter. Mr. Cerniuk was discovered for some three days and cross-examined on this motion for almost a day. Thousands of questions have been put to him. There was also lengthy discovery and cross-examination of representatives of OCCAC. This leaves aside the lengthy proceedings before the Board where Mr. Cerniuk was cross-examined by counsel for Kaymar for three days. There are no disclosure or discovery issues which would stand as a bar to summary judgment, taking into account considerations of fairness and justice.

[132] Kaymar has alleged that Carefor participated in an RFP process, that it knew was biased and illegal in what amounted to a conspiracy with the OCCAC to deprive Kaymar of the Therapies work and that Carefor knew that the consequence would be to deprive Kaymar of the Therapies work on the basis of undisclosed criteria. Conspiracy is a serious allegation and should not be lightly inferred. The courts have required clear evidence to support such an allegation. In *Nicholls v. Richmond (Township)*, [1984] B.C.J. No. 2910 (B.C.S.C.), McLachlin J., as she then was, was asked to infer a conspiracy in a wrongful dismissal case. She stated that for a conspiracy, a plaintiff must show more than that the defendants independently intended to injure the plaintiff or to commit an unlawful act. She stated at paragraphs 39 and 42:

39 "Agreement" is not used in the formal sense of a binding contract but rather in the sense of a joint plan or common design: *Humphrey v. Wilson*, (1917) 3 W.W.R. 529 (B.C.S.C.); *Gee v. Freeman* (1958) 16 D.L.R. (2d) 65 (B.C.S.C.).

42 This evidence establishes that a number of the defendants, in some cases at the same time, wanted to terminate the plaintiff's employment. But, as noted above, independent intention to injure or to commit an unlawful act is insufficient: *Mulcahy v. R.*, *supra*; *Crofter v. Veitch*, *supra*. The question is whether it is plainly established, in the sense that "the facts cannot fairly admit of any other conclusion" (*Sweeney v. Coote*, *supra*) that there was a joint plan or common design to injure the plaintiff or commit an unlawful act?

[133] There is no cogent or probative evidence of the allegations made by Kaymar as against Carefor. Kaymar has raised speculation, innuendo, supposition and theories, allegations not reasonably supported by the evidence. At its best for Kaymar the evidence suggests only that Carefor had a strategic objective of exploring the efficiencies of expanding a basket of services its providers were able to offer clients. Kaymar asks this court to draw inferences not reasonably supported by the evidence. I am satisfied that there is no genuine issue requiring a trial in this matter. Further, the novelty of this claim has played no part in this determination.

[134] I have come to this determination based on an extensive record containing several affidavits, many volumes of material and transcripts from days of discovery and cross-examinations. I have been able to evaluate the credibility of the deponents, weigh evidence and consider the inferences I have been asked to draw. I have had the benefit of extensive factums and oral submissions that took place over some four days. I do not find it to be in the interests of justice that the powers given to the motions judge on a summary judgment motion under the new Rule 20.04(2.1) can be exercised only at trial. The search for truth and justice

does not require the forensic machinery of a trial. Kaymar has not been deprived of its day in court.

[135] In summary, informed by the case law on summary judgment, I find for Carefor on this motion. Kaymar's claims against Carefor are factually unsupported and there is no genuine issue of material fact or credibility requiring a trial. Kaymar has failed to offer probative evidence to support either an intention to harm Kaymar's interests, constructive or otherwise, or the use of illegal, wrongful or unlawful means to do so on the part of Carefor. There is no probative evidence that Carefor participated in secret meetings for the purposes alleged, nor do I accept it made misrepresentations in its response to the RFP. I do not find that it participated in an RFP process that it knew was biased and illegal, in what amounted to a conspiracy with the OCCAC, to deprive Kaymar of the Therapies work.

[136] The summary judgment portion of Carefor's motion is therefore granted.

THE OCCAC MOTION

[137] I turn last to the motion brought by the OCCAC. The OCCAC seeks an order dismissing the plaintiff's action against it, or in the alternative, permanently staying the action, on the grounds that the claim is *res judicata* by way of issue estoppel, and that the plaintiff's continued prosecution of the action is an abuse of process of this court. As noted above, both COTA and Carefor joined issue with the OCCAC on this motion and have adopted and relied on the submissions and materials provided to the court in this motion by the OCCAC, in addition to their own. Thus, all three Defendants take the position that the plaintiff's action should be dismissed or stayed, on the basis that the claim is *res judicata* by way of issue estoppel, and an abuse of process of this court.

[138] As noted above, prior to the award of the Adult Therapies work to COTA and Carefor, OPSEU, the union representing the Kaymar therapists, brought an unfair labour practice complaint before the OLRB against OCCAC pursuant to the *Labour Relations Act*, 1995, S.O. 1995, c. 1, Sched. A (the "LRA") and sought interim relief staying the 2003 Therapies RFP process until the Complaint could be heard. It is the position of the Defendants in the present matter that while Kaymar was named as a respondent in the Complaint, it collaborated with OPSEU in its presentation. It is also the position of the Defendants that numerous allegations were made by Kaymar, many of which are replicated by Kaymar in this action.

[139] In its Complaint, OPSEU alleged that several sections of the LRA had been violated and it made specific allegations of anti-union animus on the part of the OCCAC. It claimed, among other things, that there was a scheme to displace the union and fragment the bargaining unit. OPSEU's request for interim relief was denied by the OLRB on February 10, 2004. The OLRB characterized the Complaint as follows at paragraph 2 of its decision:

At the risk of oversimplifying the complaint, OPSEU alleges that OCCAC, aided and abetted by the Ministry of Health and Long Term Care, has arranged the competitive bidding process to ensure that Kaymar will not be successful. OPSEU maintains that the competitive bidding process has been arranged to discourage any bidders who are burdened by the obligations of collective bargaining rights. In addition, OPSEU asserts that the competitive bidding process has been rigged to ensure that no bidder can seek all of the existing work, with the result that any bargaining rights OPSEU would seek to assert

would have to be against more than one entity, with the result that the bargaining rights would be fragmented.

[140] On April 7, 2004, OPSEU brought an Application before the OLRB seeking common employer and sale of business declarations pursuant to s. 1.(4) and s. 69 of the LRA. OPSEU named all of the parties to the current litigation, including Kaymar, as respondents. The allegations in the Application were even more detailed than those in the Complaint. OPSEU also claimed damages from OCCAC, VON and COTA for “deception, conspiracy and disruption this scheme (that is, the 2003 Therapies RFP) had caused.” While OPSEU’s pleadings were amended during the course of OLRB proceedings, the central theme of the Application was that OCCAC had deliberately manipulated the outcome of the 2003 Therapies RFP to defeat OPSEU’s collective bargaining rights and to ensure that Kaymar was not the successful bidder. It was alleged, among other things, that OCCAC, Carefor and COTA had participated in a sham transaction. Allegations in OPSEU’s Amended Application included:

- (i) VON was recruited to submit a proposal for the therapy contract and had advance notice that OCCAC was pursuing a “basket of services” model, contrary to the “managed competition policy” of a fair and open process (para 29);
- (ii) VON should not have succeeded in attaining the 75 percent threshold for quality on the RFP (para 31);
- (iii) “VON bid without having the capacity to fulfill the contract and was provided with inside information by the OCCAC and inducements...” (para. 31);
- (iv) VON and OCCAC had a close relationship and “participated in a sham transaction which was set up to disguise a transfer of a portion of the OCCAC’s business from Kaymar to VON and to rid the OCCAC of OPSEU and its collective agreement.” (para. 38);
- (v) “The sole objective is to avoid the collective agreement” (para. 38);
- (vi) COTA was not in a position to take over the contract on April 1, 2004 and should not have passed the 75 per cent quality threshold (para. 40);
- (vii) there was no valid business purpose for the awards to VON and COTA (paras. 38, 41);
- (viii) OCCAC and COTA participated in a sham transaction;
- (ix) both VON and COTA attempted to recruit Kaymar employees (paras. 29, 39);
- (x) that VON had inside information with respect to acceptable pricing and was threatened with losing other contracts if it did not bid on the 2003 Therapy RFP, contrary to the Ministry’s policy of fair and open managed competition (para. 47); and

- (xi) avoiding the union and fragmenting the bargaining unit was not only the dominant purpose of this scheme, it is the sole purpose of this scheme (para. 58)

[141] As is alleged by OCCAC and noted by the OLRB, Kaymar supported most, if not all, of the allegations raised by OPSEU with respect to the 2003 Therapies RFP.

[142] OPSEU requested that the Complaint be consolidated or heard together with the Application. In a procedural ruling dated August 27, 2004 the OLRB refused OPSEU's request to have these matters heard together. It also stated the following at paragraphs 23 and 24:

23. Some of the applicant's pleadings in the sale of business/related employer application appear to be irrelevant to a consideration of what the Board typically takes into consideration. The responding parties have identified which paragraphs they think irrelevant. The Board agrees. Unless the applicant can convince me otherwise, they will be struck.

24. Because there is an allegation that the responding parties are a single employer or successor employers, they have an obligation, set out in section 1(5) and 69(13) of the Act, to "...adduce at the hearing all facts within their knowledge that are material to the allegation". As counsel for COTA pointed out, that obligation does not translate into rights for far-reaching document disclosure in advance of the hearing, of the sort sought in paragraphs 44 and 52 of the application. On the other hand, we all know that if documents are produced for the first time at the hearing, adjournment requests follow. It makes sense if the parties can agree to an orderly exchange of relevant documents. The Board will be prepared to convene a conference call as necessary to resolve disclosure issues. But I remind OPSEU that the responding parties are only obliged to adduce material facts relevant to the assertion that they are a single or successor employer. It is difficult to see how the OCCAC waiting list and the visits and referrals completed by VON Ottawa-Carleton and COTA are relevant. In determining whether there had been a sale of business, the Board will not take into consideration whether VON Ottawa-Carleton and COTA were well-equipped to take on their contracts.

[143] At a prehearing conference held on October 20, 2004 the OLRB ultimately adjourned the Complaint pending a determination of the Application. The Complaint does not appear to have been dealt with by the OLRB thereafter. In its Amended Application filed in November 2004, OPSEU removed , among other things, over 20 paragraphs dealing with facts and claimed relief that overlapped with facts and claimed relief pleaded in its Complaint including pleas relating to a meeting for potential bidders held on December 9, 2003 and many of its allegations concerning the Ministry's managed competition policy.

[144] On January 7, 2005, Kaymar delivered its Amended Response to the Application. It made many allegations attacking the OCCAC and the 2003 Therapies RFP which are repeated in this action. It raised allegations pertaining to: (i) the issue of Ministry reimbursement of

OCCAC's severance liability; (ii) the alleged misrepresentation of experience requirements in the tender documents; (iii) the allegation that OCCAC did not run an open and fair managed competition process; (iv) that Carefor had been recruited to bid and had inside information that OCCAC was pursuing a basket of services approach to service delivery. However, it is to be noted that Kaymar requested that OPSEU's s. 1(4) "common employer" application be dismissed. It admitted that there was a "sale of business" from OCCAC to Kaymar, and took no position as to whether there was a "sale of business" between OCCAC, Carefor and COTA.

[145] On February 24, 2005, a conference call took place during which Carefor and OCCAC both argued that OPSEU's Common Employer/Sale of Business Application continued to focus on issues that the OLRB had determined should not be part of a single employer/sale of business application and more properly belonged in the Unfair Labour Practices Complaint (Kaymar has submitted that there is no evidence that it supported OPSEU in this conference call). The OLRB dealt with this issue in its Decision dated March 17, 2005. It stated the following at paragraphs 8-11:

8. The responding parties, except Kaymar, object to OPSEU's allegations that the transaction between OCCAC and COTA and OCCAC and VON are sham transactions. In the Board's view, this is an area where, as the parties and the Board expected, there is an overlap in the material facts that are significant to the sale of business and/or single employer application and the unfair labour practice complaint. The allegations that COTA and the VON did not have the infrastructure, personnel, policies and expertise to either properly win the bid or to perform the work once awarded, are relevant to the sale of business/related employer application to the extent that those allegations, if proved, suggest that COTA and VON did not need to be prepared or operationally effective because OCCAC remained in control and the true employer, or is a single employer with COTA and VON. Those same material facts are relevant to the unfair labour practice complaint to the extent that OPSEU suggests the sham transaction was executed to seek to avoid OPSEU's bargaining rights.

9. I appreciate, though, that the last line of paragraph 38 seeks to sweep in an attack on the Ministry of Health and Long-Term Care's managed competition policy. The Board has already determined that it will not make such an inquiry, and therefore the last line of paragraph 38 should be struck. As the Board indicated at the pre-hearing case management session, OPSEU is entitled to challenge the way the OCCAC engaged in the managed competition policy in the circumstances of this transaction, to the extent that it is relevant to the applications before the Board, but OPSEU may not bring a more generalized attack on the Province's "managed competition" policy.

10. In the conference call, counsel for the VON suggested that the Board should place more reliance on how the VON and COTA operate once past the initial transition stage. Obviously, it makes sense for the responding parties to lead that evidence, but OPSEU is entitled to focus on how COTA and the VON gained the initial expertise to operate.

11. The OCCAC is concerned about allegations that suggest it did not carry out the RFP process in an open and transparent manner; that the VON had “inside information”; and that criteria were set to ensure that Kaymar would be unsuccessful in seeking a second contract. Counsel for the OCCAC submitted that it is particularly sensitive because there may be litigation with Kaymar in respect of the RFP process. The Board will try to demonstrate an appreciation of the situation. The problem will more likely arise in the unfair labour practice litigation where the motivations of the participants for the actions they took will be the focus. At the same time, OPSEU is entitled to advance any material facts suggesting OCCAC manipulated the RFP process to reach a particular result, to the extent that those material facts are relevant to the assertion that OCCAC remained the true employer, or is a single employer with COTA and the VON.

[146] In response to the motion of the OCCAC and Carefor, the OLRB in its March 17, 2005, struck out the following:

- (a) All submissions calling into question the Ministry’s “managed competition” policy, its policies and procedures;
- (b) OPSEU’s assertion that COTA was trying to recruit former Kaymar therapists and treat them as independent contractors, and that it has recruited therapists with less than the two years of experience that OPSEU’s collective agreement with Kaymar requires;
- (c) OPSEU’s allegation that Carefor and COTA were not providing the level and quality of service provided by Kaymar, contrary to the objectives of the “managed competition policy of the Ministry”;
- (d) Paragraphs describing the occurrences in other parts of the province, allegedly as a result of the “managed competition” policy, allegations in respect of the Ministry’s Operational review of the OCCAC, and the suspension of the “managed competition”; and
- (e) Submissions that the Therapists are well-suited to their positions, working independently in patients homes and receiving little in the way of direction.

[147] Kaymar commenced this action by way of its Statement of Claim issued on April 25, 2005. By letter dated May 13, 2005, the OCCAC requested that the OLRB adjourn OPSEU’s Common Employer/Sale of Business Application until the completion of this action. It was stated:

The significance of this claim to the Board litigation lies in the allegations made by Kaymar against the OCCAC, VON and, to a lesser degree, against COTA. In brief, Kaymar alleges (i) that the OCCAC had determined before the RFP process that it did not want a service provider bound to a collective agreement with OPSEU; (ii) that in initiating the RFP process, the OCCAC had already determined that Kaymar would not be the successful bidder; (iii) that the RFP process

was conducted in bad faith and was biased against Kaymar; (iv) that the OCCAC “was motivated, throughout its procurement process, by its pre-eminent desire to sever all ties” with OPSEU; and (v) that the OCCAC refused to extend its prior contract with Kaymar “because of antipathy” towards OPSEU.

The claim asserts that there were numerous flaws in the RFP process (both in design and in implementation) that demonstrate that the OCCAC was “at war with the Union”. The alleged flaws are described in considerable detail and will clearly be at the centerpiece of the court litigation.

The existence of this claim obviously has a major effect on the upcoming Board hearing in this matter, where similar (if not identical) allegations are made by OPSEU. The pleadings filed by Kaymar in this Board proceeding barely touch on the sale/related employer issue, and largely mirror its civil action allegations that the design and process of the RFP used by our client to award the therapy services contracts in the spring of 2004 were flawed. The reasoning behind the substance of the Kaymar pleadings in this proceeding is now evident.

As a result of the commencement of the civil litigation, it is the position of our client that the Board proceedings should be adjourned *sine die*, pending the determination of the litigation. It is inappropriate that both proceedings be pursued at the same time, and it is our client’s position that the civil litigation must be resolved first. I am writing to alert the Board and the other parties that I will be raising this as an issue at the outset of the hearing, for determination by Alternate Chair Cummings.

[148] On or about May 24, 2005, in an oral ruling, the OLRB declined the OCCAC’s request for an adjournment. The hearing before the OLRB took place between May 24, 2005 and February 1, 2007. There were approximately 25 days of oral argument and testimony. Five witnesses were called to give evidence on behalf of OCCAC: Guy Arseneau, Kathryn Desai, Connie Gawalewicz, Penny Sands and Patrice Connolly. There are no written transcripts from the OLRB proceedings (OLRB proceedings are not transcribed).

[149] However, Patrice Connolly deposed that she was present throughout the OLRB hearing. In her Affidavit dated February 11, 2009, she set out at paragraphs 39-90 the tenor of the examination and cross-examination of the above noted five witnesses. She stated that Mr. Arseneau testified for approximately two days in-chief and three days in cross-examination. He was cross-examined by counsel for both Kaymar and OPSEU and in particular with respect to his role on the Managed Competition Advisory Committee and his involvement in the evaluation process. Ms. Connolly stated that she was examined-in-chief for two days and cross-examined for two and a half days (two days by Kaymar) primarily concerning her involvement in the development and management of the 2003 Therapies RFP. She stated that she was cross-examined in respect of many of the issues raised by OPSEU and Kaymar in the Application and subsequently raised by Kaymar in this action.

[150] Ms. Connolly deposed that Ms. Sands testified in-chief over three days and was cross-examined for three days. She stated that most of the first two days of that cross-examination

was conducted by counsel for Kaymar. According to Ms. Connolly Ms. Sands was cross-examined on numerous aspects with respect to the 2003 Therapies RFP: (i) the content of the 2003 Therapies RFP and those sections which could be customized and those that could not; (ii) note keeping of the evaluation process; (iii) the decision to allow for experience equivalents; (iv) the interview portion of the bid evaluations; (v) the transition of services from Kaymar to Carefor and COTA; (vi) the delivery of services and the monitoring of that delivery after April 1, 2004.

[151] Ms Connolly stated that counsel for Kaymar led the cross-examination of Ms. Desai. She was cross-examined regarding discussion at the Managed Competition Advisory Committee relating to the extension of contracts and a “paradigm shift in partnership relationships, the transition plan and customization of the RFP template.”

[152] It is to be noted that in the cross-examination of Mr. Whitney, pursuant to this motion, he confirmed that questions were put to OCCAC witnesses at the OLRB with respect to the 2003 RFP process, including:

- (i) the basket of services;
- (ii) the elimination of the direct experience requirement;
- (iii) the conduct of the evaluation process, particularly the replacement of certain evaluation committee members;
- (iv) the non-retention of documents;
- (v) the customization of the RFP template;
- (vi) the recruitment and pre-qualification of potential bidders;
- (vii) bias in the evaluation of bids;
- (viii) allowing Carefor to rely on experience of its parent organization;
- (ix) allegations that Carefor had no previous therapy experience and no ability to fulfill the contract;
- (x) difficulties in the transition of services to successful bidders;
- (xi) whether Carefor should have passed the quality threshold or scored higher than Kaymar;
- (xii) allegations that OCCAC acted improperly in asking different interview questions of the various respondents.

[153] The OLRB was also presented with volumes of documentary evidence. The OCCAC alone produced a 13 volume document brief. Kaymar produced two volumes of documents before the Board. Further documentary evidence was put before the OLRB as the proceeding progressed. Some 259 documents were marked as exhibits. However, the OLRB denied OPSEU’s specific requests for certain documentation. According to Kaymar the following requests were denied:

- (i) all communication between the OCCAC and Kaymar and Carefor and COTA with respect to the 2003 Therapies RFP (denied by the OLRB in its procedural ruling dated August 27, 2004);
- (ii) the RFP price scoring tool used by the OCCAC. According to Mr. Whitney, in an oral procedural ruling rendered August 15, 2005, the OLRB stated that the proceeding “is a labour relations process, not a forensic undertaking”;
- (iii) the draft template dated July 17, 2003 on grounds of irrelevance. According to Mr. Whitney in an oral procedural ruling rendered August 31, 2005 the OLRB stated “The history of the RFP Template is not relevant”;
- (iv) the written evaluations, evaluators’ notes and comments of all respondents’ written RFP Responses, on grounds of irrelevance (denied by the OLRB in an oral procedural ruling rendered September 22, 2005);
- (v) evaluators’ notes and comments on the interview stage of the quality portion of the evaluation, on grounds of irrelevance (also denied by the OLRB on September 22, 2005).

[154] In his Affidavit dated June 17, 2009, Mr. Whitney stated that in its oral ruling rendered September 22, 2005, the OLRB denied OPSEU’s request for the production of documents relevant to the evaluation process, on the basis that the documents sought were not arguably relevant as at its heart, the case before it was about who was the true employer of the therapists and whether or not there had been a sale of business. According to Mr. Whitney, the OLRB also stated that while it has been prepared to look at the area of the OCCAC’s evaluation to some degree, it was prepared to accept on the basis of OCCAC’s evidence up to that point in time that COTA, Carefor and Kaymar had passed the quality portion of the evaluation process.

[155] The OLRB rendered its decision on October 27, 2008 (the “Application Decision”). Because of its prominence in this motion, a copy of the Application Decision is made an appendix to this decision.

[156] The OLRB dismissed OPSEU’s Common Employer/Sale of Business Application, although it confirmed that the 1999 agreement between Kaymar, OPSEU and the OCCAC represented the sale of part of the business of the OCCAC to Kaymar within the meaning of s. 69 of the LRA. A portion of the Application Decision is entitled “What this case is not about.” In this portion (paragraphs 25-49) the OLRB made findings that are relied upon by the defendants in support of their position with respect to *res judicata* on the basis of issue estoppel and abuse of process. Those findings included the following:

- (a) OCCAC’s decision to go to RFP in 2003 rather than extend Kaymar’s contract was a sensible economic decision;
- (b) there was no evidence that OCCAC’s decision to go to RFP in 2003 was for any improper labour relations purpose;
- (c) in making an award of more than one contract, the OCCAC was following the policy of the Ministry;

- (d) OCCAC did not act improperly in altering the RFP template to allow it to rely on experience equivalents;
- (e) OCCAC did not act improperly in relying on alternate experience in evaluating VON's written answers to questions in the quality portion of its bid;
- (f) Kaymar failed to win a contract award because of its price;
- (g) pricing envelopes were not opened until completion of the quality assessment;
- (h) OCCAC's evidence that Kaymar's bid was priced the highest was not challenged;
- (i) OCCAC's committee that reviewed pricing did not make a specific recommendation to OCCAC's board, but rather presented two options: one awarding contracts to VON and COTA, the other awarding contracts to VON, COTA and Kaymar;
- (j) awarding a share of the contract to Kaymar would have increased costs by approximately \$2.6 million;
- (k) there was no evidence to suggest that the decision to award the contract to the two lowest bidders was for an inappropriate labour relations purpose; and,
- (l) difficulties experienced in the transition of services from Kaymar to VON and COTA could not be attributed to the competence or abilities of VON and COTA.

[157] In summary, the OLRB stated at paragraph 49 of the OLRB decision:

49. In summary, I find that OPSEU and Kaymar have not made out their allegations that the competition for therapy services in 2003 was a sham, nor do I conclude that the ultimate awarding of the therapy contract to VON Ottawa-Carleton and COTA was a sham transaction. The OCCAC was required by the MOHLTC to divest itself of staff who provided direct patient care services, and the OCCAC followed that directive, albeit reluctantly. The extensive evidence led by the OCCAC establishes that it followed the policies and template it was required to use by MOHLTC, and that it has explained why it made the choices it did. At the end of the day, the OCCAC made a determination to award the therapy contracts to VON Ottawa-Carleton and COTA for reasons that do not disclose an improper purpose. In particular, I find there is no basis for the allegations that the OCCAC was seeking to rid itself of Kaymar and the collective agreement obligations owed to OPSEU and its members.

[158] Neither OPSEU nor Kaymar applied for judicial review of the Application Decision of the OLRB or its interim rulings.

[159] I turn now to the position of the parties. Again, the court was provided with lengthy factums, oral submissions and case law. The parties' positions, while reviewed and considered, will only briefly be summarized in these reasons.

[160] It is the position of OCCAC that Kaymar is precluded from pursuing this action due to issue estoppel. It is submitted that the elements required to establish issue estoppel have been met in this case. It is submitted that there clearly was a *lis* between Kaymar and OCCAC at the OLRB and that the integrity of the RFP process was clearly in issue. It is submitted that the allegations raised by Kaymar in this action have been authoritatively settled by the OLRB in a final decision issued following a lengthy hearing and careful deliberation. It is noted that the decision of the OLRB is judicial. According to OCCAC, the doctrine of issue estoppel precludes Kaymar from arguing a second time that the 2003 Therapies RFP was improper, illegal and a “sham transaction” designed to displace Kaymar. In support of its position, counsel for the OCCAC took the court through a comparison of the pleadings and issues before the OLRB and in this civil action. It is submitted that the pleadings and issues are essentially replicated in this action.

[161] In addition, it is submitted that the doctrine of issue estoppel prevents the relitigation of issues that have already been previously judicially determined, even where asserted in the context of a new legal theory or cause of action. Further, it is noted that the doctrine of issue estoppel extends to matters that could have been raised in the previous matter. It is submitted that there is no claim advanced in this action that could not, through reasonable diligence, have been brought before the OLRB in the Common Employer/Sale of Business Application proceedings. It is noted that to the extent that Kaymar did not specifically plead, or cross-examine on, the reliance on Ministry funding of severance liability as a reason why the 2003 Therapies RFP process was improper, it had all the necessary information and ample opportunity to do so. Similar submissions are made with respect to Kaymar’s claim in the civil action for defamation.

[162] Moreover, it is submitted by OCCAC that the factual determinations made by the OLRB were fundamental to its decision. It is noted that the allegations with respect to the 2003 Therapies RFP occupied a significant portion of oral testimony and argument before the OLRB and that the discussion of these allegations takes up a full third of the Application Decision. These issues were put in issue at the insistence of OPSEU, with the proactive support of Kaymar. It is therefore submitted that it would be disingenuous for Kaymar to now argue that these findings were not fundamental to the Application Decision having gone to such lengths to ensure that these matters were put in issue at the Application hearing.

[163] Essentially, it is argued for OCCAC that Kaymar is now attempting to improperly collaterally attack the OLRB Decision. It is submitted that the Whitney Affidavit demonstrates that Kaymar’s central theme is that the OLRB would have reached a different decision were more material put before it. It is also noted that Mr. Whitney accused certain witnesses of not telling the truth before the OLRB. With respect to Kaymar’s assertion that a significant number of key documents in the civil action were not produced in the action until well after the OCCAC and Carefor witnesses had completed their evidence before the OLRB, it is submitted that there is a distinction between the number of documents and their probative value. With respect to the disclosure the OLRB refused to order, OCCAC asserts that this documentation is not critical given the Board’s finding that Kaymar passed the quality portion of the process, the Managed Competition Advisory Committee never saw the answers and it was the OCCAC Board of Directors that made the decision. The court was asked to carefully scrutinize the list of documents not before the OLRB, referenced by Kaymar in its Factum. It is submitted that many of those documents were actually before the OLRB, many of those documents actually confirm evidence given by OCCAC and that most of those documents do not add anything further to the issue at hand.

[164] Finally, it is submitted, should the court find that the requirements for issue estoppel have not been technically met, that Kaymar be precluded from pursuing its claims due to the doctrine of abuse of process. Kaymar urged the OLRB to get into these issues and pursued its own interests before the Board. It took a risk knowing it was pursuing a civil action. A negative result was achieved. It now seeks to challenge the result. OCCAC characterizes this as the “picture perfect postcard for abuse of process.”

[165] In its submissions Kaymar distinguishes the substantive dispute before the OLRB and its claims in the civil action. It is noted that OCCAC has yet to provide “e” discovery and that a significant number of key documents in the civil action were not produced in the action until well after the OCCAC and Carefor witnesses had completed their evidence. Further, Kaymar points to the restricted scope of the Common Employer/Sale of Business Application (paragraphs 24-43 of Kaymar’s Factum). Reference is made to several rulings of the OLRB wherein the scope of the Application was limited, pleadings struck and disclosure denied.

[166] With respect to the Application Decision itself, it is submitted that the OLRB’s decision was consistent with Kaymar’s position on the substantive dispute. It is noted that all of the OLRB pronouncements relied upon by the defendants are found in the portion of the Application Decision entitled “What this case is not about”. It is submitted that the Application Decision does not decide Kaymar’s civil claim. More particularly: it is silent with respect to Kaymar’s allegations that the OCCAC used the undisclosed criterion of the comprehensive basket of services; there is no finding with respect to Kaymar’s allegation that guaranteeing Ministry’s reimbursement of severance costs was an undisclosed criterion; there is no finding in relation to the undisclosed criterion of giving preference to bidders that would resist the union; there is no finding with respect to the unfair evaluation of the RFP responses; there is no finding in relation to Carefor’s private meetings with OCCAC concerning the RFP nor its duties in tort towards Kaymar; there is no mention regarding OCCAC’s breaches of provincial procurement policies and no determination with respect to Kaymar’s claim of defamation.

[167] It is the position of Kaymar that the test for issue estoppel involves two stages. Firstly, the moving party must establish that the same question has been decided, that the judicial decision which is said to create the estoppel is final and that the parties to the judicial decision or their privies were the same persons as the parties to the proceedings in which the estoppel is raised or their privies. If the three essential preconditions are met, the court must continue to the second stage of analysis to “balance the public interest in the finality of litigation with the public interest ensuring that justice is done on the facts of a particular case” and “determine whether, as a matter of discretion, issue estoppel ought to be applied.” Kaymar notes that seven non-exhaustive factors have been set out in case law with respect to a court’s discretion in this regard.

[168] Kaymar submits that the test for issue estoppel has not been met in the circumstances of this case. It is submitted, *inter alia*, that the OLRB pronouncements (What this case is not about) were not fundamental to its ultimate decision on the substantive common employer/sale of business disputes. Moreover, these determinations are not determinative of the issues to be decided in Kaymar’s civil action. Kaymar has stressed that the questions before the OLRB and the court are not the same. It is Kaymar’s position that it could be entirely successful in its civil action and there would be no operational conflict between such result and the Application Decision.

[169] In addition, Kaymar takes the position that while there is no need to proceed to the second stage of an issue estoppel analysis, the application of the discretionary factors that would be relevant to the second stage analysis leads to the conclusion that issue estoppel should not be applied on the facts of this case. According to Kaymar a consideration of the wording of the LRA, the purpose of the legislation and the relative expertise of the administrative decision-maker in relation to the issues to be determined in the civil action, favour an exercise of discretion not to find issue estoppel. Kaymar points to what it submits are important differences in the procedures available before the OLRB that favour its right to a full hearing of its claims in this action. Kaymar also submits that its right of judicial review with respect to the Application Decision is uncertain at best, if not illusory. Further, Kaymar submits that the OLRB was not the appropriate forum for determining its civil claim. It submits that it would work a grave injustice for Kaymar to be robbed of its opportunity to fully prosecute its claims in this action.

[170] Finally, it is submitted that all of the discretionary factors prohibiting issue estoppel in the circumstances of this case would equally preclude a finding of abuse of process. Kaymar also submits, with respect to abuse of process, that the same questions were not in fact determined by the OLRB as would be adjudicated in this action and that it would be fundamentally unfair to preclude its claim when the only thing truly at stake in the prior proceeding were common employer and sale of business declarations binding as between OPSEU and the OCCAC, COTA and Carefor. Moreover, there is also new evidence, previously unavailable, before the OLRB due to the limitations on the scope of OLRB proceedings and the discovery process. According to Kaymar, all this militates against a finding of abuse of process in this case.

The Law

[171] The Supreme Court of Canada dealt with the doctrine of *res judicata* in *Angle v. Minister of National Revenue*, [1975] 2 S.C.R. 248 (“Angle”). Dickson J., writing for the majority, distinguished “cause of action estoppel” where another action is brought for the same cause of action as has been the subject of previous adjudication and “issue estoppel”, where, the cause of action being different some point or issue of fact has already been decided. The requirements of issue estoppel are stated to be (1) that the same question has been decided; (2) that the judicial decision which is said to create the estoppel was final; and (3) that the parties to the judicial decision or their privies were the same persons as the parties to the proceedings in which the estoppel is raised, or their privies.

[172] The Supreme Court in *Angle* referred to the concept of fundamentality with respect to the issue of whether the same question had been decided. The following is stated at pages 254 and 255:

Is the question to be decided in these proceedings, namely the indebtedness of Mrs. Angle to Transworld Explorations Limited, the same as was contested in the earlier proceedings? If it is not, there is no estoppel. It will not suffice if the question arose collaterally or incidentally in the earlier proceedings or is one which must be inferred by argument from the judgment. That is plain from the words of De Grey C.J. in the Duchess of Kingston's case [(1776), 20 St. Tr. 355, 538n.], quoted by Lord Selborne L.J. in *R. v. Hutchings* [(1881), 6 Q.B.D. 300.], at p. 304, and by Lord Radcliffe in *Society of Medical Officers of Health v. Hope* [[1960] A.C. 551.]. The question out of which the estoppel is said to

arise must have been "fundamental to the decision arrived at" in the earlier proceedings: per Lord Shaw in *Hoystead v. Commissioner of Taxation* [[1926] A.C. 155.]. The authors of Spencer Bower and Turner, *Doctrine of Res Judicata*, 2nd ed. pp. 181, 182, quoted by Megarry J. in *Spens v. I.R.C.* [[1970] 3 All. E.R. 295.], at p. 301, set forth in these words the nature of the enquiry which must be made:

... whether the determination on which it is sought to found the estoppel is "so fundamental" to the substantive decision that the latter cannot stand without the former. Nothing less than this will do.

[173] In *Danyluk v. Ainsworth Technologies Inc.*, [2001] 2 S.C.R. 460 ("Danyluk"), the Supreme Court of Canada again dealt with issue estoppel. The case concerned an employee who became involved in a dispute with her employer over unpaid commissions and filed a complaint against her employer under the *Employment Standards Act* (the "ESA"). While an employment standards office spoke to the employee, the employee was not made aware of the employer's submissions in the ESA claim or given an opportunity to respond to them. Before the decision was made, the employee commenced a court action claiming damages for wrongful dismissal and the unpaid wages and commissions. The ESA officer rejected the employee's claim for unpaid wages and commissions but ordered the employer to pay her two weeks' pay in lieu of notice. The employee was entitled to apply for a statutory review of this decision but she elected not to do so and carried on with her wrongful dismissal action. The employer moved to strike the part of the statement of claim that overlapped the ESA proceeding. The motions judge considered the ESA decision to be final and concluded that the claim for unpaid wages and commissions was barred by issue estoppel. The Court of Appeal affirmed the decision. The Supreme Court of Canada allowed the plaintiff's appeal.

[174] As both parties have relied on this case it will be reviewed in detail. The Supreme Court first noted in its analysis that the law seeks finality to litigation. The following is stated at paragraphs 18-21:

18. The law rightly seeks a finality to litigation. To advance that objective, it requires litigants to put their best foot forward to establish the truth of their allegations when first called upon to do so. A litigant, to use the vernacular, is only entitled to one bite at the cherry. The appellant chose the ESA as her forum. She lost. An issue, once decided, should not generally be re-litigated to the benefit of the losing party and the harassment of the winner. A person should only be vexed once in the same cause. Duplicative litigation, potential inconsistent results, undue costs, and inconclusive proceedings are to be avoided.

19 Finality is thus a compelling consideration and judicial decisions should generally be conclusive of the issues decided unless and until reversed on appeal. However, estoppel is a doctrine of public policy that is designed to advance the interests of justice. Whereas here, its application bars the courthouse door against the appellant's \$300,000 claim because of an administrative decision taken in a manner which was manifestly improper and unfair (as found by the Court of Appeal itself), a re-examination of some basic principles is warranted.

20 The law has developed a number of techniques to prevent abuse of the decision-making process. One of the oldest is the doctrine estoppel per rem judicatum with its

roots in Roman law, the idea that a dispute once judged with finality is not subject to relitigation: *Farwell v. The Queen* (1894), 22 S.C.R. 553, at p. 558; *Angle v. Minister of National Revenue*, [1975] 2 S.C.R. 248, at pp. 267-68. The bar extends both to the cause of action thus adjudicated (variously referred to as claim or cause of action or action estoppel), as well as precluding relitigation of the constituent issues or material facts necessarily embraced therein (usually called issue estoppel): G. S. Holmsted and G. D. Watson, Ontario Civil Procedure (loose-leaf), vol. 3 Supp., at 21 s. 17 et seq. Another aspect of the judicial policy favouring finality is the rule against collateral attack, i.e., that a judicial order pronounced by a court of competent jurisdiction should not be brought into question in subsequent proceedings except those provided by law for the express purpose of attacking it: *Wilson v. The Queen*, [1983] 2 S.C.R. 594; *R. v. Litchfield*, [1993] 4 S.C.R. 333; *R. v. Sarson*, [1996] 2 S.C.R. 223.

21 These rules were initially developed in the context of prior court proceedings. They have since been extended, with some necessary modifications, to decisions classified as being of a judicial or quasi-judicial nature pronounced by administrative officers and tribunals. In that context the more specific objective is to balance fairness to the parties with the protection of the administrative decision-making process, whose integrity would be undermined by too readily permitting collateral attack or relitigation of issues once decided.

[175] The Supreme Court referred more specifically to issue estoppel. It is defined at paragraph 24:

Issue estoppel was more particularly defined by Middleton J.A. of the Ontario Court of Appeal in *McIntosh v. Parent*, [1924] 4 D.L.R. 420, at p. 422:

When a question is litigated, the judgment of the Court is a final determination as between the parties and their privies. Any right, question, or fact distinctly put in issue and directly determined by a Court of competent jurisdiction as a ground of recovery, or as an answer to a claim set up, cannot be re-tried in a subsequent suit between the same parties or their privies, though for a different cause of action. The right, question, or fact, once determined, must, as between them, be taken to be conclusively established so long as the judgment remains. [Emphasis added.]

This statement was adopted by Laskin J. (later C.J.), dissenting in *Angle, supra*, at pp. 267-68. This description of the issues subject to estoppel ("[a]ny right, question or fact distinctly put in issue and directly determined") is more stringent than the formulation in some of the older cases for cause of action estoppel (e.g., "all matters which were, or might properly have been, brought into litigation", *Farwell, supra*, at p. 558). Dickson J. (later C.J.), speaking for the majority in *Angle, supra*, at p. 255, subscribed to the more stringent definition for the purpose of issue estoppel. "It will not suffice" he said, "if the question arose collaterally or incidentally in the earlier proceedings or is one which must be inferred by argument from the judgment." The question out of which the estoppel is said to arise must have been "fundamental to the decision arrived at" in the earlier proceeding. In other words, as discussed below, the estoppel extends to the material facts and the conclusions of law or of mixed

fact and law ("the questions") that were necessarily (even if not explicitly) determined in the earlier proceedings.

[176] The Supreme Court then noted the preconditions to the operation of issue estoppel as set out by Dickson J. in *Angle, supra*. It reviewed the statutory scheme of the ESA and the statutory review process contained therein. The Court then considered the applicability of issue estoppel. It adopted a two step analysis as set out at para. 33:

33 The rules governing issue estoppel should not be mechanically applied. The underlying purpose is to balance the public interest in the finality of litigation with the public interest in ensuring that justice is done on the facts of a particular case. (There are corresponding private interests.) The first step is to determine whether the moving party (in this case the respondent) has established the preconditions to the operation of issue estoppel set out by Dickson J. in *Angle, supra*. If successful, the court must still determine whether, as a matter of discretion, issue estoppel ought to be applied: *British Columbia (Minister of Forests) v. Bugbusters Pest Management Inc.* (1998), 50 B.C.L.R. (3d) 1 (C.A.), at para. 32; *Schwenke v. Ontario* (2000), 47 O.R. (3d) 97 (C.A.), at paras. 38-39; *Braithwaite v. Nova Scotia Public Service Long Term Disability Plan Trust Fund* (1999), 176 N.S.R. (2d) 173 (C.A.), at para. 56.

[177] The Supreme Court then turned to the issue of discretion that is, to the second stage of its analysis. It is stated at paragraphs 62 and 63:

62 The appellant submitted that the Court should nevertheless refuse to apply estoppel as a matter of discretion. There is no doubt that such a discretion exists. In *General Motors of Canada Ltd. v. Naken*, [1983] 1 S.C.R. 72, Estey J. noted, at p. 101, that in the context of court proceedings "such a discretion must be very limited in application". In my view the discretion is necessarily broader in relation to the prior decisions of administrative tribunals because of the enormous range and diversity of the structures, mandates and procedures of administrative decision makers.

63 In *Bugbusters, supra*, Finch J.A. (now C.J.B.C.) observed, at para. 32:

It must always be remembered that although the three requirements for issue estoppel must be satisfied before it can apply, the fact that they may be satisfied does not automatically give rise to its application. Issue estoppel is an equitable doctrine, and as can be seen from the cases, is closely related to abuse of process. The doctrine of issue estoppel is designed as an implement of justice, and a protection against injustice. It inevitably calls upon the exercise of a judicial discretion to achieve fairness according to the circumstances of each case.

Apart from noting parenthetically that estoppel per rem judicatem is generally considered a common law doctrine (unlike promissory estoppel which is clearly equitable in origin), I think this is a correct statement of the law. Finch J.A.'s dictum was adopted and applied by the Ontario Court of Appeal in *Schwenke, supra*, at paras. 38 and 43:

The discretion to refuse to give effect to issue estoppel becomes relevant only where the three prerequisites to the operation of the doctrine exist... . The exercise of the discretion is necessarily case specific and depends on

the entirety of the circumstances. In exercising the discretion the court must ask -- is there something in the circumstances of this case such that the usual operation of the doctrine of issue estoppel would work an injustice?

...

... The discretion must respond to the realities of each case and not to abstract concerns that arise in virtually every case where the finding relied on to support the doctrine was made by a tribunal and not a court.

[178] The Supreme Court then referred to factors to be considered in the exercise of discretion. It stated that the list of factors is open and that (at paragraph 67):

The objective is to ensure that the operation of issue estoppel promotes the orderly administration of justice but not at the cost of real injustice in the particular case. Seven factors, discussed below, are relevant in this case.

[179] The seven factors considered by the Supreme Court of Canada in *Danyluk* included:

- (a) the wording of the statute from which the power to issue the administrative order derives;
- (b) the purpose of the legislation;
- (c) the availability of an appeal;
- (d) the safeguards available to the parties in the administrative procedure;
- (e) the expertise of the administrative decision maker;
- (f) the circumstances giving rise to the administrative proceedings;
- (g) the potential injustice.

[180] With respect to potential injustice the Supreme Court stated the following at paragraph 80:

80 As a final and most important factor, the Court should stand back and, taking into account the entirety of the circumstances, consider whether application of issue estoppel in the particular case would work an injustice. Rosenberg J.A. concluded that the appellant had received neither notice of the respondent's allegation nor an opportunity to respond. He was thus confronted with the problem identified by Jackson J.A., dissenting, in *Iron v. Saskatchewan (Minister of the Environment & Public Safety)*, [1993] 6 W.W.R. 1 (Sask. C.A.), at p. 21:

The doctrine of *res judicata*, being a means of doing justice between the parties in the context of the adversarial system, carries within its tenets the seeds of injustice, particularly in relation to issues of allowing parties to be heard.

Whatever the appellant's various procedural mistakes in this case, the stubborn fact remains that her claim to commissions worth \$300,000 has simply never been properly considered and adjudicated.

[181] The Ontario Court of Appeal dealt with issue estoppel in the case of *Rasanen v. Rosemount Instruments Ltd.* (1994), 17 O.R. (3d) 267 (C.A.) leave to appeal refused [1994] S.C.C.A. No. 152 (“Rasanen”). The appellant in that case argued that the procedure before an ESA referee was not sufficiently “judicial”, and that the absence of discovery, costs, production of documents and a judge rendered it so dissimilar a process to that of the courts such that no decision resulting from it should be binding. This position was rejected. As stated at pages 280 and 281:

37 As long as the hearing process in the tribunal provides parties with an opportunity to know and meet the case against them, and so long as the decision is within the tribunal's jurisdiction, then regardless of how closely the process mirrors a trial or its procedural antecedents, I can see no principled basis for exempting issues adjudicated by tribunals from the operation of issue estoppel in a subsequent action. If the purpose of issue estoppel is to prevent the retrial of “[a]ny right, question, or fact distinctly put in issue and directly determined by a court of competent jurisdiction” (*McIntosh v. Parent*, *supra*), then it is difficult to see why the decisions of an administrative tribunal having jurisdiction to decide the issue, would not qualify as decisions of a court of competent jurisdiction so as to preclude the redetermination of the same issues: *Cuddy Chicks Ltd. v. Ontario (Labour Relations Board)*, [1991] 2 S.C.R. 5, 81 D.L.R. (4th) 121; *Douglas/Kwantlen Faculty Assn. v. Douglas College*, [1990] 3 S.C.R. 570, 77 D.L.R. (4th) 94. On the contrary, the policy objectives underlying issue estoppel, such as avoiding duplicative litigation, inconsistent results, undue costs, and inconclusive proceedings, are enhanced in appropriate circumstances by acknowledging as binding the integrity of tribunal decisions.

38 The appellant is unable to identify any specific disadvantage resulting from the procedure in the referee hearing, other than noting that traditional tools like discovery, production or costs are unavailable under the *Employment Standards Act* scheme. He had -- and took -- full opportunity to make his case and respond to that of his adversary. His argument, in my view, rests more on the theoretical proposition that an adjudicated decision made anywhere except by a judge in a court-room is inherently less reliable, and therefore not binding in another proceeding.

39 This is a proposition many courts have already rejected: see, for example, *Benincasa v. Ballentine* (1978), 7 C.P.C. 81 (Ont. H.C.J.); *Yee v. Gim* (1978), 87 D.L.R. (3d) 67, [1978] 3 W.W.R. 733 (B.C.S.C.); *Daniel v. Hess* (1965), 54 W.W.R. 290 (Sask. Div. Ct.); *Parklane Hosiery Co. v. Shore*, 439 U.S. 322 (1979). Nor is it responsive to the required flexibility and uniqueness of tribunal adjudication. Within their areas of expertise and jurisdiction, these tribunals are the courts for their intended beneficiaries, are perceived by these beneficiaries to be making enforceable decisions, and are expected by these beneficiaries to be making such decisions far more expeditiously but no less reliably and determinatively than the courts. These are, in my view, reasonable expectations.

40 There is no basis for restricting the application of issue estoppel to decisions made by judges in the ordinary course of litigation. By analogy, the hearing by the referee, if not technically “judicial”, is designed to be an independent, fair, impartial and binding adjudicative process, and therefore satisfies the spirit of the requirement. It was a decision made in a hearing in which the appellant knew the case he had to

meet, had a chance to meet it, and lost. Had he won, the decision would have been no less binding.

[182] The doctrine of issue estoppel prevents the relitigation of issues that have already been previously judicially determined, even where asserted in the context of a new legal theory. Further, issue estoppel extends to matters that could have been raised in the earlier proceedings. These points were noted in the case of *Las Vegas Strip Ltd. v. Toronto (City)*, [1997] 30 O.R. (3d) 286 (S.C.J.) aff'd (1997), 32 O.R. 651 (C.A.) ("Las Vegas"). The following is stated at pages 297 and 298:

24 Does the fact that Las Vegas now relies upon a different legal theory remove the present claim from the reach of the old? In my view it does not. The authorities establish that a litigant cannot establish a new and fresh cause of action by advancing a new legal theory in support of a claim based upon essentially the same facts. As was stated by the Privy Council in *Hoystead v. Commissioner of Taxation* (1926) A.C. 155 at 165-6 (a passage quoted with approval by the Supreme Court of Canada in *Maynard v. Maynard*, [1951] 1 D.L.R. 241 at 254 per Rand J.):

Parties are not permitted to begin fresh litigations because of new views they may entertain of the law of the case, or new versions which they present as to what should be proper apprehension by the Court of the legal result either of the construction of the documents or the weight of certain circumstances.

If this were permitted, litigation would have no end, except when legal ingenuity is exhausted. It is a principle of law that this cannot be permitted, and there is abundant authority reiterating that principle.

[183] Reference in the decision was made to *Henderson v. Henderson* (1843), 67 E.R. 313 at p. 319:

...where a given matter becomes the subject of litigation in, and of adjudication by, a Court of competent jurisdiction the Court requires the parties to the litigation to bring forward their whole case, and will not (except under special circumstances) permit the same parties to open the same subject of litigation in respect of matter which might have been brought forward as part of the subject in contest, but which was not brought forward, only because they have, from negligence, inadvertence, or even accident, omitted part of their case. The plea of *res judicata* applies, except in special cases, not only to points upon which the Court was actually required by the parties to form an opinion and pronounce a judgment, but to every point which properly belonged to the subject of litigation, and which the parties, exercising reasonable diligence, might have brought forward at the time.

[184] As was stated in the Supreme Court of Canada in *Angle, supra*, in order for the requirement of identity of issue to have been met, the question out of which the estoppel is to arise must be "fundamental to the decision arrived at" in the earlier proceedings. This was dealt with by the Alberta Court of Appeal in *R. v. Duhamel*, 17 Alta. L.R. (2d) 127 (C.A.) aff'd [1984] 2 S.C.R. 555. The Court of Appeal stated that only those matters which were necessary to the prior decision should bind the parties. Referring to the text Spencer-Bower

and Turner, *The Doctrine of Res Judicata*, 2nd ed. (1969), the Court stated at pages 132 and 133:

This leads us directly to the question of identity of issues. The issue sought to be estopped in a subsequent proceeding must have been clearly and unequivocally decided by the first court. Essentially one must apply reasoning or logic. It is not necessary to show that the issue was specifically decided so long as it can be shown that it was a necessary logical consequence of the point actually decided. It is pure logic, not probability, likelihood or speculation.

This makes it difficult if there was a jury trial. So long as there is more than one logical basis for an acquittal, it is impossible to determine which alternative the jury followed. In such a case there is no unequivocal finding which can found an estoppel. Where the trial is by judge alone, and he gives clear reasons for his verdict, the problem does not arise. Thus where a second cause of action is different but involves issues of fact or law which were decided as an essential and fundamental step in the logic of the prior decision, then issue estoppel is said to arise. The concept is set out in paragraph 193:

Where the decision set up as a *res judicata* necessarily involves a judicial determination of some question of law or issue of fact, in the sense that the decision could not have been legitimately or rationally pronounced by the tribunal without at the same time, and in the same breath, so to speak, determining that question or issue in a particular way, such determination, even though not declared on the face of the recorded decision, is deemed to constitute an integral part of it as effectively as if it had been made so in express terms: but, beyond these limits, there can be no such thing as a *res judicata* by implication.

Clearly the key is to determine whether the issue sought to be estopped is fundamental to the prior decision. This contemplates the premise that the prior decision could not have been obtained without the point in issue being resolved in favour of the party urging the estoppel. Collateral matters cannot found an estoppel. Only fundamental matters lead to that result. This is shown in paragraphs 210 and 211 which read as follows:

The determinations must be fundamental not collateral

210 Even when in one way or another it can be demonstrated that the court has expressly determined, in the earlier proceedings, the same issue as is now in dispute, an issue estoppel will not by any means always be the result. Only determinations which are necessary to the decision--which are fundamental to it and without which it cannot stand--will found an issue estoppel. Other determinations, without which it would still be possible for the decision to stand, however definite be the language in which they are expressed cannot support an issue estoppel between the parties between whom they were pronounced.

[185] In 574095 *Alberta Ltd. v. Hamilton Brothers Exploration Co.* (2003) 10 Alta. L.R. (4th) 23 (C.A.) (“574095 Alberta Ltd.”), the Alberta Court of Appeal again considered this issue. The Court of Appeal referred to Binnie J. in *Danyluk*, *supra*, where he stated (at paragraph 24):

The question out of which the estoppel is said to arise must have been “fundamental to the decision arrived at” in the earlier proceedings. In other words the estoppel extends to the material facts and the conclusions of law or of mixed fact and law (“the questions”) that were necessarily (even if not explicitly) determined in the earlier proceedings.

[186] The Court of Appeal concluded that the law in Canada has embraced a test for issue estoppel that goes beyond the questions “distinctly put in issue and directly answered” and also includes the material facts and the conclusions of law or of mixed fact and law that were necessarily (even if not explicitly) determined in the earlier proceeding. The Court stated at paragraph 52:

A question or issue would only be fundamental to, and necessarily determined by, a prior decision if that decision could not stand unless the question or issue was decided in a particular way.

[187] Finally, in *Rasanen*, *supra*, Abella J.A. commented as follows at p. 278:

The proper inquiry in deciding whether the requirements have been met is whether the question to be decided in these proceedings is the same as was contested in the earlier proceedings and was, moreover, so fundamental to the decision that it could not stand without the determination of that question.

[188] It is the position of OCCAC that Kaymar is in effect mounting a collateral attack on the decision of the OLRB in the Single Employer/Sale of Business Application. In *C.U.P.E. Local 1394 v. Extendicare Health Services Inc.* (1993), 14 O.R. (3d) 65 (Ont. C.A.), the following was stated at pages 79-80:

Res judicata is a rule of evidence. Assuming the requirements of the doctrine are met, the party against whom the issue was decided in the earlier litigation cannot proffer evidence to challenge that result. Looked at from the vantage point of the successful litigant in the earlier proceedings, the doctrine operates to admit into evidence at the second proceeding, the judicial determination of the relevant issue at the earlier proceedings. Not only is that earlier determination rendered admissible, it is also declared to be conclusive with respect to that issue: Spencer- Bower and Turner, *The Doctrine of Res Judicata*, 2nd ed. (1969), at p. 9; Sopinka, Lederman and Bryant, *The Law of Evidence in Canada* (Markham: Butterworths, 1992) at pp. 989-90.

[189] Further in the text by Spencer-Bower, Turner and Handley, *The Doctrine of Res Judicata*, 3rd ed. (London: Butterworths, 1996) the authors state at page 8:

It is not necessary to prove that the decision relied on is correct in law or fact: if it is a final decision, by a tribunal having jurisdiction, as to the same question, and between the same parties, it will be binding on them, until upset

on appeal. “*Res judicata* ... gives effect to the policy of the law that the parties to a judicial decision should not afterwards be allowed to re-litigate the same question, even though the decision may be wrong”. This rests on the fact that a competent tribunal has jurisdiction to decide wrongly, as well as correctly, and if it makes a mistake its decision is binding unless corrected on appeal.

[190] I turn next to the doctrine of abuse of process. The doctrine was considered by the Ontario Court of Appeal in *Canam Enterprises Inc. v. Coles*, [2001] 51 O.R. (3d) 481 (C.A.), rev’d [2002] 3 S.C.R. 307, (“*Canam*”). Goudge J.A. (in dissent) but approved by the Supreme Court of Canada, stated at paragraphs 55 and 56:

55 The doctrine of abuse of process engages the inherent power of the Court to prevent the misuse of its procedure, in a way that would be manifestly unfair to a party to the litigation before it or would in some other way bring the administration of justice into disrepute. It is a flexible doctrine unencumbered by the specific requirements of concepts such as issue estoppel. See *House of Spring Gardens Ltd. v. Waite and Others*, [1990] 3 W.L.R. 347 (C.A.) at 358.

56 One circumstance in which abuse of process has been applied is where the litigation before the Court is found to be in essence an attempt to re-litigate a claim which the Court has already determined. See *Solomon v. Smith*, *supra*.

[191] Abuse of process is a more flexible doctrine than issue estoppel, unencumbered by the same technical requirements but informed by the same policy considerations. The doctrine has thus been used to dismiss or permanently stay proceedings in the interest of finality, even where the technical requirements of *res judicata* have not been met. The Supreme Court of Canada has recognized abuse of process as an adjunct to issue estoppel and *res judicata* in *Toronto (City) v. Canadian Union of Public Employees, Local 79 (C.U.P.E.)*, [2003] 3 S.C.R. 77 (“*Toronto v. CUPE*”). Arbour J. quoted Goudge J.A. in *Canam* (as set out above) and stated the following at paragraphs 37, 38, 42, 52 and 53:

37. As Goudge J.A.’s comments indicate, Canadian courts have applied the doctrine of abuse of process to preclude relitigation in circumstances where the strict requirements of issue estoppel (typically the privity/mutuality requirements) are not met, but where allowing the litigation to proceed would nonetheless violate such principles as judicial economy, consistency, finality and the integrity of the administration of justice. (See, for example, *Franco v. White* (2001), 53 O.R. (3d) 391 (C.A.); *Bomac Construction Ltd. v. Stevenson*, [1986] 5 W.W.R. 21 (Sask. C.A.); and *Bjarnarson v. Government of Manitoba* (1987), 38 D.L.R. (4th) 32 (Man. Q.B.), aff’d (1987), 21 C.P.C. (2d) 302 (Man. C.A.).) This has resulted in some criticism, on the ground that the doctrine of abuse of process by relitigation is in effect non-mutual issue estoppel by another name without the important qualifications recognized by the American courts as part and parcel of the general doctrine of non-mutual issue estoppel (*Watson, supra*, at pp. 624-25).

38 It is true that the doctrine of abuse of process has been extended beyond the strict parameters of *res judicata* while borrowing much of its rationales and some of its constraints. It is said to be more of an adjunct doctrine, defined in reaction to the settled rules of issue estoppel and cause of action estoppel, than

an independent one (*Lange, supra*, at p. 344). The policy grounds supporting abuse of process by relitigation are the same as the essential policy grounds supporting issue estoppel (*Lange, supra*, at pp. 347-48):

The two policy grounds, namely, that there be an end to litigation and that no one should be twice vexed by the same cause, have been cited as policies in the application of abuse of process by relitigation. Other policy grounds have also been cited, namely, to preserve the courts' and the litigants' resources, to uphold the integrity of the legal system in order to avoid inconsistent results, and to protect the principle of finality so crucial to the proper administration of justice.

42 The attraction of the doctrine of abuse of process is that it is unencumbered by the specific requirements of *res judicata* while offering the discretion to prevent relitigation, essentially for the purpose of preserving the integrity of the court's process. (See Doherty J.A.'s reasons, at para. 65; see also *Demeter* (H.C.), *supra*, at p. 264, and *Hunter, supra*, at p. 536.)

51 Rather than focus on the motive or status of the parties, the doctrine of abuse of process concentrates on the integrity of the adjudicative process. Three preliminary observations are useful in that respect. First, there can be no assumption that relitigation will yield a more accurate result than the original proceeding. Second, if the same result is reached in the subsequent proceeding, the relitigation will prove to have been a waste of judicial resources as well as an unnecessary expense for the parties and possibly an additional hardship for some witnesses. Finally, if the result in the subsequent proceeding is different from the conclusion reached in the first on the very same issue, the inconsistency, in and of itself, will undermine the credibility of the entire judicial process, thereby diminishing its authority, its credibility and its aim of finality.

52 In contrast, proper review by way of appeal increases confidence in the ultimate result and affirms both the authority of the process as well as the finality of the result. It is therefore apparent that from the system's point of view, relitigation carries serious detrimental effects and should be avoided unless the circumstances dictate that relitigation is in fact necessary to enhance the credibility and the effectiveness of the adjudicative process as a whole. There may be instances where relitigation will enhance, rather than impeach, the integrity of the judicial system, for example: (1) when the first proceeding is tainted by fraud or dishonesty; (2) when fresh, new evidence, previously unavailable, conclusively impeaches the original results; or (3) when fairness dictates that the original result should not be binding in the new context. This was stated unequivocally by this Court in *Danyluk, supra*, at para. 80.

53 The discretionary factors that apply to prevent the doctrine of issue estoppel from operating in an unjust or unfair way are equally available to prevent the doctrine of abuse of process from achieving a similar undesirable result. There are many circumstances in which the bar against relitigation, either through the doctrine of *res judicata* or that of abuse of process, would create unfairness. If, for instance, the stakes in the original proceeding were too

minor to generate a full and robust response, while the subsequent stakes were considerable, fairness would dictate that the administration of justice would be better served by permitting the second proceeding to go forward than by insisting that finality should prevail. An inadequate incentive to defend, the discovery of new evidence in appropriate circumstances, or a tainted original process may all overcome the interest in maintaining the finality of the original decision (*Danyluk, supra*, at para. 51; *Franco, supra*, at para. 55).

[192] In the context of these reasons it is appropriate to briefly review the law with respect to common employer and successor employer applications under the LRA. Subsections 1(4) and 69 of the LRA provide:

1. (4) Where, in the opinion of the Board, associated or related activities or businesses are carried on, whether or not simultaneously, by or through more than one corporation, individual, firm, syndicate or association or any combination thereof, under common control or direction, the Board may, upon the application of any person, trade union or council of trade unions concerned, treat the corporations, individuals, firms, syndicates or associations or any combination thereof as constituting one employer for the purposes of this Act and grant such relief, by way of declaration or otherwise, as it may deem appropriate.

69 (1) In this section,
“business” includes a part or parts thereof;

“sells” includes leases, transfers and any other manner of disposition, and “sold” and “sale” have corresponding meanings.

(2) Where an employer who is bound by or is a party to a collective agreement with a trade union or council of trade unions sells his, her or its business, the person to whom the business has been sold is, until the Board otherwise declares, bound by the collective agreement as if the person had been a party thereto and, where an employer sells his, her or its business while an application for certification or termination of bargaining rights to which the employer is a party is before the Board, the person to whom the business has been sold is, until the Board otherwise declares, the employer for the purposes of the application as if the person were named as the employer in the application.

[...]

(8) Before disposing of any application under this section, the Board may make such inquiry, may require the production of such evidence and the doing of such things, or may hold such representation votes, as it considers appropriate.

[...]

(12) Where, on any application under this section or in any other proceeding before the Board, a question arises as to whether a business has been sold by one employer to another, the Board shall determine the question and its decision is final and conclusive for the purposes of this Act.

[193] Under subsection 1(4) of the LRA, the OLRB may declare that two or more entities are “single”, “common” or “related employers”, in order to protect bargaining rights from being eroded, if their activities or businesses are found to be under common control or direction. Factors considered by the OLRB in assessing “common control” include:

- common ownership or financial control;
- common management;
- interrelationship of operations;
- representation to the public as a single integrated enterprise; and
- centralized control of labour relations

[194] The OLRB has held that the assessment of these factors is a fact-based analysis. No single factor will decide the issue and the criteria may overlap. Further, entities engage in *bona fide* subcontracting relationships, where one entity may exercise a great deal of control over the activities of the other, generally do not fall under the definition of “common employers” (In support of the above see for example, *Walters Lithographing Co. Ltd.*, [1971] OLRB Rep. July 406 and *S.E.I.U., Local 268 v. Canadian Red Cross Society (Ontario Zone)*, [2001] OLRB No. 26 2001 CarswellOnt 3507 (OLRB)).

[195] Under s. 69 of the LRA, employees’ union protection remains in effect when the business they work for is transferred. The basic aim of the provision is to prevent employees from losing union protection when a business is sold or transferred or when changes are made to the corporate structure of a business. Again, this determination involves a fact-based analysis and no single factor is determinative. The factors considered by the OLRB when determining whether the purchaser of a business is a successor employer include:

- Whether sufficient significant elements of assets have been sold to the purchaser; and
- The degree of continuity in the business’ operations.

[196] In deciding whether sufficient significant elements have been sold, the OLRB may consider human aspects (employee know-how, management systems, licences, patents, goodwill) and physical aspects (tangible assets of the business, equipment, land, location). Further, in assessing the degree of continuity in business operations, the OLRB must assess whether the constituent parts of the business have been transferred as a coherent whole (a “functional economic vehicle”) that would justify the survival of collective bargaining rights.

[197] It has been held that while the term “business” in the LRA has a very broad interpretation, continuity of work or employees alone is not sufficient in and of itself to find a successorship, because bargaining rights do not attach to work. For a business to be transferred, the OLRB must determine that it continues to be a “going concern” meaning that it has a “combination of physical assets and human initiative...a dynamic activity, a going concern, something which is carried on...an organization about which one has a sense of life movement and vigour.” If the OLRB declares that an entity is a successor employer, it becomes a party to the collective agreement and is liable to perform all the obligations set out in that collective agreement. (In support of the above see for example *Lester (W.W.) (1978) v. United Association of Journeymen and Apprentices of the Plumbing and Pipefitting Industry, Local 740*, [1990] 3 S.C.R. 644 (S.C.C.) and *Ottawa-Carleton Public Employees Union (CUPE), Local 503 v. Ottawa (City)* (2007), 135 C.L.R.B.R. (2d) 113 aff’d by the Ontario Divisional Court [2009] O.J. No. 4928.)

Determination

[198] An overview of Kaymar’s allegations in this action is set out in paragraphs 40 and 41 of the Amended Statement of Claim. The following is stated:

40. By way of overview, the OCCAC breached its obligations of openness, fairness, and transparency, as required by the provincial procurement policy and the tender documents that constituted the 2003 Service RFP as follows:
 - (a) the OCCAC based its decision to award the 2003 Services RFP contracts on the undisclosed criterion of having Kaymar terminate the employment of all of its unionized therapists by March 31, 2004, thereby triggering the Province’s reimbursement of the OCCAC’s severance liability;
 - (b) the OCCAC based its decision to award the 2003 Services RFP contract to the defendant VON Ottawa-Carleton on the undisclosed “basket of services” criterion;
 - (c) the OCCAC based its decision to award the 2003 Services RFP contracts on the undisclosed criterion of severing the Union’s bargaining rights in the Services work;
 - (d) the OCCAC failed to defer the procurement of the Services work, when it could have done in order to avoid breaching the provincial procurement policy;
 - (e) the OCCAC engaged in a prequalification and recruitment process, targeted specifically at so-called Partner Providers, chief among whom was the defendant VON Ottawa-Carleton, in order to defeat the Union and achieve its basket of services objective;

- (f) the OCCAC customized the Experience Equivalents of the 2003 Services RFP in order to enable VON-Ottawa Carleton, which had no prior experience providing the Services, to bid on the 2003 Services RFP;
- (g) the OCCAC “rigged” the process for the evaluation of responses to the 2003 Services RFP so as to ensure that Kaymar would be wholly unsuccessful; and
- (h) the OCCAC breached the provincial procurement policy by failing to retain documents related to the OCCAC’s meetings and planning for the evaluation of responses to the 2003 Services RFP.

41. In summary, the OCCAC adopted an adversarial attitude towards Kaymar, and a recruitment attitude towards others, including COTA and the VON Ottawa-Carleton. Accordingly, the 2003 Services RFP was a nullity and it, along with the award of contracts to COTA and VON Ottawa-Carleton, should be set aside and Kaymar re-instituted as the sole provider of the Services as if the 2003 Services RFP had never taken place.

[199] It is the position of the defendants that these same allegations, or allegations substantially the same, were pursued by Kaymar in the Application, were answered by the defendants at the Application hearing, and that factual findings contrary to these allegations were made by the OLRB as evidenced by the Application Decision. Further, it is submitted that there is no claim advanced in this action that could not, through reasonable diligence, have been brought before the OLRB. It is the position of the defendants that the doctrine of issue estoppel has been engaged in the circumstances of this case.

[200] The test for issue estoppel involves two stages. At the first stage the moving party is required to establish that (1) the same question has been decided; (2) that the judicial decision which is said to create the estoppel was final; and (3) that the parties to the judicial decision or their privies were the same persons as the parties to the proceedings in which the estoppel is raised, or their privies. If these preconditions have been established, the court must continue to the second stage of analysis to determine whether, as a matter of discretion, issue estoppel ought to be applied.

[201] While the doctrine of issue estoppel was initially developed in the context of prior court proceedings, it has been extended to judicial or quasi-judicial bodies or proceedings. As noted in *Danyluk, supra*, the requirement that the decision be judicial requires an examination of three elements:

- (i) Whether the body is capable of exercising adjudicative authority;
- (ii) Whether the decision was one that was required to be made in a judicial manner; and
- (iii) Whether the decision was made in a judicial manner.

[202] Provided a tribunal has jurisdiction to make the decision in question, and the affected party is aware of the case against it and has the opportunity to meet it, courts have considered

such proceedings judicial and have extended the application of issue estoppel to those judicial bodies.

[203] The OLRB is a body capable of exercising adjudicative authority. The hearing of the Application was an adjudicative process. All parties before the OLRB made submissions, produced documentary evidence, presented oral testimony, had the opportunity to cross-examine each other's witnesses, and were represented by counsel. The OLRB has the jurisdiction to make a decision with respect to a common employer/sale of business application. There is no doubt that the Decision of the OLRB was judicial.

[204] Kaymar and OCCAC were both parties to the Application, albeit as respondents. However, on the evidence before the court it is obvious that their interests were not aligned and were more adversarial in nature. Kaymar took the opportunity to cross-examine the representatives from the other respondents on issues that are also pertinent in this litigation. As noted by the OLRB in the Decision, OPSEU with the support of Kaymar, asserted that the 2003 Therapies RFP was undertaken to defeat OPSEU's bargaining rights with Kaymar and ensure that Kaymar would be the unsuccessful bidder. On balance, I am satisfied in these circumstances that the "same parties" precondition has been met.

[205] It is the first precondition of the issue estoppel analysis which gives me great pause, that is, has the same question been decided. The matter before the OLRB was a common employer/sale of business application, a labour relations matter, statute driven. The claims in the civil action are based in contract and tort. As noted in the case law, the doctrine of *res judicata* precludes the relitigation of both whole causes of action as well as issues or material facts necessarily embraced in earlier proceedings. It encompasses both cause of action estoppel and issue estoppel. The doctrine of issue estoppel prevents the relitigation of issues that have already been previously judicially determined, even where asserted in the context of a new legal theory or cause of action.

[206] However, it will not suffice if the question or issue arose collaterally or incidentally in the earlier proceedings. The question or issue out of which the estoppel is said to arise must have been fundamental to the decision arrived at in the earlier proceedings. According to the case law, only determinations which are necessary to the decision, which are fundamental to it and without which it cannot stand, will found an issue estoppel. Estoppel extends to the material facts and the conclusions of law or of mixed fact and law that were necessarily, even if not explicitly, determined in the earlier proceeding. Further, as noted by Donald J. Lange, in the text *The Doctrine of Res Judicata in Canada*, 2nd ed. (Markham: Butterworths, 2004), *obiter dicta* is not fundamental and may not create an estoppel.

[207] In the case at hand, the OLRB made findings in the section entitled "What this case is not about" concerning allegations that are also included by Kaymar in this litigation. Those findings are set out in paragraphs 156 and 157 above. It is the position of the defendants that the allegations raised by Kaymar in this action have been authoritatively settled by the OLRB.

[208] However, the OLRB itself explicitly recognized in the Decision that the findings that are alleged by the defendants to give rise to an estoppel in this action were not fundamental to its determination of the substantive issue before it, the common employer/sale of business issues. The following was stated at paragraphs 2 and 3:

2. OPSEU seeks a determination that the bargaining rights that it holds with the OCCAC, and/or the bargaining rights that it

holds with Kaymar, and its collective agreement, are binding on the VON Ottawa-Carleton and COTA.

3. This case took a very long time to hear and I have taken a very long time to render a decision. The Board heard a lot of evidence that, in the end, was not helpful in reaching that decision... (emphasis mine)

[209] The evidence that was “not helpful” in reaching determinations on the Common Employer/Sale of Business Application, is contained in the portion of the Decision that is labeled “What this case is not about”. The label is most telling.

[210] The Decision is essentially divided into three distinct sections. Paragraphs 1-25 provide an introduction and the reasons with respect to the Sale of Business Application, pursuant to s. 69 of the LRA. Paragraphs 50–72 relate to the Common Employer Application pursuant to s. 1(4) of the LRA. Sandwiched in between these two sections is the section labeled “What this case is not about.” By necessary implication paragraphs 1-24 and 50-73 are what the OLRB case was actually about, that is, whether the OCCAC did sell part of its business to either VON or COTA within the meaning of s. 69 of the LRA or whether OCCAC, Kaymar, VON and COTA are a single employer within the meaning of s. 1(4) of the LRA.

[211] In its reasons with respect to the sale of business dispute, the Board made absolutely no reference to any of the findings set out in the section “What this case is not about.” Again, in its reasons with respect to the common employer dispute, the Board made absolutely no reference to any of the findings set out in “What this case is not about.” The evidence concerning the allegations of misconduct and the findings related thereto, formed no part of the Board’s reasoning with respect to the actual substantive issues it was tasked to answer and did answer (was there a common employer or a sale of a business in the circumstances of this case.)

[212] It is clear that the OLRB’s actual determination of the substantive common employer/sale of business disputes could easily have stood alone even if the entire section of the Decision entitled “What this case is not about” would have been removed. The Board’s reasoning would remain completely whole and untouched. The findings contained in the section “What this case is not about” cannot be considered so fundamental or necessary to the substantive decision such that an issue estoppel can be said to arise. It is all *obiter dicta*, pure and simple.

[213] This leads to the next requirement for issue estoppel, that is, is the Decision of the OLRB final. There is no question that the Board’s substantive decision with respect to the common employer/sale of business issues is final. However, the findings contained in the section “What this case is not about” are *obiter*. *Quaere* how *obiter* pronouncements, which are by definition unnecessary to a decision, can be final?

[214] This issue was canvassed in *DeChamplain v. Maryland Casualty Co.* (1982), 35 O.R. (2d) 428 (Co. Ct.), *aff’d* (1982) 40 O.R. (2d) 480 (C.A.), where the following was stated at paragraph 20:

In applying these aforesaid principals to the case at bar it appears to me that although Judge Hawkins was required to and did in fact deal with the issue of consent, that was not a fundamental issue to his substantive decision in dismissing the plaintiffs' action on the grounds of there having been no negligence on the part of the driver or operator of the defendant's vehicle and in the circumstances was not appealable and not "final". As such, the issue estoppel does not apply here so as to preclude this defendant from raising the issue of lack of consent.

[215] Further, in *NAC Constructors Ltd. v. Alberta (Capital Region Wastewater Commission)*, 2005 ABCA 401, leave to appeal refused 2007 CarswellAlta 115 (S.C.C.) (WLeC), the Alberta Court of Appeal stated that appeals are brought from dispositions in the court below, not from reasons (see paragraph 11). More will be stated below about Kaymar's actual ability to appeal.

[216] There is thus no need to proceed to the second stage of the issue estoppel analysis, given the above findings that all of the required preconditions have not been met. However, even if I had found all three preconditions to have been met, I would have exercised my discretion and determined that issue estoppel should not be applied in the circumstances of this case, for reasons set out below.

[217] As noted by the Supreme Court of Canada in *Danyluk, supra*, the rules governing issue estoppel should not be mechanically applied. The underlying purpose is to balance the public interest in the finality of litigation with the public interest in ensuring that justice is done in the facts of a particular case. Binnie J. set out seven, non-exhaustive factors for a court to consider in determining whether to exercise discretion, which for ease of reference are repeated below:

- i. the wording of the statute from which the power to issue the administrative order derives;
- ii. the purpose of the legislation;
- iii. the availability of an appeal;
- iv. the safeguards available to the parties in the administrative procedure;
- v. the expertise of the administrative decision maker;
- vi. the circumstances giving rise to the administrative proceedings;
- vii. the potential injustice.

[218] I turn then to the applicability of the list of factors to the circumstances of this case.

[219] The purposes of the LRA are set out in paragraph 2 of the legislation. It provides:

2. The following are the purposes of the Act:

- 1. To facilitate collective bargaining between employers and trade unions that are the freely-designated representatives of the employees.

2. To recognize the importance of workplace parties adapting to change.
3. To promote flexibility, productivity and employee involvement in the workplace.
4. To encourage communication between employers and employees in the workplace.
5. To recognize the importance of economic growth as the foundation for mutually beneficial relations amongst employers, employees and trade unions.
6. To encourage co-operative participation of employers and trade unions in resolving workplace issues.
7. To promote the expeditious resolution of workplace disputes. 1995, c. 1, Sched. A, s. 2.

[220] In sum, the LRA regulates the relationship between employers and employees in Ontario, in unionized workplaces, and provides an almost exclusive forum for resolution of labour and employment disputes. The OLRB is created pursuant to this legislation and derives its powers and jurisdiction therefrom. A statutory tribunal such as the OLRB may only exercise those powers expressly conferred upon it by statute as well as those powers necessary to perform its intended functions. The LRA contains a privative clause that indicates that the OLRB is due deference on matters “within the jurisdiction of the Board.” The LRA provides:

111. (1) The Board shall exercise the powers and perform the duties that are conferred or imposed upon it by or under this Act.

111. (2) Without limiting the generality of subsection (1), the Board has power,

(j) to authorize the chair, a vice-chair or a labour relations officer to inquire into any application, request, complaint, matter or thing within the jurisdiction of the Board, or any part of any of them, and to report to the Board thereon;

116. No decision, order, direction, declaration or ruling of the Board shall be questioned or reviewed in any court, and no order shall be made or process entered, or proceedings taken in any court, whether by way of injunction, declaratory judgment, certiorari, mandamus, prohibition, quo warranto, or otherwise, to question, review, prohibit or restrain the Board or any of its proceedings.

[221] While there is no doubt that the OLRB has expertise, and is an expert tribunal, with respect to labour and employment disputes, its expertise does not extend to procurement law. A significant body of case law has been developed at the Supreme Court of Canada, Courts of Appeal and lower court levels with respect to tendering (jurisprudence that is nowhere referred to in the Decision of the OLRB). As noted above, the Supreme Court of Canada introduced the Contract A/Contract B analysis for the tendering process in *The Queen v. Ron Engineering, supra*. The courts have also recognized certain rights and obligations as arising from the tendering process. A core theme recognized in *Ron Engineering* and repeatedly recognized in later jurisprudence, is the need to maintain the integrity of the tendering process. The courts have implied a contractual term into Contract A to treat all bidders fairly and equally and “owners” have been found to have been in breach of that duty if contracts are awarded on the basis of considerations extraneous to those identified in the tender documents.

An “owner” cannot rely on “undisclosed criterion.” It goes without saying that this is an area of law with respect to which the OLRB has no specialized knowledge, experience or expertise.

[222] Labour and employment issues are not important or fundamental to the civil action at hand. The focus of the proceeding before the OLRB was entirely different from that of Kaymar’s civil action. In *Danyluk, supra*, the following was stated at paragraph 71:

The focus of an earlier administrative proceeding might be entirely different from that of the subsequent litigation, even though one or more of the same issues might be implicated. In *Bugbusters, supra*, a forestry company was compulsorily recruited to help fight a forest fire in British Columbia. It subsequently sought reimbursement for its expenses under the *B.C. Forest Act*, R.S.B.C. 1979, c. 140. The expense claim was allowed despite an allegation that the fire had been started by a Bugbusters employee who carelessly discarded his cigarette. (This, if proved, would have disintitiled Bugbusters to reimbursement.) The Crown later started a \$5 million negligence claim against Bugbusters, for losses occasioned by the forest fire. Bugbusters invoked issue estoppel. The court, in the exercise of its discretion, denied relief. One reason, per Finch J.A., at para. 30, was that,

a final decision on the Crown's right to recover its losses was not within the reasonable expectation of either party at the time of those [reimbursement] proceedings [under the *Forest Act*].

[223] Thus, where the focus of an earlier administrative proceeding is entirely different from that of the subsequent litigation, even though one or more of the same issues might be implicated, this will militate against the discretion to find an issue estoppel.

[224] The matter before the OLRB was a common employer/sale of business application. Under subsection 1(4) of the LRA, the OLRB may declare that two or more entities are common employers, in order to protect bargaining rights from being eroded, if their businesses are found to be under common control or direction. Under s. 69 of the LRA, employees’ union protection remains in effect when the business they work for is sold or transferred. These sections are reviewed above in these Reasons at paragraphs 192 to 197. I will not repeat same. Suffice it to say their purpose is to protect bargaining rights and to avoid their erosion. A fact-based analysis is to be conducted by the OLRB, with certain factors having been identified by the Board in its jurisprudence as instructive in these applications. The analysis in this case was undertaken by the OLRB at paragraphs 1-25 and 50-72 of its Decision.

[225] In contrast to the actual substantive dispute before the OLRB, Kaymar claims that the OCCAC breached its obligations to conduct the 2003 Therapies RFP in a fair, open and transparent manner in that it had based the outcome of the RFP on three undisclosed criteria and that it engaged in a biased evaluation of the responses to the RFP. At its core is the integrity of the tendering process. The questions which the OLRB had to answer in the Application, the questions within its jurisdiction, were fundamentally different from the matters at issue in this litigation.

[226] It could not have been in the contemplation of the Legislature that the OLRB should be the forum to resolve litigation pertaining to the legal duties owed by the owner of a procurement contract to prospective bidders, or to determine issues relating to the tort liability

of such parties. Nor was it in the contemplation or reasonable expectation of the OLRB, or the parties to the proceedings before the OLRB, that this was the forum to resolve the civil dispute. In this regard I note, as outlined above, that the OLRB was aware during its early pre-hearing process that there would be civil litigation in respect of the RFP process. Later, the OCCAC specifically requested that the Board adjourn OPSEU's Common Employer/Sale of Business Application until the completion of the civil action. It submitted that it would be inappropriate that both proceedings be pursued at the same time. According to Mr. Whitney, and not contradicted by the other affiants, the OLRB, in an oral ruling, declined the OCCAC's request for an adjournment, indicating that the RFP process would not be a central part of the hearing before the OLRB. Further, the OLRB noted that OPSEU was not a party to the action and the Board was therefore reluctant to adjourn labour proceedings initiated by OPSEU before the OLRB by reason of civil claims initiated by Kaymar.

[227] In the exercise of this Court's discretion, it is to be noted that the OLRB proceedings were commenced by OPSEU, not Kaymar. Kaymar was a respondent therein. In addition, the remedies sought by OPSEU common employer/sale of business declarations, while protecting its bargaining rights, would have resulted in little if no advantage to Kaymar. In fact Kaymar, in its Amended Response, requested that OSPEU's Common Employer Application be dismissed. Kaymar admitted that there was a sale of a business within the meaning of s. 69 from the OCCAC to Kaymar, but took no position as to whether there was a sale of a business between OCCAC, VON and COTA. In the OLRB's Decision, and consistent with Kaymar's position on the substantive dispute, the OLRB dismissed OPSEU's request for a common employer declaration and confirmed that a sale of a portion of the OCCAC's business had occurred in 1999 as between the OCCAC and Kaymar, but that no further sale of business had occurred. While Kaymar sought damages in the OLRB proceedings, those damages were only sought in the event that the Board determines that a sale of business within the meaning of s. 69 had occurred between Kaymar and OCCAC/VON/COTA, and were for the cost of termination and severance pay that Kaymar was required to pay.

[228] This is to be contrasted with the remedies sought by Kaymar in this civil action. Kaymar has sought, among other things, a declaration that the award by the OCCAC of the contracts to COTA and VON is a nullity, a declaration that Kaymar is entitled to be recognized as the successful respondent to the 2003 Therapies RFP, a mandatory order requiring the OCCAC to recognize Kaymar as the successful respondent and a declaration that Kaymar was entitled to receive the contract in place of VON and COTA and to their exclusion. Further, Kaymar has sought a declaration that the 2003 Therapies RFP process is a nullity, an order that it be quashed and an order reinstating Kaymar as the provider of adult therapy services under the terms of their 1999 Sale Agreement. Kaymar has also sought damages which total approximately \$12,000,000. The OLRB has no jurisdiction to order the remedies sought in the prayer for relief set out in the civil action. The remedies sought in the civil action are entirely different and speak to the two different jurisdictions of the OLRB and the court.

[229] While I recognize that the OLRB proceedings were commenced by OPSEU and Kaymar was a respondent, Kaymar does not appear to have taken a passive role therein. Kaymar took the opportunity before the Board to cross-examine the witnesses put forward by the OCCAC, COTA and VON. The OLRB also noted that OPSEU, with the support of Kaymar, asserted that the competition was undertaken to defeat OPSEU's bargaining rights with Kaymar and to ensure that Kaymar would be the unsuccessful bidder. However,

nowhere in the OLRB's rulings or Decision was the Board critical of Kaymar's litigation behaviour in this regard. Moreover, Kaymar's actions must be understood in the context of the Board's procedure where respondents are required to proceed first. As noted by the OLRB the OCCAC led evidence about every step it took around the managed competition process. Mr. Whitney, in cross-examination for this motion, indicated that while Kaymar came to OLRB process as a neutral, the OCCAC was not behaving as a respondent when it came to Kaymar and was treating Kaymar as a defendant – "and we defended our interest because your client was trying to take advantage of the situation." (Transcript of cross-examination of Donald Whitney, September 23, 2009 at questions 79-83).

[230] In determining whether, as a matter of discretion, issue estoppel ought to be applied in the circumstances of this case, I am also mindful of the various rulings of the OLRB during the course of its proceedings that restricted the scope of OPSEU's Common Employer/Sale of Business Application. As outlined above, the Board made a number of procedural rulings that had the effect of excluding evidence relevant to issues in these proceedings. For example, as set out in a procedural ruling dated August 27, 2004 the Board stated at paragraph 24:

But I remind OPSEU that the responding parties are only obliged to adduce material facts relevant to the assertion that they are a single or successor-employer. It is difficult to see how the OCCAC waiting list and visits and referrals completed by VON Ottawa-Carleton and COTA are relevant. In determining where there had been a sale of business, the Board will not take into consideration whether VON Ottawa-Carleton and COTA were well-equipped to take on their contracts.

[231] The OLRB refused OPSEU's request that the Complaint be consolidated or heard together with the Common Employer/Sale of Business Application, although it noted that the motivations of the participants for the actions they took would be the focus of the unfair labour practice litigation. It stated that some of OPSEU's pleadings in the Common Employer/Sale of Business were irrelevant to a consideration of what the Board typically takes into consideration and would be struck. The Complaint was ultimately adjourned by the OLRB on October 20, 2004 and in November 2004, OPSEU removed over 20 paragraphs in its Amended Application. In response to the motion of the OCCAC and VON, the OLRB, in its ruling dated March 17, 2005, struck out portions of OPSEU's Application as irrelevant (see paragraphs 145 and 146 above in these Reasons). Further, the OLRB denied OPSEU's request for all communications between the OCCAC and Kaymar, VON and COTA with respect to the 2003 Therapies RFP, the RFP scoring tool used by OCCAC, the draft template for the RFP dated July 17, 2003, the written evaluations, evaluators' notes and comments of all respondents, written RFP Responses and the evaluators' notes and comments on the interview stage of the quality portion of the evaluation, all on grounds of irrelevance. While this documentation may have been irrelevant to the labour and employment issues to be determined by the OLRB, it clearly has relevance to the issues in the civil action.

[232] Moreover, the OLRB Decision made no findings with respect to a number of issues clearly raised in the civil claim. For example, the Decision is completely silent with respect to Kaymar's allegation that the OCCAC used undisclosed criteria in the RFP process and whether or not this was lawful under the terms of the 2003 Therapies RFP. There is no mention or determination as to the OCCAC's alleged use of a comprehensive basket of services as an undisclosed criteria. There is no mention or determination as to the OCCAC's alleged need to guarantee certain contingent funding from the Ministry of Health as an

undisclosed criterion. There is no mention or determination as to the OCCAC's alleged preference for bidders that would take a position against OPSEU's assertion of collective bargaining rights in the Therapies work as an undisclosed criteria. Further, the OLRB did not focus on any of the specific terms and conditions of the RFP, the requirements of the ministerial procurement policies and procedures and whether there was a breach of any of them, the evaluation process of the RFP and whether there were any irregularities with respect thereto, and whether the customization of the experience requirements was permissible at law under the Ministry's procurement policies and the 2003 Therapies RFP. The OLRB stated that "what really matters to this case was that Kaymar, VON Ottawa-Carleton and COTA all passed the quality part of the competition, which counted for 75%. Kaymar lost on price."

[233] In addition, it is to be noted that Kaymar's right of judicial review of the OLRB's Decision is largely illusory. Firstly, as stated above the OLRB's Decision is completely consistent with Kaymar's position on the substantive dispute. The OLRB dismissed OPSEU's Common Employer/Sale of Business Application. At common law an individual will have standing to seek a remedy in proceedings for judicial review only if he or she is an aggrieved or affected person or exceptionally prejudiced by the impugned administrative action. (See Brown and Evans, *Judicial Review of Administrative Action in Canada*, loose leaf (Toronto: Canvasback Publishing, 2008), paras. 4:3420, 4:3431 and 4:3450).

[234] Kaymar's only interest would have been to take issue with the OLRB's *obiter dicta* statements in the section of its Decision entitled "What this case is not about." As *obiter dicta* is by definition unnecessary dicta in a decision, it may not be appealed or judicially reviewed. Further, as stated above, while a decision may be appealed, the reasons for that decision may not be appealed.

[235] Finally, I note the submission of the OCCAC that Kaymar is attempting to improperly collaterally attack the OLRB decision. This is a difficult proposition for the court to accept, given that the civil action was commenced more than three years before the Decision of the OLRB was released. This is not the scenario of an individual who commences an action or proceeding, receives a result and commences another with resulting mischief. In the case at hand OPSEU commenced the Complaint and Application. Kaymar then commenced its own civil action to achieve relief not available to it in the OLRB proceedings.

[236] Even if a party has successfully established the three requirements for issue estoppel (not found to be established in the circumstances of this case) the court must still continue to the second stage of the analysis to balance the public interest in the finality of litigation with the public interest in ensuring that justice is done on the facts of a particular case. For the reasons set out above, the application of the discretionary factors that would be relevant to the second stage of an issue estoppel analysis leads to the conclusion that issue estoppel should not be applied in the circumstances of this case. The prior OLRB proceeding was commenced by OPSEU to determine substantive issues with respect to a labour relations statute and the maintenance of collective bargaining rights, which had no real bearing on Kaymar's civil action. The OLRB was not the proper forum to resolve Kaymar's civil legal claims with respect to the impugned RFP process. The two proceedings were commenced by two separate parties to determine different legal and factual issues. To deprive Kaymar of its opportunity to prosecute its claims against the OCCAC would work an injustice. The action should not be dismissed in these circumstances.

[237] I briefly turn then to abuse of process, the law concerning which is summarized above. It is applied to avoid relitigation where the strict rules of issue estoppel have not been met but where allowing the litigation to proceed would violate such principles as judicial economy, finality, consistency and the integrity of the administration of justice.

[238] In *The Doctrine of Res Judicata in Canada, supra*, the principles with respect to abuse of process are summarized as follows at pages 375-376:

- (1) The doctrine is not encumbered by the specific requirements of *res judicata*.
- (2) The proper focus for the application of the doctrine is the integrity of the judicial decision-making process.
- (3) Relitigation may be necessary to enhance the credibility and effectiveness of judicial decision-making when, for example, there are special circumstances.
- (4) The interests of the parties, who may be twice vexed by relitigation, are not a decisive factor.
- (5) The motive of a party in relitigating a previous court decision for a purpose other than undermining the validity of the decision is of little import in the application of the doctrine.
- (6) The status of a party, as a plaintiff or defendant, in the relitigation proceeding is not a relevant factor.
- (7) The discretionary factors that are considered in the operation of the doctrine of issue estoppel are equally applicable to the doctrine of abuse of process by relitigation.

[239] Abuse of process has been recognized as an adjunct to issue estoppel and *res judicata*. At its core lie the same policy considerations that there should be finality to litigation and that no one should be twice vexed by the same cause. The OLRB's obiter under the heading "What this case is not about" was not fundamental to its decision pursuant to sections 1(4) and 69 of the LRA. In any event, the same questions were not in fact determined by the OLRB as would be adjudicated in this action. Further, the discretionary factors reviewed above with respect to the doctrine of issue estoppel are equally applicable to abuse of process in the circumstances of this case. It would be fundamentally unfair to preclude the prosecution of Kaymar's civil case when the only thing at stake in the prior proceeding were the common employer/sale of business declarations and where the OLRB was not the proper forum to resolve Kaymar's legal claims with respect to the RFP process.

[240] In conclusion, for the reasons given, the action against COTA is dismissed. The summary judgment portion of Carefor's motion is granted. The OCCAC motion with respect to issue estoppel and abuse of process (supported by COTA and Carefor) is denied.

[241] If the parties cannot agree on costs, they are to provide written submissions with respect to their particular motions. COTA and Carefor are to provide their submissions by September 29, 2010. Kaymar is to provide its submissions in response to COTA and Carefor and with respect to the OCCAC motion by October 15, 2010. The OCCAC is to provide their submissions by November 1, 2010.

[242] I thank counsel for their able presentations and thoughtful submissions in these matters.

The Hon. Madam Justice H. Polowin

Released: September 13, 2010

APPENDIX A

0090-04-R Ontario Public Service Employees Union, Applicant v. Ottawa Community Care Access Centre, Kaymar Rehabilitation Inc., Ottawa-Carleton Branch of the Victorian Order of Nurses and COTA Comprehensive Rehabilitation and Mental Health Services, Responding Parties.

APPEARANCES: Susan Ballantyne, Ed Ogibowski, Catherine Bowman and David Calvert for the applicant; Leslie Sanderson and Don Bateman for Kaymar; Lee Shouldice, Abdul-Basit Khan and Patrice Connolly for the OCCAC; Andrew Tremayne and Bob Cemiuk for VON Ottawa-Carleton; Robert Hickman and Nora Paradis for COTA.

1. This is an application made by the Ontario Public Service Employees' Union (OPSEU) for a determination that the Ottawa Community Care Access Centre (OCCAC), Kaymar Rehabilitation Inc. (Kaymar), the Victorian Order of Nurses Ottawa-Carleton (VON Ottawa-Carleton) and COTA Comprehensive Rehabilitation and Mental Health Services (COTA) are a single employer within the meaning of section 1(4) of the Labour Relations Act, and/or, for a declaration that there has been a sale of business from the OCCAC to Kaymar and then a further sale to VON Ottawa-Carleton and COTA.

2. OPSEU seeks a determination that the bargaining rights that it holds with the OCCAC, and/or the bargaining rights that it holds with Kaymar, and its collective agreement, are binding on the VON Ottawa-Carleton and COTA.

3. This case took a very long time to hear and I have taken a very long time to render a decision. The Board heard a lot of evidence that, in the end, was not helpful in reaching that decision. Much of the evidence that was led, and what I will focus on, concerned the relationship between the OCCAC and Kaymar. It is fair to say that all of the parties understood that unless the Board was convinced that this relationship demonstrated either a sale of business or that the two should be treated as a single employer, it was not likely that the Board would be convinced that OCCAC had sold part of its business to COTA and VON Ottawa-Carleton. Not only was the relationship between OCCAC and Kaymar a vital link in the chain, but was the relationship more likely to attract the outcome sought by OPSEU.

4. OPSEU represents physiotherapists, occupational therapists, and social workers, who are collectively called "therapists" in this decision. Up until 1999, the therapists were employed by the OCCAC. Prior to their employment with the OCCAC, the therapists had been employed by the City of Ottawa. OPSEU is a successor union to Alliance of Associated Health Professionals: Ontario (AAHP:O). The therapists have been unionized for a long time. Many of the therapists are long service employees who have dedicated their careers to providing therapy services in the

community, to clients in their homes, or in long-term care institutions. The work performed by the therapists has remained largely unchanged over the years. What has changed is the identity of their employer and the manner in which home care services are delivered in the Province.

S. In October 1997, the OCCAC was directed by the Ministry of Health and Long Term Care (MOHLTC) to divest itself of therapy services. The OCCAC was told it could no longer directly employ staff to provide any home care services, including therapy services. The letter from Carm Jackson, Minister Without Portfolio, Responsible for Seniors, reads in part, as follows:

... CCAC's are not intended to be direct service providers. In their role as broker to obtain the highest quality service ... at the best possible price they will purchase services through a competitive request for proposal (RFP) process. By the end of the 3-year employment stabilization period, government policy requires that CCAC's must divest all direct service staff.

6. OPSEU brought an application to the Labour Board in respect of that proposed divestment. The OCCAC ultimately reached a settlement with OPSEU, in which it agreed that OPSEU and its members would participate in the selection of the service provider that would provide therapy services. Further, the new provider would be required to treat the transaction as a "sale of business" under the Act, recognize OPSEU and become bound to the collective agreement between OPSEU and the OCCAC, and the new provider would be required to employ all of the therapy staff. The new provider was also guaranteed a volume of business, essentially to ensure that it had work for the therapists. Kaymar was chosen as the new provider and carried out the contract, providing therapy services for the next four years.

7. In the winter of 2003, the OCCAC ran a new competition for the provision of therapy services. Kaymar bid but was not successful in the competition. Instead, the OCCAC awarded contracts to COTA and VON Ottawa-Carleton. COTA, VON Ottawa-Carleton and the OCCAC declined to treat the new transaction as a sale of business or otherwise recognize that OPSEU's bargaining rights or collective agreement with Kaymar was binding on them. At times, I may refer to all of the responding parties collectively as "employers" but I understand that COTA characterizes its relationship with the therapists it retained as one of "independent contractors". Since nothing turns on that distinction for this case, I may refer to all of the responding parties as employers, without making any finding about the nature of COTA's relationship with the therapists.

8. OPSEU and Kaymar were very upset about the outcome of the competition. Kaymar commenced civil litigation against the OCCAC, which at the time this case was heard, was still ongoing and had a palpable impact on the proceedings. OPSEU brought this application, and for the most part, Kaymar was allied in interest with OPSEU's position. Both OPSEU and Kaymar asserted that there had been a sale of business from OCCAC to Kaymar and then again from the OCCAC to COTA and VON' Ottawa-Carleton. In the alternative, both OPSEU and Kaymar asserted that all of the responding parties are a single employer within the meaning of section 1(4) of the Act.

9. The model by which community care access centres provide home health care through outside service providers is well known and has been canvassed by the Board in other cases (see, for example *Durham Access to Care*, [2000] OLRB Rep. Sept/Oct. 855 and *Durham Access to Care*, [2000] OLRB Rep.

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are predominantly nurses, determine what kinds of services are needed, whether nursing, personal support, medical equipment or therapy services, or a combination. If, for example, physiotherapist services are required for a patient recovering from a broken hip, the case manager will send a request for service to a provider. The case manager will prepare a service plan, based on her knowledge of how many therapy sessions, over what period of time, are typically needed for a hip fracture recovery. The therapist will make an initial assessment of the patient in her home and make a care plan, which will often match the expected pattern for, in this case, a hip fracture recovery. But the therapist is expected to use her professional knowledge and experience. She will consider the home situation (are there physical barriers in the home set up; is family support available; are there cognitive or other issues that will make teaching the client more difficult etc.), the client's overall medical condition and consider the client's goals. The therapist may create a care plan that is different from the typical one. I heard that at the OCCAC, there is considerable respect for the therapists' views and the case manager would usually accept their recommendations. But at the end of the day, it is the case manager at the OCCAC, not the therapist, who determines what amount of care will be provided, and over what interval. Kathryn Desai, the OCCAC's Director of Strategy and Development said that case managers are accountable for resources and are expected to ask the clinicians, including the therapists "Do you really need those extra visits?"

10. The Board's case law has held that the divestment of services and employees by a community care access centre does not amount to a sale of business (see *Multi-Professional Support Services Inc.*, [2000] OLRB Rep. March/April 266). The case law has also established that the loss of a contract by one contractor and the award to another does not amount to a sale of business (see *Durham Access to Care*, [2000] OLRB Rep. Sept/Oct. 855).

11. OPSEU and Kaymar argue that this case is different because Kaymar was required to employ all of the therapist and their managers and required to recognize OPSEU's bargaining rights.

12. As set out above, Kaymar was selected as the service provider in 1999/2000 with a contract that ran until March of 2004. Kaymar and the OCCAC together negotiated the new collective agreement with OPSEU. Although Kaymar's witness Don Bateman, (Chief Operating Officer) denied that Kaymar was any more than an observer at the table, it is fair to say that everyone understood the new collective agreement would span a period when each of the OCCAC and Kaymar were the employers of the therapists. Mr. Bateman testified that because the collective agreement had not been finalized at the time of the employees' transfer to Kaymar, the OCCAC agreed to fund any salary and benefit increases that exceeded the costs that had been identified when Kaymar made its bid.

13. Witnesses for the OCCAC, in particular Guy Arsenau (Director of Finance, Information Systems and Administration) and Penny Sands (Manager Quality Service and Partnerships) testified that the initial relationship between Kaymar and the OCCAC was different from the relationship OCCAC had with other service providers. The OCCAC had a long history of working with service providers for nursing and personal care. I heard that there was a good deal of communication with Kaymar about staff transition issues and what I call "legacy" issues. For example, a couple of therapists were absent due to workplace injuries and there were discussions about who would be liable for the ongoing costs. The most significant cost issue was the liability that Kaymar faced in respect of the termination, severance, and accumulated sick bank costs for the therapists that could be incurred at the end of Kaymar's contract. As set out

above, the therapists were long service employees of the OCCAC, and its predecessor municipal employer.

14. When Kaymar bid on the contract to provide therapy services, it included those "legacy" costs in its pricing. That pricing contributed to the OCCAC's argument to the MOHL TC that divesting the therapy services was potentially more expensive than the OCCAC continuing to provide the services itself. In response, the MOHL TC encouraged the OCCAC to review Kaymar's pricing, and eliminate some of the costs. Consequently, the OCCAC agreed to provide Kaymar with an advance so that Kaymar would not have to get financing to cover the gap between Kaymar providing the service and being paid by the OCCAC. Most significant, Kaymar agreed to take the employee "legacy" costs out of its pricing and entered into an agreement with the OCCAC to review the situation at the end of Kaymar's contract. The OCCAC and Kaymar also agreed that Kaymar would incur "shutdown" costs if it was not providing therapy services to the OCCAC after March 2004. I am choosing to be purposely vague about the terms of that agreement because there is a significant dispute between Kaymar and OCCAC about the terms. For my purposes, it is enough to say that although Kaymar agreed to employ all of the therapists, and be bound to the collective agreement that governed their terms and conditions of employment, Kaymar and the OCCAC expected that Kaymar would be looking to the OCCAC to contribute to the "legacy" costs in the event that Kaymar was not providing the therapy services to the OCCAC after March of 2004. Similarly, the OCCAC was looking to the MOHL TC to fund those costs.

15. OCCAC, OPSEU and Kaymar agreed at the time that the transaction giving the contract to provide therapy services was a "sale of business". That agreement is not binding on VON Ottawa-Carleton nor on COTA. The Board typically holds parties to their agreements, to promote the making of such agreements. I see no reason to look behind the agreement among Kaymar, OPSEU and the OCCAC. I conclude, based on the agreement, that the OCCAC sold part of its business to Kaymar, within the meaning of section 69 of the Act. However, that agreement does not impact on, or illuminate any of the other facts and relationships that the Board must examine.

16. It appears that the arrangement between the OCCAC and Kaymar was not a typical arrangement between a community care access centre and a service provider. Kaymar agreed that the transaction was a sale of business with labour relations consequences, it employed all the therapists and their managers with continuity of employment, and it recognized OPSEU's bargaining rights and applied the same collective agreement. Kaymar agreed to stand in the shoes of the OCCAC, and the OCCAC agreed to fund the consequential costs, most particularly the significant "legacy" employment costs.

17. Moreover, Kaymar was promised a certain volume of work, so that it could continue to employ all of the therapists. Most contractors are paid on a per visit basis, with an estimate of volume, but no guarantee. I heard that Kaymar was promised a higher volume of occupational therapy referrals than it received, so it was paid even though visits were not made. But Kaymar also pointed out that since it was required to employ all of the therapists, it needed the means to pay them.

18. VON Ottawa-Carleton and COTA received from the OCCAC a time-limited licence to perform therapy services. They received less from the OCCAC than Kaymar. The OCCAC made

no promises of the volume of work, did not agree to pay any "legacy" or shut down costs and provided no financing, with the exception of a grant to assist COT A to set up an IT infrastructure that would communicate well with the OCCAC. VON Ottawa-Carleton had been provided with a similar grant a number of years ago when it first became a provider of nursing services to the OCCAC.

19. COTA and VaN Ottawa-Carleton recruited therapists separately and independently of the OCCAC, but at the end of the day, most who were ultimately hired had been employees of Kaymar and the OCCAC, which is no surprise because they would be eminently qualified to perform the same work, with the same clients, that they had performed for many years. But VON Ottawa-Carleton and COT A did not receive the therapists en masse.

20. While the acquisition of the therapists was important for the delivery of the service, it would not have been enough for VON Ottawa-Carleton or COT A to operate viable businesses. As OPSEU argued, the therapists and their managers would have brought not only clinical experience and knowledge, they would have brought useful experience of how the OCCAC worked and strong relationships with the OCCAC case managers. But while the experience and knowledge of the therapists and their managers would have been an asset, it was not essential to the business of COT A or VON Ottawa-Carleton.

21. They needed the acumen to establish and operate a business in the service provider model. All of that acumen came from the principals of VON Ottawa-Carleton and COTA. As the Board noted in *Multi-Professional Support Services Inc.* (above), where the service provider brings its own business acumen and "is not the recipient of the CCAC's business organization", it cannot be said that the provider has acquired part of the CCAC's business (see paragraph 46). Moreover, where the transaction provides only a, time-limited access to the work, as the OCCAC did in this case, it becomes more difficult to see that the OCCAC has transferred a viable economic vehicle.

22. Both COTA and VaN Ottawa-Carleton operated pre-existing businesses with a track record in bidding for and performing service contracts for community care access centres. They both understood the "broker" model for providing home care services through community care access centres and the record-keeping, policies, procedures and service delivery requirements of that model. They applied that experience to price the work and establish the infrastructure to perform the work.

23. What COTA and VON Ottawa-Carleton got from the OCCAC was a time-limited license to provide therapy services. In my view, the OCCAC implemented a true contracting out and did not sell part of its business to either VON Ottawa-Carleton or to COT A.

24. Before turning to the allegations that all of the responding parties are a single employer within the meaning of section 1(4) of the Act, I want to deal with the evidence surrounding the allegations of misconduct. That evidence took up a significant amount of hearing time.

25. OPSEU made extensive and serious allegations that the decision by the OCCAC to run a managed competition for therapy services in late 2003 and the manner in which the managed competition was run, amounted to a sham. OPSEU, with the support of Kaymar, asserted that the

competition was undertaken to defeat OPSEU's bargaining rights with Kaymar and ensure that Kaymar would be the unsuccessful bidder.

26. Although the Board decided to hear the sale of business and related employer applications separate from the unfair labour practice complaint that OPSEU has also brought against most of the same responding parties, the OCCAC was obliged to call extensive evidence in this proceeding to refute those allegations of impropriety. The OCCAC proceeded first with its evidence, to seek to meet its evidentiary obligations in section 1(5) and 69(13) of the Act. However, because OPSEU, joined by Kaymar, had alleged that all of the steps the OCCAC took in running the competition for therapy services amounted to a sham with an improper motive, OCCAC was obliged to lead much more than would be the typical type of evidence the Board would hear in a related employer/successor employer application. The OCCAC led evidence and answered every allegation made by OPSEU and Kaymar in their pleadings, at a point when none of those allegations had been established in evidence. To a lesser extent, VON Ottawa-Carleton and COT A had to answer allegations that they were not qualified to compete or to deliver therapy services. Essentially, OPSEU and Kaymar asserted that VON Ottawa-Carleton and COTA were the beneficiaries of the OCCAC's wrongdoing.

27. OCCAC led evidence about every step it took around the managed competition process. It led evidence about the Provincial directive that required it to divest itself of the direct provision of therapy services and its efforts to resist it. It led evidence about the template for the managed competition process created and mandated by the Province, about the training its staff undertook, about the oversight provided by the board of directors of the OCCAC of the managed competition process. The OCCAC led evidence about what parts of the template it was able to customize and those it was not. The OCCAC led evidence about how it assessed and evaluated the written bids, how it conducted interviews of the bidders and how it evaluated those interviews. The OCCAC led evidence about the point at which it looked at the prices bid and how it evaluated those prices. Finally, the OCCAC led evidence about the process undertaken by its board of directors to determine, based on the criteria established by the Province and the evaluations of the bidders on the factors of quality and price, who would be awarded contracts to provide therapy services.

28. On the basis of the evidence led by the OCCAC, which was not undermined on any fundamental basis by OPSEU or Kaymar, I make the following general findings. The Province of Ontario, through the MOHLTC mandated that the OCCAC divest itself of direct service providers. For many years, the OCCAC had provided home care and nursing services through contractors. In 1997 the MOHLTC required the OCCAC to implement a similar model for the provision of therapy services, which had a significant impact on the OCCAC therapists who were its employees, represented by OPSEU.

29. To put it bluntly, the OCCAC had no choice. The letter from Minister Jackson set out above was clear. Community care access centres could no longer continue to provide therapy services directly with their own employees. I note that the OCCAC went so far as to write to the MOHL TC and detail how much more costly it would be to provide therapy services through an outside contractor and the only solution offered by the MOHLTC was advice on how to reduce those costs, as detailed above. But the MOHL TC clearly told the OCCAC that it could not continue to employ therapists directly.

30. I also conclude that when the Kaymar contract came to an end in March of 2004, the OCCAC could not have simply extended Kaymar's contract. The MOHLTC was planning to issue new policies and a new template for managed competitions that all community care access

centres were required to use. The MORL TC wanted all competitions, across the Province, to be run in the same manner, applying the same criteria. But there were delays in the release of the new policy and template and the OCCAC was concerned that it would not have enough time to run a competition for therapy services before the Kaymar contract ended.

31. The OCCAC made inquiries of the MOM.. TC about a contract extension with Kaymar, which would have been the OCCAC's preference, at least for a period of time. The correspondence adduced at the hearing revealed that the MORL TC would not guarantee to cover significant "legacy" costs associated with therapists and their previous employment at the OCCAC if the contract with Kaymar was extended. The OCCAC made a sensible economic decision that it could not risk losing the MaHL TC guarantee to cover costs. But more important, there is no evidence that the denial of an extension to Kaymar was for any improper labour relations purposes.

32. I also find on the evidence that the managed competition policy of the MORL TC required that the completion run in the fall of 2003 result in contracts being awarded to more than one provider. The managed competition template, which was available to all bidders, specifically advised that two or more providers would be awarded contracts. I note that Bob Cemiuk, Executive Director of VaN Ottawa-Carleton prepared a report to his board dated December 17, 2003 about VON Ottawa-Carleton's bid preparation. He indicated *his* understanding that the OCCAC would be awarding more than one contract for therapy services.

33. In making an award of more than one contract, the OCCAC followed the direction from the MOIn.. TC that except in very small markets, more than one provider would be awarded contracts. The OCCAC understood the reason for this policy was to protect against the possibility that a single provider could go bankrupt, be unable to provide service due to an infectious disease outbreak, such as SARS, and to increase competition. It matters not whether those reasons are compelling; the OCCAC was required to follow them. I conclude that the OCCAC did not behave improperly in running a competition that would result in two providers. Consequently, its decision to award contracts to more than one provider was a predictable consequence of that decision.

34. OPSEU and Kaymar also challenged the OCCAC's decision to alter the template to permit bidders to participate who had not offered therapy services but had provided other professional services, most likely nursing services. It is not disputed that VON-Ottawa had not provided therapy services before, but had provided nursing services to the OCCAC and other agencies for many years. It is also not disputed that the OCCAC's decision to accept experience in other professional services, called "experience equivalents", was key to VON-Ottawa's ability to bid.

35. The OCCAC's witnesses, particularly Penny Sands, were subject to a detailed and lengthy cross-examination on the OCCAC's choice to rely on experience equivalents. Ms. Sands displayed a high level of knowledge of the managed competition process, the template, the policies of the MOHL TC and in particular, the policies and practices relating to the managed competition process and the choices available to the OCCAC in customizing the template for this competition. Ms. Sands provided an explanation for the OCCAC's conclusion that it was entitled to expand the pool of potential bidders by stipulating that experience equivalents could be relied upon.

36. Ms. Sands also testified that she understood one of the goals of the MOHLTC in introducing a new policy and new template was to provide increased opportunity for providers

pand the services they provided. Ms. Sands understood that the Province wanted to eliminate "local preference" and increase the possibility that organizations based elsewhere could enter new markets.

37. For the reasons set out above, I am satisfied the OCCAC did not act improperly in concluding that it was entitled to alter the template and rely on the experience equivalents for agencies like VON Ottawa-Carleton who had not previously provided therapy services.

38. OPSEU and Kaymar also challenged how VaN Ottawa-Carleton could have passed the written part of the bidding process if it had not provided therapy services before. Kaymar and OPSEU argued that it was not possible to answer the questions and establish a competence and experience unless the bidder had previously provided therapy services. The witnesses for the OCCAC answered that if the template permitted reliance on alternate experience, then of course, the questions would be answered based on that alternative experience, and competence would be fairly assessed on that basis. I find that the OCCAC did not act improperly in coming to that conclusion.

39. Kaymar also argued that VON Ottawa-Carleton had improperly relied on the experience of the National VaN organization and sister VaN organizations, which it was not entitled to so, according to the terms of the template because VaN Ottawa-Carleton had not identified those distinct corporate entities as joint venturers in its application. It is not necessary for me to decide if Kaymar is right or wrong in that assertion. All that I need to determine is that even if the allegation were true, Kaymar has not established that either the VaN Ottawa-Carleton nor the OCCAC engaged in misconduct that would contribute to an argument that the competition was a sham.

40. As set out above; the OCCAC introduced detailed evidence and thousands of pages of documents relating to the managed competition process and the competition that was run in the fall of 2003 for therapy services. The VON Ottawa-Carleton and COTA also provided a number of documents, but were concerned about releasing documents that in their view, were not arguably relevant, and would also reveal information that would be damaging to their competitive positions. The OCCAC and Kaymar had introduced documents relating to the interview portion of the competition in respect of Kaymar. OPSEU asked the Board to direct that the interview answers of VON Ottawa-Carleton and COTA should also be disclosed.

41. I declined to make the order. I noted that the OCCAC had led extensive evidence and made significant disclosure, and those documents revealed no evidence to suggest that the OCCAC had run a sham competition. I was not prepared to order more disclosure, on the chance that it might provide some basis for OPSEU and Kaymar's allegations of wrongdoing. As counsel for VON Ottawa-Carleton argued, what really mattered to this case was that Kaymar, VON Ottawa-Carleton and COTA all passed the Quality part of the competition, which counted for 75%. Kaymar lost on price. Mr. Bateman testified that Kaymar's price was higher than the others because it was bound by a collective agreement.

42. The OCCAC led evidence that it used an evaluation tool that had been created by another community care access centre, to assess the prices for services that the bidders had submitted. I understand that assessing the pricing is a complex process because the bidders are required to submit bids based on different volumes. The OCCAC's witnesses testified that the pricing envelopes were not opened until the evaluation committee concluded that all three had passed the Quality competition. There was no challenge to the OCCAC's evidence that Kaymar's price was the most expensive of the three.

43. Penny Sands testified that the committee reviewing the outcome of the pricing analysis determined not to make a recommendation to the Board. VON Ottawa-Carleton and COTA's pricing were significantly lower than Kaymar's. But the committee was also aware that Kaymar was an existing provider, who had performed its contract acceptably, and transitioning all of the clients was going to be very disruptive. The committee costed the option of awarding two contracts to VON Ottawa-Carleton and to COTA, or three contracts to VON Ottawa-Carleton, COTA and to Kaymar.

44. The OCCAC board ultimately awarded contracts to VON Ottawa-Carleton and COTA on the basis of cost. The OCCAC led evidence that to award part of the share of the contract to Kaymar would have increased the overall costs of the therapy contracts from \$23.4 million to 126 million, which the board of the OCCAC concluded was economically unwise. There is no evidence to suggest that the board's decision to award contracts to VON Ottawa-Carleton and COT A, as the lowest bidders, who had passed the Quality criteria, was made for inappropriate labour relations reasons.

45. OPSEU and Kaymar asserted that the VON Ottawa-Carleton and COTA's admittedly slow start in seeing all of the therapy clients who needed service was evidence that they were not competent, and would not have been selected had a proper competition been run. The evidence does not establish that the long and slow transition can be attributed to a lack of competence in COTA and VON Ottawa-Carleton.

46. The transition was complicated by the number of patients who had to be transitioned. Approximately 850 active patients required Kaymar therapists to prepare transfer reports, which were then reviewed by OCCAC case managers, who then referred the patients to VON Ottawa-Carleton and COTA, who then had to assign a therapist, who then had to make an initial visit, establish a care plan, and provide it to the OCCAC case manager for approval, all before treatment began. In addition, more than 400 clients were on the waitlist. The month of April 2004 saw 600 new referrals for therapy services. The numbers were overwhelming and the backlog was growing daily.

47. The transition was hampered by the lack of overlap between the old and new providers. Kaymar's contract ended on March 31, 2004 while VON Ottawa-Carleton and COTA's started on April 1, 2004. Witnesses for the OCCAC testified that other contracts provided for a period of overlap between old and new providers so that transfers happened more gradually. The contract between Kaymar and OCCAC had established that Kaymar would be paid a guaranteed volume, regardless of the number of visits performed, so it made no economic sense for the OCCAC to reduce the referrals to Kaymar in the last months of its contract. The witnesses for the OCCAC consistently commented that Kaymar management, staff and therapists were co-operative, responsive to client needs and professional in the transition.

48. I am satisfied for the reasons set out above, that the difficulties experienced in the transition from Kaymar to VON Ottawa-Carleton and COT A cannot be attributed to the abilities of VON Ottawa-Carleton and COT A, but instead to other factors. It is true that both VON Ottawa-Carleton and COT A had difficulties recruiting staff and were slow to engage enough therapists to meet the demand. But the slow hiring process was only one reason the transition was a challenge and in any event, there is no evidence that VON Ottawa-Carleton and COT A were not competent to manage those aspects of the transition that were within their control.

EU and Kaymar have not made out their allegations that the competition for therapy services in 2003 was a sham, nor do I conclude that the ultimate awarding of the therapy contract to VON Ottawa-Carleton and COTA was a sham transaction. The OCCAC was required by the MOHL TC to divest itself of staff who provided direct patient care services, and the OCCAC followed that directive, albeit reluctantly. The extensive evidence led by the OCCAC establishes that it followed the policies and template it was required to use by MOHL TC, and that it has explained why it made the choices it did. At the end of the day, the OCCAC made a determination to award the therapy contracts to VON Ottawa-Carleton and COTA for reasons that do not disclose an improper purpose. In particular, I find there is no basis for the allegations that the OCCAC was seeking to rid itself of Kaymar and the collective agreement obligations owed to OPSEU and its members.

1(4) Where, in the opinion of the Board, associated or related activities or businesses are carried on, whether or not simultaneously, by or through more than one corporation, individual, firm, syndicate or association or any combination thereof, under common control or direction, the Board may, upon the application of any person, trade union or council of trade unions concerned, treat the corporations, individuals, firms, syndicates or associations or any combination thereof as constituting one employer for the purposes of this Act and grant such relief, by way of declaration or otherwise, as it may deem appropriate.

51. The Board has declined to make a declaration that the community care access centre and the provider of the contracted services are a single employer within the meaning of the Act on a number of occasions. The Board has also rejected calls to respond to the managed competition method of providing home care by making related employer declarations whenever a contract moves from one service provider to another (see *Durham Access to Care*, [2000] OLRB Rep. Nov./Dec. 1108). At paragraph 46 of that decision, the Board wrote:

It is not for the Board to interfere in a scheme that has been put in place as a result of a government public policy initiative. In this instance the government of Ontario has decided on how health services will be delivered to the citizens of the province. As the application states, and the Board has noted in previous decisions, the government has mandated the creation of community care access centres ("CCAC") in all regions of the province as central clearing houses, and has mandated that the CCACs must not provide any services directly. The CCACs are required to hold competitions for the services that must be provided, and any service provider who has met the pre-qualification requirements may bid for work. The CCACs therefore contract out all services that are funded by the Ministry of Health. This is the context in which the SEIU has made this application. The Board cannot, in the circumstances of this case, see where a labour relations purpose can be served by a section 1(4) declaration.

52. As that decision demonstrates; the Board has accepted that the Government can make choices about how health care services are to be delivered. Both the parties and the Board must accept those choices as the context in which we examine the labour relations consequences of the choices.

53. The parties in this case, appropriately directed little time to the typical evidence the Board hears in related employer case. There is no dispute that none of the responding parties share overlapping ownership, management, or premises. There is, in particular, no relationship

amongst Kaymar, COT A and VaN Ottawa-Carleton. They are competitors. All of the responding parties operate their businesses independently of one another. However, OPSEU alleges that the manner in which patient care for therapy services is delivered and the OCCAC's continued critical role in that process should lead the Board to conclude that the OCCAC and each of Kaymar, COTA and VaN Ottawa-Carleton are a single employer. OPSEU contends that it is not possible for therapy services to be delivered without the integrated efforts of both the OCCAC and each of the therapy providers.

54. It is necessary to assess the relationships at different points in time. Between 1999 and 2004, COTA and VON Ottawa-Carleton had no relationship with either the OCCAC or Kaymar in respect of therapy services, so for the early period, it is only the relationship between Kaymar and the OCCAC that is relevant.

55. All parties acknowledge that in order to determine whether entities are a single employer under the Act, the Board must determine if there is more than one entity, if the entities carry on related or associated activities, and if so, whether the entities are under common direction and control.

56. There is no doubt that Kaymar and the OCCAC are two separate entities, so the first test is met. The OCCAC concedes that the activities it and Kaymar carried on are related or associated activities, but it denies that the associated activities are carried out under common direction and control.

57. OPSEU argued that the OCCAC and the service providers have a functionally related single objective, to give care to clients. For that reason, counsel argued, there can be no doubt that the activities they carry on are associated or related. But, she argued, that functionally related single objective is also relevant when looking at the third factor. A number of cases have considered the presence of a single shared objective in assessing this third criterion. If each is dependent on the other to achieve the single objective, then that interdependence gives rise of a conclusion that the activities to meet that single objective are under common direction and control (see *Diamond Taxi*, [1995] OLRB Rep. June 753 and *Thunder Bay Regional Health Sciences Centre*, CanLII 38883, October 17, 2005). The OCCAC is dependent on the contractor to perform the patient care and the contractor is dependent on the OCCAS to provide the referral. Neither can operate without the other. They both operate in respect of the same client and depend upon one another to function.

58. Kaymar's level of dependence was shown at the end of the contract, counsel for OPSEU argued, when Kaymar was forced to layoff employee and close down its operations. Without its therapy referrals from the OCCAC, Kaymar could not function.

59. The OCCAC argued that to a great extent, the different roles that are played by community care access centres and contracted service providers are determined by the *Long Term Care Act*, 1994, S.O. 1994, c. 26, as amended, and the policies developed by the MOHLTC pursuant to that statute. The statute and the policies establish the respective roles and responsibilities. For example, the statute anticipates that the community care access centre will determine the service standards, but the contractor is responsible for the day to day task of meeting those service standards. The obligations of each are set out in the RFP template, parts of which go on to form basis for the contractual relationship. Counsel for the OCCAC argued that cases such as the *Ontario Legal Aid Plan*, [1991] OLRB Rep. Nov, 1327 (Court of Appeal)

caution that it is important to distinguish between regulatory control and business control, a distinction that was relied on by the Board in *Durham Access to Care*.' In this case, for example, while it is true that the OCCAC controls the wait list for service, that responsibility is one given to the OCCAC by the *Long Term Care Act*, 1994. Consequently, the OCCAC's control of the wait list is not evidence in support of the assertion that the associated activities are carried out under common direction and control by Kaymar and the OCCAC.

60. Counsel for the OCCAC submitted that Kaymar operated its business and its part in the provision of therapy services without intervention by or assistance from the OCCAC. The OCCAC for its Part. met its statutory obligations to set service standards, determine care plans and refer clients to Kaymar and pay it for services performed. Similarly, the OCCAC argued that Kaymar did not interfere in or assist in the OCCAC's performance of its of its obligations. Instead, Kaymar properly focused on the day to day activities of assigning referrals of request for therapy services to its staff, and monitored and supported their performance.

61. . I conclude that the relationship between the OCCAC and Kaymar meets the first two criteria but that the entities are not under common direction and control. First, it must be remembered that Kaymar and the OCCAC are separately owned, with no overlap in directors, or management. While I agree with counsel for OPSEU that the entities need not be owned by the same principals to be found to be under common control, the absence of common ownership and the absence of common leadership should make the Board cautious. In the third criterion, the Board is not looking at the functional integration or relatedness of the shared activity or objective. That is the second criterion. Instead, the B081-d is looking at whether the two entities are acting in concert in carrying out the shared activity or objective. If the two entities have common ownership and management, that concerted activity is more likely to be found because the interests are likely to be similar.

62. I conclude that Kaymar and the OCCAC did not carry on their shared objective of providing therapy services to clients under common direction and control. While there had to be a significant amount of communication and co-ordination for each entity to perform its role, there was no evidence of confusion as to who was responsible for what, nor was there evidence that one entity controlled the other, or stepped over the boundaries into the domain of the other. It was well understood, for example, that the OCCAC determined whether to accept a client and assigned the priority .. The OCCAC case manager assessed the client's need and then made the appropriate referral for entry into treatment. The case manager was ultimately responsible for the care plan, but the Kaymar therapist was responsible for making an assessment, developing a service plan, and then reporting back to the OCCAC's case manager for approval of that service plan. I heard that the therapist and the case manager discussed issues, mindful of their respective roles and the therapist's recommendation was usually accepted, although the case manager had the final say. That sort of co-ordination of responsibilities was common and necessary to meet the shared objective of providing patient care, within a defined statutory context.

63. I heed the caution of the Court of Appeal in the *Ontario Legal Aid Plan*, above. Both the OCCAC and the service provider were guided by a detailed and rigorous set of policies from MOH-TC, based in the *Long Term Care Act*, 1994, which not only mandated the role for each, but clearly spelled out that there are separate roles for the community care access centre and for the service provider. To repeat the words of the Court, regulatory control must not be mistaken for business control. The OCCAC was required to exercise a degree of control over the service standards and performance of the service provider but in so doing, exercised no control over the business of the service provider.

64. OPSEU relied on *Thunder Bay Regional Health Sciences Centre*, but, with respect, the facts are fundamentally different. In that case the hospital engaged a management company to operate a long-term care facility. The contract between the hospital and the management company provided that the hospital paid all operating costs, the hospital maintained ultimate authority over all operations, the hospital bore all of the financial risks and paid the management company a straight management fee and the hospital retained ownership over all of the equipment and the long term care facility. In this case, the Board concluded that the management company was "... simply managing the [hospital's] business". Moreover, at paragraph 117, the Board decided that the management company (S&R) did not really have a business of its own because it had no chance for profit or loss based on its business acumen:

116 ... In my view this is not a contracting out as that term is used in cases under s. 1(4) of the Act. S&R has been hired to manage [the hospital's] long term care business. S&R bears essentially no risk in doing so, and has no ownership in the business. There is no suggestion that it had, prior to the commencement of these relationships, any presence in Thunder Bay for the Hospital to sub-contract work to. It was only when the [the hospital] provided the use of most of the necessary components of a long term care business to S&R - the premises, the equipment, the customers, the license etc., that S&R could operate.

117. The responding parties rely on those cases (such as the *Charming Hostess*, [1982] OLRB. Rep. April 536) when the Board has suggested that a true contracting out may well not attract the application of section 1(4) of the Act. However, in those cases the party to whom work was sub-contracted operates a true business with a chance of profit and a chance of loss, the ultimate outcome of which is determined by the subcontractors business acumen.

65. In the case before me, Kaymar did operate a business and did not simply manage the OCCAC's business. Kaymar was responsible for its own costs, including wages and benefits, and stood to gain or lose depending on how well it had priced its bid for the therapy services contract.

I acknowledge that there was evidence that Kaymar approached the OCCAC on more than one occasion seeking to negotiate different rates, based on Kaymar's perceptions that changed circumstances entitled it to ask for more. But Kaymar was not able to simply pass on costs to the OCCAC, as the management company did in *Thunder Bay Regional Health Sciences Centre*. And the OCCAC did not accept all of Kaymar's requests for more money. In fact, the evidence suggests that the OCCAC wearied of Kaymar's requests.

66. I conclude that each of Kaymar and OCCAC operated businesses that carried out associated activities for a single objective, the provision of therapy services, but that the businesses were not carried out under common direction and control. I find, essentially, that the OCCAC created a true contracting out relationship when it contracted the provision of therapy services to Kaymar.

67. Although neither COT A nor the VON Ottawa-Carleton conceded that they were each engaged in associated activities with the OCCAC, I conclude that they were for the reasons set out in paragraphs 62 and 63. Consequently, the second criterion the Board considers in applications for a declaration of single employer has been met.

68. However, each of COTA and VON had a relationship with the OCCAC that was even more characteristic of businesses operating separately than was the relationship between OCCAC and Kaymar. Again, there was no overlap in ownership or direction between the OCCAC and either VON Ottawa-Carleton or COTA. Again, the OCCAC was responsible for deciding if a client was accepted into care and what sort of care was to be offered. The therapists retained by VaN Ottawa-Carleton and COTA developed a service plan, which was then approved by the OCCAC case manager. The service plan was then carried out by the COTA or VaN Ottawa-Carleton therapists, following the directions of managers of COTA or VaN Ottawa-Carleton respectively. The OCCAC, and each of VaN Ottawa-Carleton and COTA played well-defined roles to achieve a single objective, the provision of therapy services. While that objective required a good deal of co-ordination, as mandated by the *Long Term Care Act*, 1994, the policies of the MOHL TC, the template and the contract that resulted, the roles of the service provider and the community care access centre remained distinct.

69. VaN Ottawa-Carleton and COTA brought their own senior managers, principals and business plans to the work. Both operated businesses that had provided either therapy or other professional services as service providers to the OCCAC or other community care access centres. Both COTA and VaN Ottawa-Carleton had a track record in bidding on and successfully performing contracts for home care services. As counsel submitted in argument, each company had separately and independently developed a business model that could respond to contract opportunities offered by community care access centres. COTA and VaN Ottawa-Carleton responded to the changing method to deliver health care in the community.

70. I have not forgotten the evidence that for the therapists, the changes in how health care is being delivered have significantly affected their working conditions, and not for the better. They have seen their wages and benefits deteriorate and security of employment has disappeared. One might cynically note that the success of the new model would not be assured without the continued professionalism of the therapists. One therapist testified that although she can no longer claim payment for certain telephone calls, for example, she continues to make those calls because she thinks they are important to meeting her professional obligations to her clients. Kaymar, COTA and VON Ottawa-Carleton have benefited from the skills, experience and dedication of a number of therapists who can trace their employment history to the OCCAC and predecessor municipalities.

71. However, tracing the work or the continuity of employees is not enough, as the Board said in *Durham Access to Care*, [2000] OLRB Rep. Sept/Oct. 855 to base a conclusion that part of a business has been sold or that more than one entity is the employer.

72. The OCCAC has convinced the Board that it has truly contracted out the provision of therapy services to various contractors, after its sale to Kaymar, granting them only time-limited licences, as the OCCAC was required by the MOHL TC to do. All of the contractors, Kaymar, COTA and VON Ottawa-Carleton have, to varying degrees, brought their own skills, their own ability to measure and accept risk, their own managers and infrastructure, to the task of providing therapy services as a contractor. They have applied entrepreneurial energy to meeting the changed landscape. While all of the contractors are required to co-ordinate and co-operate with the OCCAC, each manages its aspects of the relationship, separate and distinct from the OCCAC.

73. I continue the agreement of Kaymar, OPSEU and the OCCAC, that part of the business of the OCCAC was sold to Kaymar, within the meaning of section 69 of the Act. All of the other aspects of the application are dismissed.

"Mary Ellen Cummings"
for the Board

and CHAMPLAIN COMMUNITY CARE
ACCESS CENTRE, COTA COMPREHENSIVE
REHABILITATION AND MENTAL
HEALTH SERVICES and CAREFOR
HEALTH & COMMUNITY SERVICES

ONTARIO
SUPERIOR COURT OF JUSTICE

AFFIDAVIT OF BOB CERNIUK,
Sworn the 11th day of February, 2009

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CITATION: KAYMAR REHABILITATION INC. v. CHAMPLAIN COMMUNITY CARE
ACCESSS CENTRE, et al., 2010 ONSC 2248
COURT FILE NO.: 05-CV-030917

ONTARIO

SUPERIOR COURT OF JUSTICE

BETWEEN:

KAYMAR REHABILITATION INC.

Plaintiff

– and –

CHAMPLAIN COMMUNITY CARE ACCESS
CENTRE, COTA COMPREHENSIVE
REHABILITATION AND MENTAL HEALTH
SERVICES and CAREFOR HEALTH &
COMMUNITY SERVICES

Defendants

DECISIONS ON MOTION

Polowin J.

Released: September 13, 2010